MAIN — Calculate card fees and compare balance transfers, 0% APR offers, and deferred interest

Question 2 of 5 · Learn and Apply

LEARN

Compare the cost of staying with the cost of transferring: interest avoided minus the transfer fee.

Leaving $4,000 at 22% APR for 15 months would cost about $1,100 in interest (simple estimate). The transfer costs a $120 fee at 0% APR. About how much does the transfer save if Nia pays it off within 15 months?

A. $120

B. $980

C. $1,100

D. $1,220

MAIN — Calculate card fees and compare balance transfers, 0% APR offers, and deferred interest

Question 3 of 5 · Learn and Apply

LEARN

A genuine introductory 0% APR charges no interest during the promotion. After it ends, the remaining balance is charged the regular APR going forward.

Nia's 0% transfer period ends in 15 months. What happens to any balance left after that?

A. It is forgiven by the card issuer

B. It stays at 0% forever

C. It moves back to the old card automatically at its old rate

D. It starts being charged the card's regular APR

MAIN — Calculate card fees and compare balance transfers, 0% APR offers, and deferred interest

Question 4 of 5 · Learn and Apply

LEARN

Deferred interest is different from a true 0% APR. Interest builds up in the background from the purchase date. If the full promotional balance is not paid by the deadline, all of that interest can be charged at once.

A store card says "No interest if paid in full within 12 months" on a $1,200 TV. This is deferred interest. Ana pays $1,190 by the deadline. What happens?

A. She can owe all interest since the purchase date

B. She pays interest only on the remaining $10

C. Nothing is charged, since she paid almost all of it

D. The store refunds her payments

MAIN — Calculate card fees and compare balance transfers, 0% APR offers, and deferred interest

Question 5 of 5 · Learn and Apply

LEARN

Some cards charge a foreign transaction fee, often about 3%, on purchases made in another currency or processed abroad. Other cards charge none.

Lin uses her card abroad and spends $2,500. Her card charges a 3% foreign transaction fee. How much is the fee?

A. $7.50

B. $75

C. $750

D. $2,575

BACKWARD B1 · concept review — Percent fees on balances

Question 1 of 5 · Learn and Apply

LEARN

A percent fee = amount × rate (as a decimal).

A fee is 4% of $500. What is the fee?

A. $2

B. $20

C. $200

D. $520

BACKWARD B1 · concept review — Percent fees on balances

Question 2 of 5 · Learn and Apply

LEARN

Common card fees: annual fee (yearly), late fee (late payment), cash advance fee, balance transfer fee, and foreign transaction fee.

Which is a one-time fee charged when moving a balance from one card to another?

A. An annual membership fee

B. A late fee

C. A balance transfer fee

D. Interest

BACKWARD B1 · concept review — Percent fees on balances

Question 3 of 5 · Learn and Apply

LEARN

To compare a yearly fee with monthly costs, divide by 12.

A card has a $95 annual fee. About how much is that per month?

A. $7.92

B. $9.50

C. $95.00

D. $1,140.00

BACKWARD B1 · concept review — Percent fees on balances

Question 4 of 5 · Learn and Apply

LEARN

A 0% introductory APR means no interest during the promotion. Minimum payments are still required each month.

What does "0% APR for 12 months" mean on a new card?

A. No payments of any kind are required for 12 months

B. The card has no fees ever

C. No interest on qualifying balances for 12 months

D. Interest is charged only after 12 years

BACKWARD B1 · concept review — Percent fees on balances

Question 5 of 5 · Knowledge Check

Which fee would a cardholder who always pays on time and never travels abroad most likely avoid?

A. Every fee, including the annual fee

B. Interest on balances carried over

C. Balance transfer fees when transferring

D. Late fees and foreign transaction fees

GO DEEPER 1 — Deferred interest versus a true 0% intro APR

Question 1 of 5 · Learn and Apply

LEARN

True 0% APR: interest starts only on what remains after the promotion ends. Deferred interest: interest builds from the purchase date and is charged in full if any promotional balance remains at the deadline.

Card X offers a true 0% intro APR for 12 months. Card Y offers deferred interest for 12 months at 26.99%. Both have $1,200 purchases and $100 left at month 12. Which statement is TRUE?

A. Only Card Y can charge a year of back interest

B. Both charge the same interest

C. Card Y charges less because its rate is deferred

D. Neither charges any interest ever

GO DEEPER 1 — Deferred interest versus a true 0% intro APR

Question 2 of 5 · Learn and Apply

LEARN

Deferred interest is all-or-nothing: if any promotional balance remains at the deadline, all the accrued interest can be added.

Ana's deferred-interest statements show $230 of "accrued interest" building over 12 months. She leaves $10 unpaid at the deadline. How much interest is likely added?

A. $0

B. $2.70

C. $10

D. $230

GO DEEPER 1 — Deferred interest versus a true 0% intro APR

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

With deferred interest, minimum payments are often too small to pay the promotional balance in time. Divide the balance by the months available.

To avoid deferred interest on a $1,200 purchase over 12 months, what monthly amount pays it off in time?

A. $25

B. $100

C. $120

D. $1,200

GO DEEPER 1 — Deferred interest versus a true 0% intro APR

Question 4 of 5 · Learn and Apply

LEARN

"If paid in full" wording usually means deferred interest. "0% intro APR" usually means interest-free during the period.

Which phrase in an ad signals DEFERRED interest rather than a true 0% APR?

A. "No interest if paid in full within 12 months"

B. "0% intro APR on purchases for 12 months"

C. "Regular APR 21.99%"

D. "No annual fee"

GO DEEPER 1 — Deferred interest versus a true 0% intro APR

Question 5 of 5 · Learn and Apply

LEARN

Minimum payments are set as a small share of the balance, not as the amount needed to pay off a promotional balance by its deadline.

Why are minimum payments on deferred-interest plans risky?

A. They pay off the promo balance before the end date

B. They cancel the promotion as soon as one is made

C. They stop interest from ever being charged

D. They may not clear the promo balance in time

GO DEEPER 2 — Using a balance transfer wisely

Question 1 of 5 · Learn and Apply

LEARN

To finish during the promotion: monthly payment = total to repay ÷ months in the promotion.

Nia must pay off $4,120 (balance plus fee) during a 15-month 0% period. What monthly payment does that require (nearest cent)?

A. $266.67

B. $274.67

C. $343.33

D. $412.00

GO DEEPER 2 — Using a balance transfer wisely

Question 2 of 5 · Learn and Apply

LEARN

At 0% APR, the balance falls by exactly the amount paid.

If Nia pays only $150 a month on the $4,120 during the 15-month 0% period, how much remains when the promotion ends?

A. $0

B. $1,870

C. $2,250

D. $3,970

GO DEEPER 2 — Using a balance transfer wisely

Question 3 of 5 · Learn and Apply

LEARN

A balance transfer only helps if the debt shrinks. New spending can rebuild the old balance while the transferred one is being paid.

Which habit can undo the benefit of a balance transfer?

A. Paying more than the minimum

B. Setting up autopay

C. Running up new charges on the old card

D. Tracking the date the promotion ends each month

GO DEEPER 2 — Using a balance transfer wisely

Question 4 of 5 · Learn and Apply

LEARN

Compare the interest avoided during the promotion with the transfer fee.

A transfer offer: 0% for 6 months, 5% fee. Debt: $2,000 at 18% APR. About how much would 6 months at 18% cost (simple), and is the transfer worth it?

A. About $360 vs $100; never worth it

B. About $18 vs $100; always worth it

C. About $180 vs $10; worth it

D. About $180 in interest vs a $100 fee; worth it if paid off in 6 months

GO DEEPER 2 — Using a balance transfer wisely

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

Three numbers decide whether a transfer saves money: the transfer fee, how long the promotional rate lasts, and the rate afterward.

Which fact should Nia check BEFORE transferring?

A. Only the new card's credit limit

B. Only the rewards points

C. The fee, promo length, and later APR

D. Only whether the new card has an annual fee

SET 40 · Credit Cards and Credit Scores

Credit reports

MAIN skill: Explain what credit reports contain, get free reports, and dispute errors

Outcome FL.CREDIT.40 · National topic: Managing Credit · NJSLS 9.1.12: CP, FI

Learning target: Explain credit reports, consumers' rights to access and correct them, and identity protection

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: What "credit history" means (5 questions)

Why: Credit reports make sense once students see them as a record of borrowing behavior.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Reading a credit report line by line (5 questions)

Go Deeper 2: Freezes, fraud alerts, and identity protection (5 questions)

Practical skills beyond the standards: Getting free credit reports; Placing and lifting a credit freeze

Content status: time-sensitive

Source: AnnualCreditReport.com (authorized by federal law) / FTC — Consumers can get free credit reports from Equifax, Experian, and TransUnion; free weekly reports have been made permanent. https://www.annualcreditreport.com

Source: FTC — Credit freezes are free at each of the three nationwide credit bureaus. https://consumer.ftc.gov/articles/what-know-about-credit-freezes-fraud-alerts

MAIN — Explain what credit reports contain, get free reports, and dispute errors

Question 1 of 5 · Learn and Apply

LEARN

A credit report is a record of how you have used credit: accounts, balances, payment history, and some collections. Three nationwide credit bureaus (consumer reporting agencies) keep reports: Equifax, Experian, and TransUnion.

Which company is one of the three nationwide credit bureaus?

A. Experian

B. The Federal Reserve

C. The IRS

D. Visa

MAIN — Explain what credit reports contain, get free reports, and dispute errors

Question 2 of 5 · Learn and Apply · Practical how-to

LEARN

Federal law gives you free credit reports. The official site is AnnualCreditReport.com, where free reports from all three bureaus are available (weekly, under a permanent program).

Where can Jordan get free credit reports from all three bureaus?

A. Any website that advertises "free credit score"

B. The bank where Jordan opened checking

C. The IRS website

D. AnnualCreditReport.com

MAIN — Explain what credit reports contain, get free reports, and dispute errors

Question 3 of 5 · Learn and Apply

LEARN

Credit reports show identifying information, credit accounts (cards, loans), balances, credit limits, payment history, inquiries, and certain collections. They do not include income, bank balances, race, religion, or medical details.

Which item is generally on a credit report?

A. Whether card payments were on time

B. Your income and salary

C. Your race or religion

D. Your bank account balances

MAIN — Explain what credit reports contain, get free reports, and dispute errors

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

If a report has an error, you can dispute it with the credit bureau (and the company that reported it). The bureau generally must investigate, usually within 30 days. An account you never opened can be a sign of identity theft.

Jordan's report lists a credit card she never opened. What should she do?

A. Ignore it, since reports are always correct

B. Pay off the card to make it go away

C. Dispute it and check for identity theft

D. Ignore it if her score still looks fine

MAIN — Explain what credit reports contain, get free reports, and dispute errors

Question 5 of 5 · Learn and Apply

LEARN

Under the Fair Credit Reporting Act, only those with a "permissible purpose" can see your report: lenders, insurers, landlords, and employers (with your written permission), among others.

Who may legally see Jordan's credit report?

A. A lender reviewing her application

B. Any curious neighbor who wants to know

C. A classmate who asks

D. A social media follower

BACKWARD B1 · concept review — What "credit history" means

Question 1 of 5 · Learn and Apply

LEARN

Your credit history shows how you have handled borrowing: which accounts you have, how much you owe, and whether you paid on time.

What is a credit history?

A. A list of every purchase a person has made with cash

B. A list of a person's bank account balances

C. A record of how a person has borrowed and repaid

D. A record of a person's income each year

BACKWARD B1 · concept review — What "credit history" means

Question 2 of 5 · Learn and Apply

LEARN

Credit accounts such as loans and credit cards are reported to credit bureaus. Cash and debit purchases usually are not.

Which activity adds to a person's credit history?

A. Paying cash for groceries

B. Using a debit card

C. Saving money in a piggy bank

D. Repaying a car loan on time

BACKWARD B1 · concept review — What "credit history" means

Question 3 of 5 · Learn and Apply

LEARN

Past repayment behavior helps lenders estimate the risk that a borrower will not repay.

Why do lenders look at credit history?

A. To learn which stores a borrower likes best

B. To set the borrower's salary

C. To decide the borrower's taxes

D. To predict whether a borrower will repay

BACKWARD B1 · concept review — What "credit history" means

Question 4 of 5 · Learn and Apply

LEARN

People with few or no credit accounts have "thin" files, which makes it harder for lenders to judge them.

A student with no loans or cards applies for credit. What problem might she face?

A. A "thin" credit file with little history to judge

B. Her report will show many late payments from the past

C. She will be approved for any amount

D. She has a perfect score by default

BACKWARD B1 · concept review — What "credit history" means

Question 5 of 5 · Learn and Apply

LEARN

Credit history can affect renting an apartment, insurance prices in many states, and some job applications (with written permission).

Besides lenders, who else may check credit history (with permission when required)?

A. Movie theaters

B. Grocery store cashiers at checkout

C. Landlords and insurers

D. Classmates

GO DEEPER 1 — Reading a credit report line by line

Question 1 of 5 · Learn and Apply

LEARN

Credit report account lines show the creditor, limit or loan amount, balance, and payment status by month. Late payments are usually reported once they are 30 or more days past due.

A report line shows: "Card A — limit $2,000 — balance $600 — status: 30 days late (March)". What does "30 days late" mean?

A. The card was opened 30 days ago

B. The card has 30 days of interest-free time each month

C. The balance is $30

D. A payment was at least 30 days past due in March

GO DEEPER 1 — Reading a credit report line by line

Question 2 of 5 · Learn and Apply

LEARN

A hard inquiry happens when a lender checks your credit because you applied for credit; it can lower scores slightly for a short time. Soft inquiries, such as checking your own report or prescreened offers, do not affect scores.

A report shows two "hard inquiries" from lenders this month. What caused them?

A. Applications for new credit

B. Checking your own report

C. Receiving a preapproved offer in the mail

D. Paying a bill on time

GO DEEPER 1 — Reading a credit report line by line

Question 3 of 5 · Learn and Apply

LEARN

Soft inquiries, including checking your own credit, do not affect credit scores.

Which inquiry does NOT affect a credit score?

A. Applying for a car loan

B. Applying for a credit card

C. Checking your own credit report

D. Applying for a private student loan

GO DEEPER 1 — Reading a credit report line by line

Question 4 of 5 · Learn and Apply

LEARN

Paying a collection usually updates its status to "paid," but the record can remain for the reporting period allowed by law.

A report shows a collection account that Ana paid in full 2 years ago. What should it show now?

A. The collection, updated to show it was paid

B. Nothing; paid collections vanish immediately

C. A new unpaid collection

D. A higher balance

GO DEEPER 1 — Reading a credit report line by line

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

Lenders choose which bureaus to report to, and reporting dates differ, so the three reports may not match exactly.

Ana reviews her reports from all three bureaus. Why might they differ?

A. One of them must be fake

B. Bureaus copy each other's reports exactly every day

C. Each bureau uses a different person's data

D. Not every lender reports to every bureau

GO DEEPER 2 — Freezes, fraud alerts, and identity protection

Question 1 of 5 · Learn and Apply

LEARN

A credit freeze (security freeze) restricts access to your credit report, so identity thieves cannot easily open new accounts in your name. Freezes are free at each bureau, and you can lift them temporarily when you apply for credit.

What does a credit freeze do?

A. It lowers your credit score

B. It closes your existing cards

C. It blocks most new lenders from seeing your report

D. It stops you from using your own debit card or checks

GO DEEPER 2 — Freezes, fraud alerts, and identity protection

Question 2 of 5 · Learn and Apply

LEARN

Since 2018, federal law has required the nationwide credit bureaus to place and lift credit freezes for free.

How much does it cost to place a credit freeze at a nationwide bureau?

A. $10 per bureau each year

B. $100 one time

C. A fee of 1% of your total credit limit

D. Nothing; freezes are free by law

GO DEEPER 2 — Freezes, fraud alerts, and identity protection

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

You can lift a freeze temporarily for a specific time or lender, then it returns.

Ana froze her credit and now wants to apply for a car loan. What should she do?

A. Lift the freeze for a short time

B. Delete her credit history

C. Apply under a friend's name

D. Nothing; lenders can see frozen reports

GO DEEPER 2 — Freezes, fraud alerts, and identity protection

Question 4 of 5 · Learn and Apply

LEARN

A fraud alert asks lenders to take extra steps to verify your identity before opening credit. A credit freeze blocks most access to your report.

How is a fraud alert different from a credit freeze?

A. An alert closes your existing accounts

B. A freeze costs money; an alert is free

C. An alert asks for ID checks; a freeze blocks access

D. They are identical; both close your current accounts

GO DEEPER 2 — Freezes, fraud alerts, and identity protection

Question 5 of 5 · Knowledge Check · Practical how-to

Which teen habit best protects future credit?

A. Posting a full birth date and address online

B. Sharing passwords with friends

C. Using the same password everywhere

D. Keeping a Social Security number private

SET 41 · Credit Cards and Credit Scores

Credit scores

MAIN skill: Explain the factors that affect credit scores and how scores affect borrowing costs

Outcome FL.CREDIT.41 · National topic: Managing Credit · NJSLS 9.1.12: CP

Learning target: Explain factors that affect credit scores and how scores affect the cost of credit

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Percent weights and parts of a whole (5 questions)
  - Why: Score factors are percents of a whole; students compare their weights.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Score factors and rates are percents.
- B3 · Math link → G7-S25-M (Grade 7 7.NS.A.3): Solve real-world problems with the four operations on rational numbers
  - Why: Comparing loan offers multiplies payment differences by months.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Scores, insurance, renting, and jobs (5 questions)
- Go Deeper 2: Myths about credit scores (5 questions)

Practical skills beyond the standards: Busting common credit score myths

Content status: time-sensitive

Source: myFICO (Fair Isaac Corporation) — FICO score factor weights: payment history 35%, amounts owed 30%, length of credit history 15%, new credit 10%, credit mix 10%; scores range 300-850.
https://www.myfico.com/credit-education/whats-in-your-credit-score

MAIN — Explain the factors that affect credit scores and how scores affect borrowing costs

Question 1 of 5 · Learn and Apply

LEARN

A credit score is a number (often 300–850) that summarizes credit risk based on a credit report. FICO's general weights: payment history about 35%, amounts owed about 30%, length of credit history about 15%, new credit about 10%, and credit mix about 10%. Other scoring models exist.

In the widely used FICO model, which factor has the LARGEST weight?

A. Payment history (about 35%)

B. Credit mix (about 10%)

C. New credit (about 10%)

D. Length of credit history (about 15%)

MAIN — Explain the factors that affect credit scores and how scores affect borrowing costs

Question 2 of 5 · Learn and Apply

LEARN

Credit scores affect the interest rates lenders offer. A higher score usually means a lower rate, which lowers monthly payments and total cost.

Two applicants want a $20,000, 5-year car loan. Applicant A (strong credit) is offered 6% APR, with a $386.66 payment; Applicant B is offered 12% APR, with a $444.89 payment. How much more does B pay over 5 years?

A. $58.23

B. $1,200.00

C. $3,493.80

D. $26,693.40

MAIN — Explain the factors that affect credit scores and how scores affect borrowing costs

Question 3 of 5 · Learn and Apply

LEARN

Scores reward on-time payments and low balances compared with limits, and can drop with late payments, high balances, and many new applications.

Which action is MOST likely to raise a credit score over time?

A. Opening several new cards in one month

B. Maxing out a credit card

C. Paying every bill on time

D. Closing your oldest account

MAIN — Explain the factors that affect credit scores and how scores affect borrowing costs

Question 4 of 5 · Learn and Apply

LEARN

Credit scores use only information in credit reports. Income, employment, savings, age, race, and where you live are not part of the score.

Ana and Ben have identical credit reports, but Ben earns twice as much. How do their FICO scores likely compare?

A. Ben's is much higher

B. Ana's is higher because she borrows more of her income

C. They are about the same

D. Ben's is lower because higher earners spend more

MAIN — Explain the factors that affect credit scores and how scores affect borrowing costs

Question 5 of 5 · Knowledge Check

Ivy's FICO score is 780; Max's is 580. Which statement is MOST accurate?

A. Max will pay lower rates, since lower is better

B. Both will get identical offers

C. Scores do not affect borrowing

D. Max will likely face higher rates or denials

BACKWARD B1 · concept review — Percent weights and parts of a whole

Question 1 of 5 · Learn and Apply

LEARN

Parts of a whole are added to find a combined share.

If payment history is 35% of a score and amounts owed is 30%, together they make up what percent?

A. 5%

B. 35%

C. 65%

D. 1,050%

BACKWARD B1 · concept review — Percent weights and parts of a whole

Question 2 of 5 · Learn and Apply

LEARN

Percents of the same whole can be compared directly.

Which is larger: 15% or 10%?

A. 15%

B. 10%

C. They are equal

D. It cannot be compared

BACKWARD B1 · concept review — Percent weights and parts of a whole

Question 3 of 5 · Knowledge Check

Five factors weigh 35%, 30%, 15%, 10%, and 10%. What is their total?

A. 75%

B. 90%

C. 100%

D. 110%

BACKWARD B1 · concept review — Percent weights and parts of a whole

Question 4 of 5 · Knowledge Check

A score went from 650 to 700. By how many points did it rise?

A. 0

B. 7

C. 50

D. 1,350

BACKWARD B1 · concept review — Percent weights and parts of a whole

Question 5 of 5 · Learn and Apply

LEARN

FICO's five factors: payment history (paying on time), amounts owed (balances and utilization), length of credit history (age of accounts), new credit (recent applications), and credit mix (types of accounts).

Maya's oldest card is 2 years old; her friend's is 15 years old. Both pay on time and owe little. Which score factor most likely favors her friend?

A. Payment history

B. Amounts owed

C. Credit mix

D. Length of credit history

GO DEEPER 1 — Scores, insurance, renting, and jobs

Question 1 of 5 · Learn and Apply

LEARN

Landlords often review credit reports or scores because past bill-paying predicts rent payment.

A landlord checks Tia's credit before approving an apartment. Why?

A. To predict whether she will pay rent on time

B. To see her school grades

C. To check her medical history and recent doctor visits

D. To learn her income

GO DEEPER 1 — Scores, insurance, renting, and jobs

Question 2 of 5 · Learn and Apply

LEARN

Many insurers use credit-based insurance scores to help set prices, where state law allows.

In many states, auto insurers use credit-based insurance scores. What does this mean for drivers with weaker credit?

A. They pay lower premiums

B. They cannot buy insurance

C. They may pay higher premiums

D. Their driving record is ignored

GO DEEPER 1 — Scores, insurance, renting, and jobs

Question 3 of 5 · Learn and Apply

LEARN

Employers may review credit reports (not scores) for some jobs, but federal law requires your written permission. Some states limit this further.

An employer wants to check Tia's credit report for a job. What must happen first?

A. Nothing; employers can check anyone

B. Tia must pay a fee

C. The employer must pay Tia's credit card bill

D. Tia must give written permission

GO DEEPER 1 — Scores, insurance, renting, and jobs

Question 4 of 5 · Learn and Apply

LEARN

Over long loans, a small rate difference adds up: extra cost = monthly difference × number of payments.

A 100-point lower score raises a $250,000 mortgage rate from 6.5% to 7.5%. Payments rise from $1,580 to $1,748 a month. How much more is paid over 30 years?

A. $168

B. $2,016

C. $2,500

D. $60,480

GO DEEPER 1 — Scores, insurance, renting, and jobs

Question 5 of 5 · Learn and Apply

LEARN

FICO and VantageScore both make several versions, and each bureau's data differs, so scores vary.

Which statement about "credit scores" is MOST accurate?

A. Different models give a person many scores

B. Everyone has one official score set by the government

C. Scores are updated only once a year

D. Scores are the same at every bureau

GO DEEPER 2 — Myths about credit scores

Question 1 of 5 · Learn and Apply

LEARN

Checking your own report or score is a soft inquiry and never affects scores.

Myth or fact: "Checking my own credit report lowers my score."

A. Fact: every check lowers your score

B. Fact: only on weekends

C. Myth: your own check is a soft inquiry

D. Fact: each check lowers your score by about 50 points

GO DEEPER 2 — Myths about credit scores

Question 2 of 5 · Learn and Apply

LEARN

Card use is reported each month. Paying the full statement balance shows responsible use without paying interest.

Myth or fact: "Carrying a small balance and paying interest helps your score."

A. Fact: interest payments raise scores

B. Myth: paying in full still shows on-time use

C. Fact: only balances over $1,000 count toward building credit

D. Fact: scores need debt to exist

GO DEEPER 2 — Myths about credit scores

Question 3 of 5 · Learn and Apply

LEARN

Credit scores use only information in credit reports.

Myth or fact: "My income determines my credit score."

A. Fact: higher income always means a higher score

B. Fact: scores are a percent of income

C. Myth: income is not in credit reports

D. Fact: only salaried workers have scores

GO DEEPER 2 — Myths about credit scores

Question 4 of 5 · Learn and Apply

LEARN

Closing a card removes its credit limit from your total available credit and may eventually shorten your credit history.

Myth or fact: "Closing an old, unused card always raises my score."

A. Fact: fewer cards always means higher scores

B. Fact: closed cards are deleted immediately

C. Fact: closing a card erases its late payments from your report

D. Myth: it can raise utilization and shorten history

GO DEEPER 2 — Myths about credit scores

Question 5 of 5 · Learn and Apply

LEARN

Scoring models usually treat multiple inquiries for the same kind of loan (car, mortgage, student) within a short window as one, so you can shop for the best rate.

Myth or fact: "Shopping for a car loan at several lenders within a short period ruins my score."

A. Fact: each inquiry costs about 50 points every time

B. Myth: they usually count as one inquiry

C. Fact: you must never compare lenders

D. Fact: only the first lender counts

SET 42 · Credit Cards and Credit Scores

Building credit responsibly

MAIN skill: Build a credit history with low utilization, on-time payments, and starter credit products

Outcome FL.CREDIT.42 · National topic: Managing Credit · NJSLS 9.1.12: CP, CDM
Learning target: Build and maintain a positive credit history

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Part-to-whole percents (5 questions)
  Why: Utilization is a part-to-whole percent.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Utilization targets are percents of a limit.
- B3 · Math link → G6-S11-M (Grade 6 6.RP.A.3.c): Find the whole, given a part and the percent
  Why: Finding the limit or balance for a target utilization works backward from a percent.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Credit-builder loans and secured cards in detail (5 questions)
- Go Deeper 2: A first-year credit-building plan (5 questions)

Practical skills beyond the standards: Secured cards and credit-builder loans; Paying before the statement closes

Content status: time-sensitive

Source: myFICO (Fair Isaac Corporation) — FICO score factor weights: payment history 35%, amounts owed 30%, length of credit history 15%, new credit 10%, credit mix 10%; scores range 300-850. https://www.myfico.com/credit-education/whats-in-your-credit-score

Source: AnnualCreditReport.com (authorized by federal law) / FTC — Consumers can get free credit reports from Equifax, Experian, and TransUnion; free weekly reports have been made permanent. https://www.annualcreditreport.com

MAIN — Build a credit history with low utilization, on-time payments, and starter credit products

Question 1 of 5 · Learn and Apply

LEARN

Credit utilization = card balances ÷ credit limits × 100. It is a major part of the "amounts owed" score factor. Lower utilization generally helps scores; a common guideline is to stay below about 30%, and lower is better.

Tia's card has a $1,500 limit, and her statement balance is $450. What is her credit utilization?

A. 3%

B. 30%

C. 70%

D. 333%

MAIN — Build a credit history with low utilization, on-time payments, and starter credit products

Question 2 of 5 · Learn and Apply

LEARN

Overall utilization adds all balances and divides by all limits.

Max has two cards: $300 balance on a $1,000 limit and $700 on a $2,500 limit. What is his overall utilization (nearest tenth)?

A. 28.6%

B. 30.0%

C. 35.0%

D. 40.0%

MAIN — Build a credit history with low utilization, on-time payments, and starter credit products

Question 3 of 5 · Learn and Apply

LEARN

Starter options include a secured credit card (you put down a deposit that usually becomes your limit), a credit-builder loan (payments are saved for you and released at the end), and being added as an authorized user on a parent's card. Paying on time builds history.

Leo has no credit history. Which product is designed to help someone start building credit?

A. A secured credit card backed by a cash deposit

B. A payday loan

C. A prepaid debit card

D. A savings account that comes with no card attached

MAIN — Build a credit history with low utilization, on-time payments, and starter credit products

Question 4 of 5 · Learn and Apply

LEARN

An authorized user can use someone else's card. Many issuers report the account to the authorized user's credit file too, which can help, or hurt if the account is misused.

Leo is added as an authorized user on his mother's card. Her account has a long on-time history and low utilization. What can this do?

A. Make Leo responsible for her past debts

B. Give Leo his own separate credit limit and account

C. Help Leo's credit file show positive history

D. Erase his mother's late payments

MAIN — Build a credit history with low utilization, on-time payments, and starter credit products

Question 5 of 5 · Knowledge Check · Practical how-to

Which plan builds credit with the LEAST cost?

A. Carry a balance each month to show activity

B. Max out the card, then pay the minimum

C. Never use the card at all

D. Charge a small bill and pay it in full

BACKWARD B1 · concept review — Part-to-whole percents

Question 1 of 5 · Learn and Apply

LEARN

Percent = part ÷ whole × 100.

$200 is what percent of $1,000?

A. 2%

B. 20%

C. 80%

D. 500%

BACKWARD B1 · concept review — Part-to-whole percents

Question 2 of 5 · Learn and Apply

LEARN

Part = percent × whole.

A card has a $2,000 limit. What balance equals 10% utilization?

A. $20

B. $200

C. $1,800

D. $2,000

BACKWARD B1 · concept review — Part-to-whole percents

Question 3 of 5 · Knowledge Check

Which utilization is LOWEST?

A. $100 of a $2,000 limit

B. $100 of a $500 limit

C. $400 of a $1,000 limit

D. $900 of a $3,000 limit

BACKWARD B1 · concept review — Part-to-whole percents

Question 4 of 5 · Learn and Apply

LEARN

Utilization is balance ÷ limit. A larger limit with the same balance makes the fraction smaller.

If balances stay the same and a credit limit increases, what happens to utilization?

A. It goes up

B. It goes down

C. It stays the same

D. It becomes 100%

BACKWARD B1 · concept review — Part-to-whole percents

Question 5 of 5 · Knowledge Check

A card with a $500 limit has a $500 balance. What is utilization?

A. 0%

B. 50%

C. 100%

D. 500%

GO DEEPER 1 — Credit-builder loans and secured cards in detail

Question 1 of 5 · Learn and Apply

LEARN

With a credit-builder loan, the lender holds the loan amount in an account while you make payments. Payments are reported to bureaus, and you receive the money at the end. The cost is the interest and fees.

A credit-builder loan of $600 is held in a savings account while Ana makes 12 payments of $52. What does she receive at the end, and what did it cost?

A. $624; cost $0

B. $52; cost $548

C. $600; cost $52

D. $600; cost $24

GO DEEPER 1 — Credit-builder loans and secured cards in detail

Question 2 of 5 · Learn and Apply

LEARN

A secured card works like a regular credit card for utilization: balance ÷ limit.

Leo opens a secured card with a $300 deposit and a $300 limit. He charges $30 a month and pays in full. What is his utilization each month?

A. 1%

B. 10%

C. 30%

D. 100%

GO DEEPER 1 — Credit-builder loans and secured cards in detail

Question 3 of 5 · Learn and Apply

LEARN

Many secured cards review accounts after a period of good use and may convert them to regular (unsecured) cards.

After a year of on-time payments, some issuers "graduate" a secured card. What usually happens?

A. The deposit is kept as a fee

B. It becomes a regular card; the deposit is returned

C. The card is closed and a penalty is charged to Leo

D. Leo must pay a new deposit

GO DEEPER 1 — Credit-builder loans and secured cards in detail

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

A secured card helps build credit only if the issuer reports your payments to the credit bureaus.

Which question should Leo ask before opening a secured card?

A. Does the issuer report to all three credit bureaus?

B. Does the card offer cash-back rewards on purchases?

C. Will the deposit earn interest like savings?

D. Will it let me skip payments?

GO DEEPER 1 — Credit-builder loans and secured cards in detail

Question 5 of 5 · Learn and Apply

LEARN

When you pay the full balance every month, the APR does not affect your cost, but annual fees do.

A secured card has a $49 annual fee and 25.99% APR; another has $0 fee and 28.99% APR. Leo will pay in full every month. Which is cheaper?

A. The $49-fee card, because its APR is lower

B. They cost the same

C. The $0-fee card

D. Neither; both charge $49

GO DEEPER 2 — A first-year credit-building plan

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

The key habits for building credit are on-time payment, low balances, and few new applications.

Which step comes FIRST in a safe credit-building plan for a student?

A. Apply for five cards at once

B. Spend up to the limit each month to show activity

C. Set up autopay for the full statement balance

D. Lend the card to friends

GO DEEPER 2 — A first-year credit-building plan

Question 2 of 5 · Learn and Apply

LEARN

Card issuers usually report the balance shown on your statement. Paying before the statement closes lowers the reported balance and utilization.

Tia's statement balance would be $480 on a $600 limit (80%). She pays $400 BEFORE the statement closes. What utilization is reported?

A. 80%

B. 67%

C. 0%

D. About 13%

GO DEEPER 2 — A first-year credit-building plan

Question 3 of 5 · Learn and Apply

LEARN

Late payments of 30 days or more are usually reported to the bureaus and can stay on a credit report for years.

Which habit could LOWER Tia's score during her first year?

A. Missing a payment by 30+ days

B. Paying in full each month

C. Keeping utilization under 10%

D. Checking her own credit report

GO DEEPER 2 — A first-year credit-building plan

Question 4 of 5 · Learn and Apply

LEARN

Utilization = balance ÷ limit.

After a year, Tia's issuer offers a higher limit with no fee. If her spending stays the same, what effect does accepting it usually have?

A. Higher utilization

B. Lower utilization

C. A hard inquiry that lowers her score for years

D. A shorter average age of accounts

GO DEEPER 2 — A first-year credit-building plan

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

You can get free credit reports at AnnualCreditReport.com, and many banks and card issuers show a free score.

Which is the BEST way to check progress on building credit?

A. Check free reports and scores regularly

B. Pay for a "score boost" service

C. Apply for new cards to see if she is approved

D. Apply for loans now and then to see if approved

SET 43 · Investing, Brokerage Accounts, and Investment Products

Saving versus investing: risk and return

MAIN skill: Distinguish saving from investing and explain the relationship between risk and return

Outcome FL.INVEST.43 · National topic: Investing · NJSLS 9.1.12: FI, RM

Learning target: Explain the relationship between risk and return and compare saving with investing

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Saving versus investing (5 questions)
  Why: Students must tell a safe, insured deposit apart from an investment that can rise or fall before learning about brokerage accounts.
- B2 · Math link → G7-S08-M (Grade 7 7.RP.A.3): Find a percent increase or a percent decrease
  Why: Investment returns are percent changes.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Volatility and the order of returns (5 questions)
- Go Deeper 2: Matching investments to time horizons (5 questions)

Practical skills beyond the standards: Matching investments to time horizons

Content status: stable

Source: SEC Investor.gov — Investments are not federally insured, can lose value, and generally carry more risk and more potential return than insured savings.
https://www.investor.gov/introduction-investing/investing-basics/save-and-invest/saving-investing

MAIN — Distinguish saving from investing and explain the relationship between risk and return

Question 1 of 5 · Learn and Apply

LEARN

Saving means setting money aside in safe, easy-to-reach places, such as insured bank accounts, for short-term goals and emergencies. Investing means buying assets, such as stocks, bonds, or funds, that may grow over time but can also lose value. Investments are not FDIC insured.

Which statement best describes the difference between saving and investing?

A. Saving and investing are two words for the same thing

B. Investing is guaranteed to earn more than saving every year

C. Saving always loses money, while investing never does

D. Saving keeps money safe and available; investing seeks growth but can lose value

MAIN — Distinguish saving from investing and explain the relationship between risk and return

Question 2 of 5 · Learn and Apply

LEARN

Time horizon is how long until you need the money. Money needed soon should not be exposed to market drops. Long horizons give investments time to recover from downturns.

Which goal is generally BETTER suited to investing than to a savings account?

A. An emergency fund that must be available next week

B. Retirement in 40 years

C. Rent due at the start of next month

D. A car repair expected in two months

MAIN — Distinguish saving from investing and explain the relationship between risk and return

Question 3 of 5 · Learn and Apply

LEARN

Risk is the chance that an investment's results will differ from what you expect, including losing money. In general, investments with higher expected returns have bigger ups and downs. Past averages do not guarantee future results.

Investment A has averaged 3% a year with small ups and downs. Investment B has averaged 9% a year but sometimes lost 30% in a year. What does this illustrate?

A. Investment B is guaranteed to earn 9% every year

B. Investment A can never lose any money at all

C. Higher potential return usually comes with higher risk

D. Risk and return are completely unrelated to each other

MAIN — Distinguish saving from investing and explain the relationship between risk and return

Question 4 of 5 · Learn and Apply

LEARN

Percent return = (ending value − starting value) ÷ starting value × 100.

A stock fund rose from $50 to $58 a share in a year. What was the percent return (no dividends)?

A. 8%

B. 13.8%

C. 16%

D. 116%

MAIN — Distinguish saving from investing and explain the relationship between risk and return

Question 5 of 5 · Knowledge Check

Which is TRUE about money invested in a stock fund through a brokerage account?

A. It is FDIC insured up to $250,000, like a bank savings account

B. It can lose value and is not FDIC insured

C. It always keeps at least its starting value

D. It is guaranteed by the federal government

BACKWARD B1 · concept review — Saving versus investing

Question 1 of 5 · Learn and Apply

LEARN

Saving keeps money safe and available, usually in insured bank or credit union accounts. Investing buys assets that can rise or fall in value.

Which is an example of SAVING?

A. Putting $50 a month into an insured savings account

B. Buying shares of one technology company every month

C. Buying a stock index fund

D. Buying a corporate bond fund

BACKWARD B1 · concept review — Saving versus investing

Question 2 of 5 · Learn and Apply

LEARN

Investing means using money to buy assets, such as stocks, bonds, or funds, hoping they grow in value or pay income.

Which is an example of INVESTING?

A. Opening a checking account

B. Keeping cash in a wallet

C. Buying shares of a company

D. Depositing money in a savings account

BACKWARD B1 · concept review — Saving versus investing

Question 3 of 5 · Learn and Apply

LEARN

Stock prices change with market conditions and can fall below what you paid. Insured deposits keep their dollar value up to the insurance limit.

Which can LOSE value because of market changes?

A. An FDIC-insured savings account

B. An insured certificate of deposit held to maturity

C. Cash in an insured checking account

D. A stock

BACKWARD B1 · concept review — Saving versus investing
Question 4 of 5 · Knowledge Check

Why do people invest if investments can lose value?

A. Because investments are guaranteed to rise every year
B. Because investing is the same thing as saving in a bank
C. For the chance of higher long-term growth than savings
D. Because investments are always insured

BACKWARD B1 · concept review — Saving versus investing

Question 5 of 5 · Learn and Apply

LEARN

Money needed very soon should be kept where its value will not drop.

Kim needs $800 for books in one month. Where should that money be?

A. In savings or checking, not invested

B. In a single stock she likes and follows

C. In a 10-year bond

D. In cryptocurrency

GO DEEPER 1 — Volatility and the order of returns

Question 1 of 5 · Learn and Apply

LEARN

Percent changes multiply. A loss needs a larger percent gain to recover: after a 20% drop, a 20% gain does not get you back to the start.

An investment falls 20% one year, then rises 20% the next. Starting from $1,000, what is it worth after two years?

A. $800

B. $960

C. $1,000

D. $1,040

GO DEEPER 1 — Volatility and the order of returns

Question 2 of 5 · Learn and Apply

LEARN

Recovery gain needed = loss ÷ remaining value.

After an investment falls 50%, what percent gain is needed to return to the original value?

A. 25%

B. 50%

C. 100%

D. 150%

GO DEEPER 1 — Volatility and the order of returns

Question 3 of 5 · Learn and Apply

LEARN

Volatility describes how much returns swing up and down. Two investments with the same average can have very different risk.

Two investments both average 6% a year. Which is generally riskier?

A. The one with returns between 4% and 8%

B. The one whose yearly returns swing between −25% and +35%

C. They are equally risky because their average returns match

D. The one that is newer to the market

GO DEEPER 1 — Volatility and the order of returns

Question 4 of 5 · Learn and Apply

LEARN

A longer time horizon allows investors to wait out market declines rather than selling at a loss.

Why might a young investor accept more volatility for long-term goals?

A. Young investors cannot lose money

B. Volatility disappears after age 30

C. Markets rise every single year for young people

D. There is more time to recover from downturns

GO DEEPER 1 — Volatility and the order of returns

Question 5 of 5 · Learn and Apply

LEARN

Selling during a downturn turns a temporary drop in value into a realized loss.

An investor sells everything after a 25% drop and misses the recovery. Which behavior caused the loss to become permanent?

A. Holding a diversified fund through ups and downs

B. Investing regularly each month

C. Panic selling during a downturn

D. Reading the fund's prospectus

GO DEEPER 2 — Matching investments to time horizons

Question 1 of 5 · Learn and Apply

LEARN

Short horizons call for safety; long horizons can take on more risk for growth.

Which mix is most sensible for money needed in 2 years for a down payment?

A. Mostly individual stocks she picks herself

B. All cryptocurrency

C. A 30-year bond

D. Mostly insured savings or short-term CDs

GO DEEPER 2 — Matching investments to time horizons

Question 2 of 5 · Knowledge Check

Which goal has the LONGEST time horizon?

A. Retirement savings for a 20-year-old

B. A spring break trip next year

C. A laptop she needs next semester for class

D. A car in 3 years

GO DEEPER 2 — Matching investments to time horizons

Question 3 of 5 · Learn and Apply

LEARN

Each goal can have its own strategy based on when the money is needed.

A 16-year-old saving for college in 2 years and for retirement in 50 years should use...

A. the same high-risk investment for both

B. different strategies for each goal

C. cash under the mattress for both

D. no plan for either

GO DEEPER 2 — Matching investments to time horizons

Question 4 of 5 · Learn and Apply

LEARN

Risk tolerance is your ability and willingness to handle investment losses without abandoning your plan.

What is "risk tolerance"?

A. The highest return an investor can expect to earn

B. The minimum deposit needed to open an account

C. How much ups and downs an investor can handle

D. A guarantee against loss

GO DEEPER 2 — Matching investments to time horizons

Question 5 of 5 · Learn and Apply

LEARN

The real return is roughly the nominal return minus inflation.

An investment pays 2% while prices rise 3% a year. What happens to purchasing power?

A. It rises by 2% a year

B. It falls by about 1% a year

C. It rises by 5% a year

D. It stays the same as last year

SET 44 · Investing, Brokerage Accounts, and Investment Products

Brokerage firms and brokerage accounts

MAIN skill: Explain what a brokerage firm and brokerage account are, and how they differ from banks

Outcome FL.INVEST.44 · National topic: Investing · NJSLS 9.1.12: FI

Learning target: Explain the role of brokerage firms and how investor protections differ from deposit insurance

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Banking versus investing accounts (5 questions)
  - Why: Students who mix up banking and investing accounts cannot follow brokerage questions; this is a financial-concept prerequisite, not a math one.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: What a brokerage account can hold (5 questions)
- Go Deeper 2: SIPC and FDIC protections in detail (5 questions)

Practical skills beyond the standards: Checking a broker on FINRA BrokerCheck

Content status: time-sensitive

Source: SIPC — SIPC protects customers of failed member brokerage firms up to $500,000, including a $250,000 limit for cash; it does not protect against declines in investment value. https://www.sipc.org/for-investors/what-sipc-protects

Source: SEC Investor.gov — Investments are not federally insured, can lose value, and generally carry more risk and more potential return than insured savings.
https://www.investor.gov/introduction-investing/investing-basics/save-and-invest/saving-investing

MAIN — Explain what a brokerage firm and brokerage account are, and how they differ from banks

Question 1 of 5 · Learn and Apply

LEARN

A brokerage account allows someone to buy and hold investments such as stocks, bonds, and exchange-traded funds. Brokerage firms include Charles Schwab, Fidelity, and E*TRADE. Unlike an ordinary checking account, a brokerage account is commonly used for investing.

Someone wants to purchase shares of a publicly traded company. Which type of account would generally allow them to do that?

A. Brokerage account

B. Standard checking account

C. Traditional savings account

D. Certificate of deposit

MAIN — Explain what a brokerage firm and brokerage account are, and how they differ from banks

Question 2 of 5 · Learn and Apply

LEARN

A brokerage firm (broker-dealer) is a company registered to buy and sell securities, such as stocks, bonds, and funds, for its customers. It keeps customers' investments in brokerage accounts and sends statements. Some companies offer both banking and brokerage services, but the accounts are different products.

What does a brokerage firm do?

A. It insures bank deposits up to $250,000 for each depositor

B. It sets the interest rates that every bank must pay to its savers each year

C. It collects federal income taxes from investors

D. It buys and sells investments for customers and holds them in accounts

MAIN — Explain what a brokerage firm and brokerage account are, and how they differ from banks

Question 3 of 5 · Learn and Apply

LEARN

Examples of brokerage firms include Charles Schwab, Fidelity, E*TRADE, and Vanguard. Naming them is not an endorsement; firms differ in fees, services, and investment choices.

Which pair lists two brokerage firms?

A. The FDIC and the NCUA

B. Fidelity and Charles Schwab

C. Equifax and TransUnion, the bureaus

D. Visa and Mastercard

MAIN — Explain what a brokerage firm and brokerage account are, and how they differ from banks

Question 4 of 5 · Learn and Apply

LEARN

A bank deposit is a promise by the bank to repay your dollars, protected by deposit insurance. An investment is ownership of an asset whose market value can change.

Ella keeps $3,000 in a bank savings account and $3,000 in a stock fund in her brokerage account. A market drop cuts stock prices 20%. Which statement is TRUE?

A. The fund falls to about $2,400; the savings stay at $3,000

B. Both fall to $2,400, because both are her money

C. Both stay at $3,000 because both of her accounts are insured

D. The savings fall to $2,400 but the fund stays at $3,000

MAIN — Explain what a brokerage firm and brokerage account are, and how they differ from banks

Question 5 of 5 · Learn and Apply

LEARN

SIPC (Securities Investor Protection Corporation) protects customers of failed member brokerage firms up to $500,000, including $250,000 for cash, when securities or cash are missing. SIPC does not protect against market losses. The FDIC protects bank deposits, not investments.

Ella's brokerage firm fails, and some customer securities are missing. Which protection may help her?

A. FDIC insurance on her investment losses

B. SIPC payment for any drop in her stock prices

C. SIPC, which restores missing assets up to its limits

D. No protection of any kind exists for brokerage customers

BACKWARD B1 · concept review — Banking versus investing accounts

Question 1 of 5 · Learn and Apply

LEARN

Many workers have their paychecks deposited into bank accounts. Checking accounts are commonly used for paying bills, while savings accounts are used for setting aside money. A brokerage account is generally used to buy and hold investments, such as stocks and funds. Some companies offer both banking and brokerage services.

Which account would generally be used to purchase shares of a publicly traded company?

A. Standard checking account

B. Traditional savings account

C. Certificate of deposit

D. Brokerage account

BACKWARD B1 · concept review — Banking versus investing accounts
Question 2 of 5 · Learn and Apply

LEARN
Checking accounts are designed for frequent payments and debit card use.

Which account is MOST often used to pay rent and everyday bills?

A. A brokerage account
B. A certificate of deposit
C. A checking account
D. A retirement account

BACKWARD B1 · concept review — Banking versus investing accounts

Question 3 of 5 · Learn and Apply

LEARN

Savings accounts are insured deposits that keep money safe and available.

Which account is MOST often used to set aside money safely for an emergency?

A. A savings account

B. A brokerage account full of stocks

C. A cryptocurrency wallet

D. A collectibles collection

BACKWARD B1 · concept review — Banking versus investing accounts

Question 4 of 5 · Learn and Apply

LEARN

Who sells a product does not change what it is. Investments sold through a bank are still investments.

A bank also offers brokerage services. Ben buys a stock fund through the bank's investment arm. Is the fund a bank deposit?

A. Yes, because the bank's name is on it

B. No; it is an investment, not a deposit

C. Yes, if Ben has a checking account there

D. Yes, but only for the first year

BACKWARD B1 · concept review — Banking versus investing accounts
Question 5 of 5 · Knowledge Check

Which statement is TRUE about stocks held in a brokerage account?

A. Their value is fixed once they are bought
B. They earn a fixed interest rate like savings
C. They are FDIC insured
D. Their value can rise or fall

GO DEEPER 1 — What a brokerage account can hold

Question 1 of 5 · Learn and Apply

LEARN

Brokerage accounts can hold many kinds of securities: individual stocks, bonds, mutual funds, exchange-traded funds (ETFs), and cash (often in a money market fund or bank "sweep" program).

Which investments can a typical brokerage account hold?

A. Only savings deposits and checking accounts

B. Stocks, bonds, mutual funds, and ETFs

C. Only real estate deeds

D. Only gift cards and store credit

GO DEEPER 1 — What a brokerage account can hold

Question 2 of 5 · Learn and Apply

LEARN

When you deposit money into a brokerage account, it sits as cash until you choose investments. Brokers often place this cash in a bank sweep program or a money market fund.

Cash waiting in a brokerage account is often kept in a "sweep" program or money market fund. What is it doing there?

A. Automatically buying stocks every day

B. Earning the stock market's return

C. Waiting to be invested or withdrawn

D. Paying the broker's taxes

GO DEEPER 1 — What a brokerage account can hold

Question 3 of 5 · Learn and Apply

LEARN

A brokerage firm holds securities in custody for customers, but the customer owns them. Customer assets must be kept separate from the firm's own assets.

Who OWNS the stocks held in Mia's brokerage account?

A. Mia, the account owner

B. The brokerage firm that holds it

C. The stock exchange

D. The SEC

GO DEEPER 1 — What a brokerage account can hold

Question 4 of 5 · Learn and Apply

LEARN

The Securities and Exchange Commission (SEC) regulates securities markets. FINRA, a self-regulatory organization overseen by the SEC, supervises brokerage firms and registered brokers.

Which agency regulates brokerage firms in the United States?

A. The FDIC

B. The IRS

C. The CFPB only

D. The SEC, with FINRA overseeing brokers

GO DEEPER 1 — What a brokerage account can hold

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

FINRA BrokerCheck is a free online tool that shows whether a person or firm is registered and any disciplinary actions.

Before using a broker or financial professional, which free tool shows their registration and disciplinary history?

A. The FDIC's BankFind tool

B. A social media review

C. A credit report from one bureau

D. FINRA BrokerCheck

GO DEEPER 2 — SIPC and FDIC protections in detail

Question 1 of 5 · Learn and Apply

LEARN

SIPC steps in when a member brokerage firm fails and customer cash or securities are missing. It does not protect against investment losses from market movements or bad advice.

Which loss is protected by SIPC?

A. A stock that falls 30% in value

B. Customer securities missing after a member broker fails

C. Losses from a bad investment choice

D. Losses to an investment scam run outside the brokerage firm

GO DEEPER 2 — SIPC and FDIC protections in detail

Question 2 of 5 · Learn and Apply

LEARN

SIPC restores missing securities and cash up to its limits; the cash limit is lower than the total limit.

SIPC protection is up to $500,000 per customer, including up to $250,000 for cash. Sam has $400,000 of stocks missing at a failed broker. Up to how much may SIPC restore?

A. $0

B. $250,000

C. $400,000

D. $500,000

GO DEEPER 2 — SIPC and FDIC protections in detail

Question 3 of 5 · Learn and Apply

LEARN

SIPC limits: up to $500,000 per customer in total, of which no more than $250,000 can be for cash.

Kai has $300,000 of cash missing at a failed SIPC member broker. Up to how much of the cash may SIPC restore?

A. $0

B. $250,000

C. $300,000

D. $500,000

GO DEEPER 2 — SIPC and FDIC protections in detail

Question 4 of 5 · Learn and Apply

LEARN

The FDIC insures bank deposits; SIPC protects brokerage customers when member firms fail.

Which protection applies to a savings account at a bank?

A. FDIC deposit insurance

B. SIPC protection

C. FINRA insurance coverage

D. SEC insurance

GO DEEPER 2 — SIPC and FDIC protections in detail

Question 5 of 5 · Learn and Apply

LEARN

Claims that an investment "can never lose money" are false. Every investment carries risk.

A website claims, "Our investments are SIPC insured, so you can never lose money." What is wrong?

A. Nothing; SIPC guarantees all investment returns

B. SIPC covers only bank deposits

C. SIPC does not protect against market losses

D. SIPC protects only crypto

SET 45 · Investing, Brokerage Accounts, and Investment Products

Opening and funding a brokerage account

MAIN skill: Complete the steps to open and fund a brokerage account and distinguish funding from investing

Outcome FL.INVEST.45 · National topic: Investing · NJSLS 9.1.12: FI, PB

Learning target: Describe how to open and fund an investment account and the difference between funding and investing

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Moving money between accounts (5 questions)

Why: Students must understand transfers between accounts before separating funding from investing.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Comparing brokerage firms (5 questions)

Go Deeper 2: Custodial accounts and getting started as a teen (5 questions)

Practical skills beyond the standards: Opening and funding a brokerage account step by step; Custodial accounts for minors

Content status: time-sensitive

Source: SEC Investor.gov — Opening a brokerage account requires personal information such as Social Security number, date of birth, address, employment, and investment objectives. https://www.investor.gov/introduction-investing/getting-started/working-investment-professional/opening-brokerage-account

Source: SEC — The standard settlement cycle for most broker-dealer securities transactions is T+1 (effective May 28, 2024). https://www.sec.gov/newsroom/press-releases/2023-29

MAIN — Complete the steps to open and fund a brokerage account and distinguish funding from investing

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

Brokerage firms must verify your identity and learn about your situation. Applications usually ask for name, address, date of birth, Social Security number (or other taxpayer ID), employment information, and investment experience and goals.

Which information is generally required to open a brokerage account?

A. A credit card number and its security code

B. A copy of your last tax refund check

C. Social Security number, date of birth, address, and employment details

D. Your high school transcript and test scores

MAIN — Complete the steps to open and fund a brokerage account and distinguish funding from investing

Question 2 of 5 · Learn and Apply

LEARN

Minors generally cannot open individual brokerage accounts. A custodial account (often under the UTMA or UGMA laws) is opened by an adult custodian for a minor; the assets belong to the minor and are transferred to them at the age set by state law.

Leo, 16, wants to invest. Most brokerage firms require individual account owners to be adults. Which option fits his age?

A. A custodial account managed by an adult for Leo

B. An individual account opened in Leo's name alone

C. Using a parent's individual account without telling them

D. Waiting until age 30, the minimum to invest

MAIN — Complete the steps to open and fund a brokerage account and distinguish funding from investing

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

Funding means moving money into the account, often by an electronic transfer from a bank. After funding, the money sits as cash until you place an order to buy an investment.

Ana links her checking account and transfers $500 to her new brokerage account. What has she done?

A. Bought $500 of stock automatically

B. Bought a $500 savings bond

C. Paid a $500 fee to open the account

D. Funded the account; she has not bought any investment yet

MAIN — Complete the steps to open and fund a brokerage account and distinguish funding from investing

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Investing requires choosing a specific investment (such as a fund) and placing an order. Many accounts leave deposited money in cash until you do.

Ana's brokerage account shows $500 in "cash" and $0 in investments. What should she do to invest?

A. Nothing; the cash is invested automatically

B. Choose an investment and place a buy order

C. Transfer the money back to checking

D. Call the FDIC to activate investing

MAIN — Complete the steps to open and fund a brokerage account and distinguish funding from investing

Question 5 of 5 · Knowledge Check

Ana places an order and buys $480 of a fund, leaving $20 in cash. What does her account hold?

A. $480 in the fund and $20 in cash

B. $500 in the fund

C. $500 in cash

D. $480 in cash and $20 in the fund

BACKWARD B1 · concept review — Moving money between accounts

Question 1 of 5 · Learn and Apply

LEARN

Transfers move money between your accounts. The money stays yours; only its location changes.

What is an electronic transfer between your bank and your brokerage account?

A. Borrowing money from the broker

B. Moving your own money from one account to another

C. Buying shares of a fund

D. Buying a stock automatically

BACKWARD B1 · concept review — Moving money between accounts

Question 2 of 5 · Knowledge Check

After $200 moves from checking to brokerage, what happens to the checking balance?

A. It goes up by $200

B. It stays the same until she sells

C. It doubles

D. It goes down by $200

BACKWARD B1 · concept review — Moving money between accounts

Question 3 of 5 · Learn and Apply

LEARN

"Funding" an account means putting money into it. Buying an investment with that money is a separate step.

Ben moves $200 from checking into his brokerage account but buys nothing yet. Which step has he completed?

A. Buying an investment

B. Opening a margin loan

C. Funding the account

D. Selling shares

BACKWARD B1 · concept review — Moving money between accounts

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Electronic transfers use routing and account numbers, never PINs or passwords.

What information links a bank account for transfers?

A. Your debit card PIN

B. Your online banking password

C. Your credit card number and expiration date

D. The bank's routing number and your account number

BACKWARD B1 · concept review — Moving money between accounts

Question 5 of 5 · Knowledge Check

Ben transfers $100 to his brokerage account but forgets to buy anything. What is the $100 doing?

A. Sitting as cash in the account

B. Growing automatically with the stock market

C. Earning a guaranteed 10%

D. Returned to his bank automatically

GO DEEPER 1 — Comparing brokerage firms

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

Brokerage firms differ in commissions and account fees, available investments (for example, low-cost index funds), account minimums, fractional shares, research tools, and customer service.

Which features are most useful to compare when choosing a brokerage firm?

A. How often the firm advertises on TV

B. Fees, investment choices, minimums, and tools

C. Which firm a friend happened to use

D. The number of offices the firm has in other countries

GO DEEPER 1 — Comparing brokerage firms

Question 2 of 5 · Learn and Apply

LEARN

Small yearly fees add up: total = fee × years.

Broker A charges a $25 yearly account fee; Broker B charges none. Over 10 years, how much more does Broker A cost in account fees?

A. $0

B. $2.50

C. $25

D. $250

GO DEEPER 1 — Comparing brokerage firms

Question 3 of 5 · Learn and Apply

LEARN

With fractional shares, shares bought = dollars invested ÷ price per share.

Fractional shares let investors buy part of a share. A share costs $400, and Sam invests $50. What fraction of a share does he buy?

A. 8

B. 1/4

C. 1/8

D. 1/400

GO DEEPER 1 — Comparing brokerage firms

Question 4 of 5 · Learn and Apply

LEARN

The standard settlement cycle for most U.S. stock trades became T+1 (trade date plus one business day) in May 2024.

Settlement is when ownership and money officially change hands. For most stock trades the standard is "T+1." What does that mean?

A. The trade takes one year

B. The trade settles one business day after the trade date

C. The trade can be reversed for one day

D. The trade costs $1

GO DEEPER 1 — Comparing brokerage firms

Question 5 of 5 · Learn and Apply

LEARN

Many firms offer brokerage accounts. Examples in this course are for recognition only.

Which statement about mentioning firms like Fidelity, Charles Schwab, or E*TRADE in this course is accurate?

A. They are the only brokers that are legal to use

B. They are recommended by the course as the best choices

C. They are government agencies

D. They are examples, not recommendations

GO DEEPER 2 — Custodial accounts and getting started as a teen

Question 1 of 5 · Learn and Apply

LEARN

Assets in a UTMA/UGMA custodial account legally belong to the minor. The custodian manages them for the minor's benefit until the age set by state law.

In a custodial account for Leo, who owns the investments?

A. Leo, though an adult manages them until he reaches the age set by law

B. The adult custodian forever

C. The brokerage firm

D. The state government

GO DEEPER 2 — Custodial accounts and getting started as a teen

Question 2 of 5 · Learn and Apply

LEARN

Gifts to UTMA/UGMA accounts are irrevocable: they cannot be taken back.

A custodial account receives a $1,000 gift. Can the custodian later take it back for personal use?

A. Yes, at any time

B. Yes, after one year

C. No; gifts to a custodial account belong to the minor

D. Yes, if the stock falls

GO DEEPER 2 — Custodial accounts and getting started as a teen

Question 3 of 5 · Knowledge Check

Leo puts $25 a month into an index fund in his custodial account. How much does he contribute in 3 years?

A. $75

B. $300

C. $900

D. $9,000

GO DEEPER 2 — Custodial accounts and getting started as a teen

Question 4 of 5 · Learn and Apply

LEARN

With dollar-cost averaging, you invest the same dollar amount each period, so you automatically buy more shares when prices are low and fewer when prices are high.

Investing a fixed amount on a regular schedule is called dollar-cost averaging. What happens when prices are low?

A. The fixed amount buys more shares

B. The fixed amount buys fewer shares

C. The investor must wait for prices to recover

D. The price is guaranteed to rise next month

GO DEEPER 2 — Custodial accounts and getting started as a teen

Question 5 of 5 · Learn and Apply

LEARN

Shares bought = dollars invested ÷ price per share.

Leo invests $25 when a fund is $5 a share and $25 when it is $10 a share. How many shares does he own?

A. 5 shares

B. 2.5 shares

C. 7.5 shares

D. 10 shares

SET 46 · Investing, Brokerage Accounts, and Investment Products

Stocks: ownership, prices, and dividends

MAIN skill: Explain stock ownership and calculate gains, losses, and dividend income

Outcome FL.INVEST.46 · National topic: Investing · NJSLS 9.1.12: FI

Learning target: Explain stocks, dividends, capital gains, and why stock prices change

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Owners and lenders (5 questions)
  Why: Stock questions depend on separating owning a company (stock) from lending to it (bond) or depositing money (bank).
- B2 · Math link → G7-S08-M (Grade 7 7.RP.A.3): Find a percent increase or a percent decrease
  Why: Stock returns are percent changes in price.
- B3 · Math link → G7-S20-M (Grade 7 7.NS.A.2.a): Interpret products of rational numbers in real-world situations
  Why: Gains and losses multiply a per-share change (possibly negative) by the number of shares.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: How stock prices change (5 questions)
- Go Deeper 2: Picking individual stocks versus owning many (5 questions)

Practical skills beyond the standards: Researching companies with SEC filings

Content status: stable

MAIN — Explain stock ownership and calculate gains, losses, and dividend income

Question 1 of 5 · Learn and Apply

LEARN

A stock (share) is a unit of ownership in a corporation. Shareholders can benefit if the company grows (the share price may rise) and may receive dividends, which are payments from profits. If the company does poorly, the share price can fall, even to zero.

What does owning a share of stock mean?

A. Lending money to a company for a fixed interest rate

B. Depositing money in a company's bank account

C. Having a guaranteed right to a fixed yearly payment

D. Owning a small part of a company

MAIN — Explain stock ownership and calculate gains, losses, and dividend income

Question 2 of 5 · Learn and Apply

LEARN

Gain or loss = (selling price − purchase price) × number of shares.

Jada buys 20 shares at $45 and sells them later at $52. Ignoring fees, what is her gain?

A. $7

B. $140

C. $900

D. $1,040

MAIN — Explain stock ownership and calculate gains, losses, and dividend income

Question 3 of 5 · Learn and Apply

LEARN

A dividend is a payment a company may make to shareholders, usually from profits, often quarterly. Dividends are not guaranteed; companies can raise, cut, or stop them.

A stock pays a yearly dividend of $1.80 per share. Omar owns 50 shares. How much dividend income does he receive in a year?

A. $1.80

B. $51.80

C. $90

D. $900

MAIN — Explain stock ownership and calculate gains, losses, and dividend income

Question 4 of 5 · Learn and Apply

LEARN

Percent change = (new − old) ÷ old × 100. A negative result is a decrease.

A stock price falls from $80 to $60. What is the percent change?

A. −33.3%

B. −25%

C. −20%

D. 25%

MAIN — Explain stock ownership and calculate gains, losses, and dividend income

Question 5 of 5 · Knowledge Check

Why do stock prices change?

A. The government sets stock prices every morning

B. Buyers and sellers change what they are willing to pay

C. Prices rise by the same amount every day

D. Companies choose one price and never change it afterward

BACKWARD B1 · concept review — Owners and lenders

Question 1 of 5 · Learn and Apply

LEARN

Shareholders own part of a company. Bondholders lend to it. Customers buy from it.

Which person is an OWNER of a company?

A. Someone who lent it money through a bond

B. Someone who deposits money in a bank

C. Someone who holds its shares

D. Someone who buys its products

BACKWARD B1 · concept review — Owners and lenders

Question 2 of 5 · Learn and Apply

LEARN

Owners share in a company's success through price gains and dividends, and in its losses through price declines.

If a company earns larger profits, what can happen to its shareholders?

A. They must pay the company's taxes out of pocket

B. The share price may rise and dividends may grow

C. They lose their shares

D. Nothing ever changes for them

BACKWARD B1 · concept review — Owners and lenders

Question 3 of 5 · Knowledge Check

If a company fails, what can happen to its stock?

A. It can lose most or all of its value

B. It is repaid in full by the government

C. It turns into a bond that pays interest

D. Shareholders are paid before lenders

BACKWARD B1 · concept review — Owners and lenders

Question 4 of 5 · Learn and Apply

LEARN

Shareholders can earn money two ways: a capital gain when they sell shares for more than they paid, and a dividend when the company pays out part of its profits.

A company sends each shareholder $0.50 per share from its profits. What is this payment called?

A. Interest

B. A capital gain

C. A premium

D. A dividend

BACKWARD B1 · concept review — Owners and lenders

Question 5 of 5 · Knowledge Check

A share bought for $30 is now worth $36. What is the gain per share?

A. $6

B. 20

C. $36

D. $66

GO DEEPER 1 — How stock prices change

Question 1 of 5 · Learn and Apply

LEARN

Stock prices reflect expectations about a company's future profits. News that beats expectations often pushes prices up; disappointing news often pushes them down.

A company reports much higher profits than investors expected. What is the most likely immediate effect on its stock price?

A. It tends to rise

B. It tends to fall

C. It must stay the same by law

D. It drops to zero

GO DEEPER 1 — How stock prices change

Question 2 of 5 · Learn and Apply

LEARN

Short-term price moves often reflect changing expectations, news, interest rates, and investor emotions, not just company results.

A stock's price rose 10% one day, though the company's business did not change. Which explanation fits best?

A. The company doubled its size overnight that day

B. The SEC raised the price

C. Investor expectations or market mood shifted

D. Stock prices only change with profits

GO DEEPER 1 — How stock prices change

Question 3 of 5 · Learn and Apply

LEARN

Higher interest rates make bonds and savings more attractive and raise borrowing costs for companies, which can lower stock prices.

If interest rates rise, many stocks fall. Why might that happen?

A. Stocks pay fixed interest that falls

B. Higher rates raise company profits right away

C. Interest rates and stocks are unrelated

D. Safer investments now pay more, so stocks look less attractive

GO DEEPER 1 — How stock prices change

Question 4 of 5 · Learn and Apply

LEARN

Total return includes price change plus dividends: (ending price − starting price + dividends) ÷ starting price × 100.

A stock bought at $40 pays $2 in dividends over a year and ends at $44. What is the total return?

A. 5%

B. 6%

C. 10%

D. 15%

GO DEEPER 1 — How stock prices change

Question 5 of 5 · Knowledge Check

Which statement about past stock performance is TRUE?

A. A stock that rose last year will rise this year

B. It does not guarantee future results

C. Past returns set future prices by law

D. Only past performance matters

GO DEEPER 2 — Picking individual stocks versus owning many

Question 1 of 5 · Learn and Apply

LEARN

Owning a single company concentrates risk: problems at that one company affect all of your money.

Lia puts all $1,000 of her savings into one company's stock. The company has a major scandal, and the stock falls 70%. How much is her investment worth?

A. $300

B. $700

C. $930

D. $1,000

GO DEEPER 2 — Picking individual stocks versus owning many

Question 2 of 5 · Learn and Apply

LEARN

In a diversified fund, a single company's loss is multiplied by its small share of the fund.

Owning shares of 500 companies through a fund, with one company falling 70%, would affect the whole fund about how much (if that company were 0.2% of the fund)?

A. About 70%

B. About 14%

C. About 0.70%

D. About 0.14%

GO DEEPER 2 — Picking individual stocks versus owning many

Question 3 of 5 · Learn and Apply

LEARN

Picking stocks that beat the market is hard even for professionals, especially after fees.

Studies show that most professional fund managers who pick stocks fail to beat broad market index funds over long periods after fees. What does this suggest for beginners?

A. Low-cost diversified index funds are a reasonable core choice

B. Beginners should always pick individual stocks instead of funds

C. Stocks should be avoided entirely

D. Fees make no difference to results

GO DEEPER 2 — Picking individual stocks versus owning many

Question 4 of 5 · Learn and Apply

LEARN

Stocks and funds trade on exchanges under short codes called ticker symbols.

What is a "ticker symbol"?

A. The price of a stock

B. A government ID number

C. A short code that identifies a stock or fund on an exchange

D. A type of bond

GO DEEPER 2 — Picking individual stocks versus owning many

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

Public companies must file reports with the SEC, available free on the SEC's EDGAR database.

Which source gives the official, detailed description of a company's business and risks?

A. A social media post about the stock

B. Its filings with the SEC, such as the annual 10-K report

C. An ad for a trading app

D. A friend's tip

SET 47 · Investing, Brokerage Accounts, and Investment Products

Bonds: lending to governments and companies

MAIN skill: Explain how bonds work and calculate bond interest

Outcome FL.INVEST.47 · National topic: Investing · NJSLS 9.1.12: FI

Learning target: Compare bonds with stocks and explain bond risks and returns

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Borrowers, lenders, and interest (5 questions)
  - Why: Bonds reverse the roles students know from loans: the investor is the lender.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Coupon interest is a percent of face value.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Types of bonds (5 questions)
- Go Deeper 2: Bond prices and interest rates (5 questions)

Practical skills beyond the standards: After-tax yield comparison

Content status: stable

Source: SEC Investor.gov — When interest rates rise, prices of existing bonds generally fall; bonds carry interest rate risk and credit (default) risk.
https://www.investor.gov/introduction-investing/investing-basics/investment-products/bonds-or-fixed-income-products/bonds

MAIN — Explain how bonds work and calculate bond interest

Question 1 of 5 · Learn and Apply

LEARN

A bond is a loan from the investor to an issuer, such as a company, a city, or the U.S. government. The issuer promises to pay interest (the coupon) on a schedule and repay the face value at maturity. Bonds are investments, not deposits, and can lose value.

What does an investor do when buying a bond?

A. Lends money to the issuer in return for interest and repayment

B. Buys ownership in the issuer and a vote at shareholder meetings

C. Opens an insured deposit at a bank branch

D. Pays a fee for the right to buy stock later

MAIN — Explain how bonds work and calculate bond interest

Question 2 of 5 · Learn and Apply

LEARN

Yearly coupon interest = face value × coupon rate. Many bonds pay half of it every six months.

A $1,000 bond has a 4% coupon rate. How much interest does it pay per year?

A. $4

B. $40

C. $400

D. $1,040

MAIN — Explain how bonds work and calculate bond interest

Question 3 of 5 · Learn and Apply

LEARN

Existing bond prices move opposite to interest rates. When rates rise, older bonds paying lower coupons become less attractive, so their prices fall; when rates fall, their prices rise. This is interest rate risk.

Ivy owns a bond paying 3%. New bonds now pay 5%. What usually happens to the market price of Ivy's bond?

A. It rises

B. It falls

C. It stays exactly at face value no matter what

D. It turns into a 5% bond automatically

MAIN — Explain how bonds work and calculate bond interest

Question 4 of 5 · Learn and Apply

LEARN

Credit (default) risk is the chance the issuer cannot pay. Ratings agencies grade bonds; "investment grade" bonds have lower risk, and "high-yield" ("junk") bonds have higher risk and higher interest. U.S. Treasury securities are backed by the U.S. government.

Which bond generally has the LOWEST risk of default?

A. A bond from a new company with heavy debt

B. A "junk" bond with a low credit rating

C. A U.S. Treasury bond

D. A bond from a company that recently missed payments

MAIN — Explain how bonds work and calculate bond interest

Question 5 of 5 · Learn and Apply

LEARN

Current yield = yearly interest ÷ current price × 100. Buying below face value raises the yield.

A $1,000 bond paying $50 a year is bought for $950. What is its current yield (nearest tenth of a percent)?

A. 4.8%

B. 5.0%

C. 5.3%

D. 95.0%

BACKWARD B1 · concept review — Borrowers, lenders, and interest

Question 1 of 5 · Learn and Apply

LEARN

When an organization sells bonds, it is borrowing from the investors who buy them.

When a city sells bonds to build a bridge, who is borrowing?

A. The investors who buy the bonds

B. The bridge builders

C. The people who drive on the bridge

D. The city

BACKWARD B1 · concept review — Borrowers, lenders, and interest

Question 2 of 5 · Knowledge Check

A bond investor is most like which person?

A. A depositor whose money is FDIC insured

B. A company owner who shares profits

C. A lender who receives interest

D. A borrower who pays interest

BACKWARD B1 · concept review — Borrowers, lenders, and interest

Question 3 of 5 · Learn and Apply

LEARN

At maturity, the issuer repays the bond's face value (principal) to the bondholder.

What is a bond's "maturity date"?

A. The date the bond was printed

B. The date the face value is repaid

C. The date the first interest payment is made

D. The date the issuer was founded

BACKWARD B1 · concept review — Borrowers, lenders, and interest

Question 4 of 5 · Learn and Apply

LEARN

A percent of an amount = amount × rate as a decimal.

What is 3% of $2,000?

A. $6

B. $60

C. $600

D. $2,060

BACKWARD B1 · concept review — Borrowers, lenders, and interest

Question 5 of 5 · Knowledge Check

Which pays interest to the investor?

A. A share of common stock

B. A gift card

C. A debit card

D. A bond

GO DEEPER 1 — Types of bonds

Question 1 of 5 · Learn and Apply

LEARN

Municipal bonds are issued by states and cities. Their interest is often exempt from federal income tax, so their after-tax yield can beat a higher taxable yield.

Interest from many municipal bonds is exempt from federal income tax. Why might a high-income investor prefer one paying 3% over a taxable bond paying 4%?

A. After tax, the municipal bond may keep more income

B. Municipal bonds can never lose value

C. Taxable bonds always default

D. The 3% bond pays more before tax, so it always wins

GO DEEPER 1 — Types of bonds

Question 2 of 5 · Learn and Apply

LEARN

After-tax yield = taxable yield × (1 − tax rate).

An investor in the 32% federal tax bracket gets 4% from a taxable bond. What is the after-tax yield?

A. 1.28%

B. 2.72%

C. 3.68%

D. 4.00%

GO DEEPER 1 — Types of bonds

Question 3 of 5 · Learn and Apply

LEARN

Treasury bills mature in a year or less, notes in 2 to 10 years, and bonds in 20 or 30 years.

Which statement about U.S. Treasury bills, notes, and bonds is TRUE?

A. They are issued by private companies, not the government

B. They are FDIC insured deposits

C. They differ mainly by how long until they mature

D. They pay no interest of any kind

GO DEEPER 1 — Types of bonds

Question 4 of 5 · Learn and Apply

LEARN

Riskier borrowers must pay higher interest to attract lenders.

A high-yield ("junk") bond pays 8%, while an investment-grade bond pays 5%. Why the difference?

A. The high-yield issuer is more likely to default

B. High-yield bonds are insured by the federal government

C. Investment-grade bonds have longer maturities, always

D. The difference is random

GO DEEPER 1 — Types of bonds

Question 5 of 5 · Learn and Apply

LEARN

Bond funds pool money to buy many bonds. Their prices still change with interest rates.

A bond fund holds hundreds of bonds. What is one advantage over buying one bond?

A. It can never lose value

B. It always pays the same fixed income each year

C. It is FDIC insured

D. Default risk is spread across many issuers

GO DEEPER 2 — Bond prices and interest rates

Question 1 of 5 · Learn and Apply

LEARN

At maturity, a bond repays its face value, no matter what it was bought for.

A 2% bond is selling for $900 per $1,000 of face value. If held to maturity, what does the investor receive at maturity?

A. $900

B. $920

C. $1,000

D. $1,020

GO DEEPER 2 — Bond prices and interest rates

Question 2 of 5 · Learn and Apply

LEARN

Gain on price = amount received at maturity − price paid.

Bought at $900 and repaid at $1,000 at maturity, what is the gain on price alone?

A. $20

B. $100

C. $900

D. $1,000

GO DEEPER 2 — Bond prices and interest rates

Question 3 of 5 · Learn and Apply

LEARN

Longer-term bonds lock in their coupon longer, so their prices are more sensitive to rate changes.

Which bond's price usually changes MORE when interest rates change?

A. A 3-month Treasury bill

B. A 30-year bond

C. A 1-year note

D. Neither; maturity does not matter

GO DEEPER 2 — Bond prices and interest rates

Question 4 of 5 · Learn and Apply

LEARN

Existing bond prices move opposite to interest rates.

If interest rates FALL, what usually happens to the prices of existing bonds?

A. They fall

B. They rise

C. They stay the same

D. They are cancelled

GO DEEPER 2 — Bond prices and interest rates

Question 5 of 5 · Learn and Apply

LEARN

Bond prices before maturity change with interest rates; holders who wait for maturity receive face value (if the issuer pays).

Which investor is MOST affected by bond price swings before maturity?

A. One who holds the bond to maturity

B. One who never bought a bond

C. One who must sell the bond early

D. One who only owns savings

SET 48 · Investing, Brokerage Accounts, and Investment Products

Mutual funds, ETFs, and index funds

MAIN skill: Compare mutual funds, ETFs, and index funds and explain how they are priced

Outcome FL.INVEST.48 · National topic: Investing · NJSLS 9.1.12: FI

Learning target: Compare mutual funds, ETFs, and index funds, including how they are priced and managed

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Pooling money (5 questions)
  - Why: Funds make sense once students see many people's money combined to buy many things.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: A holding's effect on a fund is its percent weight times its change.
- B3 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  - Why: NAV per share divides net assets by shares outstanding.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Active versus passive funds (5 questions)
- Go Deeper 2: Choosing among funds (5 questions)

Practical skills beyond the standards: Reading a fund prospectus

Content status: stable

Source: SEC Investor.gov — Mutual funds are priced once a day at net asset value; ETF shares trade on exchanges throughout the day at market prices.
https://www.investor.gov/introduction-investing/investing-basics/investment-products/mutual-funds-and-exchange-traded-funds-etfs

MAIN — Compare mutual funds, ETFs, and index funds and explain how they are priced

Question 1 of 5 · Learn and Apply

LEARN

A mutual fund pools money from many investors to buy a collection (portfolio) of stocks, bonds, or other securities, managed by professionals. Each investor owns shares of the fund. Mutual fund shares are bought and sold once a day at the net asset value (NAV) calculated after the market closes.

What is a mutual fund?

A. A pool of investors' money that buys many securities

B. A single company's stock sold at a discount

C. An FDIC-insured savings product at a bank

D. A loan that a group of friends makes together to one person

MAIN — Compare mutual funds, ETFs, and index funds and explain how they are priced

Question 2 of 5 · Learn and Apply

LEARN

An ETF also holds a basket of securities, but its shares trade on stock exchanges throughout the day at market prices, like stocks. Traditional mutual funds trade once a day at NAV.

How is an ETF (exchange-traded fund) different from a traditional mutual fund?

A. ETFs can hold only one stock at a time

B. ETFs are insured by the FDIC

C. ETFs are bought only once a year at one fixed price

D. ETF shares trade on an exchange throughout the day

MAIN — Compare mutual funds, ETFs, and index funds and explain how they are priced

Question 3 of 5 · Learn and Apply

LEARN

An index is a list that measures part of the market; the S&P 500 tracks about 500 large U.S. companies. An index fund (a mutual fund or ETF) holds the securities in an index to match its performance, not to beat it. Index funds usually have low costs.

What does an S&P 500 index fund try to do?

A. Beat the S&P 500 by picking winning stocks each week

B. Guarantee a 5% return every year

C. Hold only the 5 largest companies

D. Match the performance of the S&P 500 index

MAIN — Compare mutual funds, ETFs, and index funds and explain how they are priced

Question 4 of 5 · Learn and Apply

LEARN

Net asset value per share = (total assets − total liabilities) ÷ shares outstanding.

A fund has $50,000,000 in assets, $500,000 in liabilities, and 2,000,000 shares outstanding. What is its NAV per share?

A. $0.04

B. $24.75

C. $25.00

D. $25.25

MAIN — Compare mutual funds, ETFs, and index funds and explain how they are priced

Question 5 of 5 · Knowledge Check

Which statement about index funds is TRUE?

A. They are guaranteed never to lose money

B. They are FDIC insured up to $250,000

C. They can lose value when the market falls

D. They always beat every other type of fund

BACKWARD B1 · concept review — Pooling money

Question 1 of 5 · Learn and Apply

LEARN

Pooling means combining money from many people. Each person owns a share equal to their part of the pool.

Ten friends each put in $20 to buy a $200 gift together. What fraction of the gift does each friend "own"?

A. 1/10

B. 1/20

C. 10

D. 1/200

BACKWARD B1 · concept review — Pooling money

Question 2 of 5 · Learn and Apply

LEARN

In a fund, each holding is a small part of the whole, so one holding's drop has a small effect.

A fund holds 400 different stocks. If one stock falls 50%, why does the fund fall much less?

A. The fund refunds the loss

B. That stock is only a small part of the fund

C. Funds sell any stock before it falls

D. The other 399 stocks in it must all rise by 50%

BACKWARD B1 · concept review — Pooling money

Question 3 of 5 · Knowledge Check

Who manages a mutual fund's investments?

A. Each investor votes on every trade

B. The FDIC

C. Professional fund managers

D. The stock exchange

BACKWARD B1 · concept review — Pooling money

Question 4 of 5 · Learn and Apply

LEARN

A fund share represents a proportional slice of everything the fund holds.

Owning one share of a fund that holds 500 companies gives you…

A. full ownership of one company

B. a tiny piece of all 500 companies

C. a loan to the fund manager, repaid later

D. a bank deposit

BACKWARD B1 · concept review — Pooling money

Question 5 of 5 · Knowledge Check

Which choice is a BENEFIT of funds for beginning investors?

A. Instant diversification with a small amount

B. No risk of loss

C. Guaranteed returns

D. No fees ever

GO DEEPER 1 — Active versus passive funds

Question 1 of 5 · Learn and Apply

LEARN

Active funds try to beat the market by choosing investments; they usually cost more. Passive (index) funds try to match the market at low cost.

An actively managed fund charges 0.80% a year; an index fund tracking a similar market charges 0.05%. On $10,000, how much more does the active fund cost per year?

A. $5

B. $75

C. $80

D. $750

GO DEEPER 1 — Active versus passive funds

Question 2 of 5 · Learn and Apply

LEARN

Net return ≈ gross return − expense ratio.

An active fund returns 7.5% before its 0.80% expense ratio; the index fund returns 7.0% before its 0.05% ratio. Which has the higher return after expenses?

A. The active fund: 7.5% vs 7.0%

B. They are equal at 7.0%

C. The active fund: 6.95% vs 6.70%

D. The index fund: 6.95% vs 6.70%

GO DEEPER 1 — Active versus passive funds

Question 3 of 5 · Learn and Apply

LEARN

Passive investing aims to match the market's return by owning the whole index, rather than predicting which stocks will do best.

What does "passive" investing mean?

A. Holding an index fund instead of trying to pick winners

B. Never checking your account again

C. Investing only in savings accounts

D. Letting a friend choose your stocks

GO DEEPER 1 — Active versus passive funds

Question 4 of 5 · Learn and Apply

LEARN

Trading inside a fund creates costs and, in taxable accounts, can create capital gains distributions.

A fund's "turnover" is high, meaning it trades often. Why can that matter?

A. High turnover guarantees higher returns

B. Frequent trading can raise costs and taxes

C. Turnover has no effect at all on what investors pay

D. Turnover is a type of insurance

GO DEEPER 1 — Active versus passive funds

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

Every mutual fund and ETF publishes a prospectus (and a shorter summary) describing its objectives, strategy, risks, and costs.

Which document gives a fund's goals, risks, fees, and past performance?

A. The fund's quarterly advertisement

B. Form 1099-DIV

C. The brokerage account statement

D. The prospectus

GO DEEPER 2 — Choosing among funds

Question 1 of 5 · Learn and Apply

LEARN

When two funds hold nearly the same investments, the lower-cost fund usually leaves more of the return for the investor.

Two S&P 500 index funds track the same index. Fund A charges 0.03%; Fund B charges 0.50%. Which is generally the better choice?

A. Fund B, because higher fees mean better management

B. Either, because fees never matter

C. Fund A, because the holdings are nearly identical and it costs less

D. Fund B, because a higher fee means better management

GO DEEPER 2 — Choosing among funds

Question 2 of 5 · Learn and Apply

LEARN

Indexes differ in what they include. The S&P 500 covers about 500 large U.S. companies; total market indexes include thousands of large, medium, and small companies.

A "total stock market" index fund holds thousands of U.S. companies, large and small. How does it differ from an S&P 500 fund?

A. It holds only 5 large U.S. companies

B. It includes smaller companies too

C. It holds only bonds

D. It cannot lose value

GO DEEPER 2 — Choosing among funds

Question 3 of 5 · Learn and Apply

LEARN

International funds hold companies in other countries, which can add diversification.

An international index fund mainly adds what to a U.S. stock portfolio?

A. Only U.S. government bonds

B. A guarantee against loss

C. Cash that is kept in banks in foreign countries

D. Companies based outside the United States

GO DEEPER 2 — Choosing among funds

Question 4 of 5 · Learn and Apply

LEARN

Some mutual funds have minimum initial investments. ETFs usually require only the price of one share (or less, with fractional shares).

A fund's minimum initial investment is $3,000, but its ETF version can be bought for the price of one share, $95. Sam has $200. Which can he buy?

A. The mutual fund version

B. Both, because minimums do not apply to teens

C. The ETF version

D. Neither

GO DEEPER 2 — Choosing among funds

Question 5 of 5 · Knowledge Check · Practical how-to

Which question is MOST important when choosing a fund for a long-term goal?

A. What does it hold, and what does it cost each year?

B. Did it have the best return of any fund last month?

C. Is it the most popular fund this month?

D. Do my friends own it?

SET 49 · Investing, Brokerage Accounts, and Investment Products

Diversification and asset allocation

MAIN skill: Explain diversification and asset allocation and compute a portfolio's weighted return

Outcome FL.INVEST.49 · National topic: Investing · NJSLS 9.1.12: FI, RM

Learning target: Explain diversification and asset allocation as strategies to manage investment risk

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Spreading risk (5 questions)
  Why: Diversification is "don't put all your eggs in one basket"; students need the idea before the math.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Allocations are percents of a portfolio.
- B3 · Math link → G6-S77-M (Grade 6 6.SP.B.5.c): Find the mean of a data set
  Why: A portfolio return is a weighted mean of its parts' returns.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Rebalancing (5 questions)
- Go Deeper 2: Correlation and true diversification (5 questions)

Practical skills beyond the standards: Rebalancing a portfolio

Content status: stable

MAIN — Explain diversification and asset allocation and compute a portfolio's weighted return

Question 1 of 5 · Learn and Apply

LEARN

Diversification means spreading money across many investments so that a problem with one has a smaller effect on the whole. It can be across companies, industries, countries, and types of assets (stocks, bonds, cash). Diversification lowers risk but cannot eliminate it or guarantee against loss.

Which portfolio is MOST diversified?

A. Shares of one technology company

B. Three stocks, all airlines

C. A total market index fund plus a bond index fund

D. Shares of a single restaurant chain and its supplier

MAIN — Explain diversification and asset allocation and compute a portfolio's weighted return

Question 2 of 5 · Learn and Apply

LEARN

Asset allocation is how a portfolio is divided among asset classes such as stocks, bonds, and cash. A portfolio's return is the weighted average: (weight × return) for each part, added together.

Jen's portfolio is 60% stocks and 40% bonds. Stocks return 8% and bonds 3% this year. What is the portfolio's return?

A. 4.8%

B. 5.5%

C. 6%

D. 11%

MAIN — Explain diversification and asset allocation and compute a portfolio's weighted return

Question 3 of 5 · Knowledge Check

Which statement about diversification is TRUE?

A. A diversified portfolio cannot lose value

B. It reduces the impact of any single investment but cannot prevent all losses

C. Diversification guarantees a profit every year

D. Owning more shares of one stock is diversification

MAIN — Explain diversification and asset allocation and compute a portfolio's weighted return

Question 4 of 5 · Knowledge Check

Jen has $10,000 invested: 60% stocks, 40% bonds. How much is in stocks?

A. $60

B. $600

C. $4,000

D. $6,000

MAIN — Explain diversification and asset allocation and compute a portfolio's weighted return

Question 5 of 5 · Learn and Apply

LEARN

A longer time horizon allows more time to recover from stock market declines, so younger investors often hold more stocks. People nearing their goal often shift toward bonds and cash.

Generally, which allocation fits a 20-year-old saving for retirement better than a 70-year-old retiree?

A. More stocks, because the time horizon is longer

B. All cash, because young people cannot handle risk

C. All bonds, because stocks are illegal for young investors

D. Exactly the same allocation for everyone

BACKWARD B1 · concept review — Spreading risk

Question 1 of 5 · Learn and Apply

LEARN

When all your money depends on one thing, a problem with that thing affects everything. Spreading out reduces the damage.

A fruit stand sells only bananas. A banana shortage hits. What happens?

A. It is unaffected

B. It earns more because bananas are now scarce

C. Its insurance replaces the lost sales

D. Its whole business suffers

BACKWARD B1 · concept review — Spreading risk

Question 2 of 5 · Knowledge Check

A second stand sells bananas, apples, and oranges. The banana shortage hits. What happens?

A. Only part of its business suffers

B. Its whole business suffers equally

C. It earns nothing at all

D. Its whole business suffers just as much

BACKWARD B1 · concept review — Spreading risk
Question 3 of 5 · Knowledge Check

Which saying describes diversification?

A. "Buy low, sell high."
B. "Slow and steady wins the race."
C. "A penny saved is a penny earned, my friend."
D. "Don't put all your eggs in one basket."

BACKWARD B1 · concept review — Spreading risk

Question 4 of 5 · Learn and Apply

LEARN

Diversification can happen across companies, industries, countries, and asset classes (broad types of investments, such as stocks, bonds, and cash).

Jen owns stocks of 20 U.S. companies and adds a bond fund. What kind of diversification does the bond fund add?

A. Across brokerage firms

B. Across asset classes

C. Across account types

D. Across more companies only

BACKWARD B1 · concept review — Spreading risk

Question 5 of 5 · Learn and Apply

LEARN

Percent of an amount = amount × rate as a decimal.

What is 40% of $5,000?

A. $200

B. $2,000

C. $3,000

D. $20,000

GO DEEPER 1 — Rebalancing

Question 1 of 5 · Learn and Apply

LEARN

Over time, investments grow at different rates, so a portfolio drifts away from its target allocation. Rebalancing means buying or selling to return to the target.

Jen's target is 60% stocks, 40% bonds on $10,000. After a strong year, she has $7,200 in stocks and $3,800 in bonds. What percent is in stocks now (nearest whole)?

A. 35%

B. 60%

C. 65%

D. 72%

GO DEEPER 1 — Rebalancing

Question 2 of 5 · Learn and Apply

LEARN

Target amount = total value × target percent.

To rebalance $11,000 to 60% stocks, what should the stock amount be?

A. $4,400

B. $6,000

C. $6,600

D. $7,200

GO DEEPER 1 — Rebalancing

Question 3 of 5 · Learn and Apply

LEARN

Amount to move = current amount − target amount.

Using a $6,600 stock target, how much stock should Jen sell (moving it to bonds)?

A. $200

B. $600

C. $1,200

D. $6,600

GO DEEPER 1 — Rebalancing

Question 4 of 5 · Learn and Apply

LEARN

Without rebalancing, a portfolio can become riskier than intended as stocks grow.

Why rebalance?

A. To guarantee higher returns

B. Because federal law requires it to be done each month

C. To keep risk at the level the investor chose

D. To avoid ever owning bonds

GO DEEPER 1 — Rebalancing

Question 5 of 5 · Learn and Apply

LEARN

Selling investments at a gain in a taxable account can create capital gains taxes.

Instead of selling, Jen could rebalance by directing new contributions to bonds. Why might that be helpful in a taxable account?

A. It can avoid selling and creating taxable gains

B. It earns guaranteed returns

C. It is required by the IRS

D. It removes all risk

GO DEEPER 2 — Correlation and true diversification

Question 1 of 5 · Learn and Apply

LEARN

Diversification works best when investments do not all move together. Assets that move the same way give little protection; assets that move differently reduce overall swings.

Two stocks always rise and fall together. Does owning both diversify much?

A. Yes, because there are now two different funds

B. Yes, completely

C. No, it doubles the risk

D. Not much, because they move the same way

GO DEEPER 2 — Correlation and true diversification

Question 2 of 5 · Learn and Apply

LEARN

High-quality bonds often behave differently from stocks, especially in downturns, though not always.

Which pair is more likely to diversify a stock-heavy portfolio?

A. Two technology stocks

B. Two airline stocks

C. Stocks and high-quality bonds

D. Two stock funds holding the same companies

GO DEEPER 2 — Correlation and true diversification

Question 3 of 5 · Learn and Apply

LEARN

Funds that track the same index hold the same companies, so owning several adds little diversification.

Sam owns three different S&P 500 index funds. Is he well diversified across funds?

A. Yes, owning three funds triples her overall diversification

B. Not really; the three funds hold almost the same stocks

C. Yes, because each has a different name

D. No, because index funds hold one stock

GO DEEPER 2 — Correlation and true diversification

Question 4 of 5 · Learn and Apply

LEARN

Market risk affects nearly all stocks at once; diversification mainly reduces the risk of individual companies or industries.

In a severe market crash, many stocks fall together. What does this show about diversification across stocks?

A. Diversification always prevents losses

B. Diversified portfolios are immune to crashes

C. Bonds always fall more than stocks

D. It cannot remove market-wide risk

GO DEEPER 2 — Correlation and true diversification

Question 5 of 5 · Learn and Apply

LEARN

Target-date funds hold a mix of stock and bond funds and become more conservative over time.

A target-date fund automatically shifts from stocks toward bonds as the target year approaches. What problem does it solve?

A. It guarantees no losses before the target year

B. It removes all fees

C. It manages allocation and rebalancing for you

D. It invests only in cash

SET 50 · Investing, Brokerage Accounts, and Investment Products

Placing an order: market and limit orders

MAIN skill: Place basic investment orders and explain market orders, limit orders, and the bid-ask spread

Outcome FL.INVEST.50 · National topic: Investing · NJSLS 9.1.12: FI

Learning target: Describe how investments are bought and sold, including order types and trading costs

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Buying at a price (5 questions)
  Why: Orders make sense once students understand that buyers and sellers agree on a price.
- B2 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  Why: Order costs multiply share prices by numbers of shares.
- B3 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: The spread is the difference between ask and bid.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Limit orders for selling and stop orders (5 questions)
- Go Deeper 2: Trading costs and practical tips (5 questions)

Practical skills beyond the standards: Placing and verifying an order

Content status: stable

Source: SEC Investor.gov — A market order seeks immediate execution at the best available price, which is not guaranteed; a limit order sets a maximum purchase or minimum sale price and may not execute. https://www.investor.gov/introduction-investing/investing-basics/how-stock-markets-work/types-orders

MAIN — Place basic investment orders and explain market orders, limit orders, and the bid-ask spread

Question 1 of 5 · Learn and Apply

LEARN

To buy an investment, you place an order with your broker. A market order asks to buy or sell right away at the best available price. It usually executes quickly, but the exact price is not guaranteed and can differ from the last price you saw, especially in fast markets.

Kai places a MARKET order to buy 10 shares. What does this mean?

A. Buy only if the price falls to a set amount

B. Buy promptly at the best price available, which is not guaranteed

C. Buy at yesterday's closing price, guaranteed

D. Buy only after the market closes for the day

MAIN — Place basic investment orders and explain market orders, limit orders, and the bid-ask spread

Question 2 of 5 · Learn and Apply

LEARN

A limit order sets the most you will pay (to buy) or the least you will accept (to sell). It executes only at the limit price or better, so it may not execute at all.

Lia places a LIMIT order to buy at $50. The stock is trading at $52. What happens?

A. The order fills only if the price falls to $50 or lower

B. It buys immediately at $52

C. It buys at $52 and refunds $2

D. It buys at exactly $50 no matter what the market price is

MAIN — Place basic investment orders and explain market orders, limit orders, and the bid-ask spread

Question 3 of 5 · Learn and Apply

LEARN

The bid is the highest price buyers are offering; the ask is the lowest price sellers will accept. Buyers usually pay the ask, and sellers receive the bid. The difference is the bid-ask spread.

A stock shows: bid $49.95, ask $50.05. If Omar places a market order to BUY, about what price will he pay?

A. $0.10

B. $49.95

C. $50.00

D. $50.05

MAIN — Place basic investment orders and explain market orders, limit orders, and the bid-ask spread

Question 4 of 5 · Learn and Apply

LEARN

The bid-ask spread = ask − bid. Narrow spreads mean lower trading costs.

Using the bid of $49.95 and ask of $50.05, what is the bid-ask spread?

A. $0.01

B. $0.10

C. $50.00

D. $100.00

MAIN — Place basic investment orders and explain market orders, limit orders, and the bid-ask spread

Question 5 of 5 · Knowledge Check

Kai buys 10 shares at $50.05 and pays no commission. What is the total cost?

A. $50.05

B. $500.05

C. $500.50

D. $5,005.00

BACKWARD B1 · concept review — Buying at a price

Question 1 of 5 · Learn and Apply

LEARN

A trade happens when a buyer and a seller agree on a price. Exchanges match buyers and sellers.

In any market, who decides the price of a trade?

A. A buyer and a seller who agree

B. Only the buyer, by bidding higher

C. The government

D. The bank

BACKWARD B1 · concept review — Buying at a price

Question 2 of 5 · Learn and Apply

LEARN

The asking price is what a seller wants; the offer (bid) is what a buyer will pay.

A seller asks $20 for a used game. A buyer offers $18. What must happen for a sale?

A. The sale happens at $18 automatically

B. The sale happens at $20 automatically

C. One of them changes their price until they agree

D. The sale happens at $38, the two prices added together

BACKWARD B1 · concept review — Buying at a price

Question 3 of 5 · Learn and Apply

LEARN

An order tells your broker what to buy or sell, how many shares (or dollars), and at what kind of price.

What is an "order" when investing?

A. A bill from the broker

B. An instruction to a broker to buy or sell

C. A receipt from a store

D. A monthly fee

BACKWARD B1 · concept review — Buying at a price

Question 4 of 5 · Knowledge Check

Buying 4 shares at $25 each costs how much?

A. $6.25

B. $25

C. $29

D. $100

BACKWARD B1 · concept review — Buying at a price

Question 5 of 5 · Learn and Apply

LEARN

The bid is what buyers offer; the ask is what sellers accept.

Which tells you the LOWEST price a seller will accept right now?

A. The bid

B. The dividend

C. The volume

D. The ask

GO DEEPER 1 — Limit orders for selling and stop orders

Question 1 of 5 · Learn and Apply

LEARN

A sell limit order sets the minimum price you will accept. It executes only at that price or higher.

Ana owns a stock trading at $40. She places a SELL limit order at $45. When can it execute?

A. Immediately at $40

B. Only if the price rises to $45 or higher

C. Only if the price falls to $45 or lower

D. At exactly $45, regardless of the market price

GO DEEPER 1 — Limit orders for selling and stop orders

Question 2 of 5 · Learn and Apply

LEARN

A stop order becomes a market order once the stop price is reached, so the sale price can be worse than the stop price in a fast-moving market.

A stop-loss (stop) order to sell at $35 becomes a market order when the price falls to $35. The price gaps down overnight to $30. What might happen?

A. It sells at exactly $35, which is guaranteed by the order

B. It cancels itself automatically

C. It may sell near $30, below the $35 stop price

D. It buys more shares

GO DEEPER 1 — Limit orders for selling and stop orders

Question 3 of 5 · Knowledge Check

Which order type risks NOT executing at all?

A. A limit order

B. A market order in a heavily traded stock

C. A buy of a widely traded index ETF at market

D. A market sell during trading hours

GO DEEPER 1 — Limit orders for selling and stop orders

Question 4 of 5 · Learn and Apply

LEARN

Orders can be day orders (expire at the end of the trading day) or good-'til-canceled (stay open longer, often up to a time limit set by the broker).

An order marked "good 'til canceled" (GTC) means...

A. it lasts only one minute

B. it is canceled at market open

C. it guarantees execution

D. it stays open until filled or canceled, up to the broker's time limit

GO DEEPER 1 — Limit orders for selling and stop orders

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

For heavily traded funds with narrow spreads, market orders usually fill close to the quoted price, and a limit order at the ask adds price protection.

A long-term investor buys a widely traded index ETF with a narrow spread. Which order type is often reasonable?

A. A limit order near the current ask, or a market order

B. A stop-loss order far below the price

C. A stop order far below the price

D. A sell limit order

GO DEEPER 2 — Trading costs and practical tips

Question 1 of 5 · Learn and Apply

LEARN

A wide spread is a hidden trading cost: buying at the ask and selling at the bid loses the spread on each share.

A thinly traded stock has a bid of $9.50 and an ask of $10.50. Kai buys 100 shares at the ask and immediately sells at the bid. How much does he lose?

A. $0

B. $1

C. $100

D. $1,000

GO DEEPER 2 — Trading costs and practical tips

Question 2 of 5 · Learn and Apply

LEARN

Prices can move quickly at the opening because of overnight news.

Why might placing a market order right when the market opens be risky?

A. Orders are illegal before noon

B. The price is fixed for the first hour

C. Prices can swing sharply at the open

D. Market orders fill only at the previous close

GO DEEPER 2 — Trading costs and practical tips

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

Most trading mistakes are simple input errors: wrong ticker, wrong side, or wrong quantity.

Before submitting an order, what should Ana double-check?

A. Yesterday's closing price only

B. The ticker, buy or sell, quantity, and order type

C. Her account's credit limit

D. The number of shares other people bought today

GO DEEPER 2 — Trading costs and practical tips

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Brokers send trade confirmations showing what was bought or sold, the price, quantity, and any fees.

After an order executes, where can Ana verify it?

A. In a social media feed

B. On her credit report

C. In her bank's checking statement

D. In the account's trade confirmation and activity history

GO DEEPER 2 — Trading costs and practical tips

Question 5 of 5 · Learn and Apply

LEARN

Commission-free trading removes a per-trade fee, but other costs remain.

A trading app offers "$0 commissions." Which cost can still apply?

A. The bid-ask spread and fund expense ratios

B. No costs of any kind

C. Sales tax on every share purchased

D. A monthly fee for logging in

SET 51 · Investing, Brokerage Accounts, and Investment Products

Investment fees and expense ratios

MAIN skill: Calculate investment fees and explain how they reduce long-term returns

Outcome FL.INVEST.51 · National topic: Investing · NJSLS 9.1.12: FI

Learning target: Explain how fees and expenses affect investment returns

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Fees as a percent of an amount (5 questions)
  Why: Fee questions are percent-of-an-amount problems with very small percents.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Fees are percents of the amount invested.
- B3 · Math link → ALG1-S55-M (Algebra 1 HSF-LE.A.1.c): Recognize situations in which a quantity grows or decays by a constant percent rate per unit interval
  Why: Fees lower the yearly growth factor, which compounds over time.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Advisory fees and other costs (5 questions)
- Go Deeper 2: Fees and compounding (5 questions)

Practical skills beyond the standards: Reading a fund fee table

Content status: stable

Source: SEC Investor.gov — Ongoing fees such as expense ratios reduce investment returns, and the effect compounds over time. https://www.investor.gov/introduction-investing/investing-basics/understanding-fees

MAIN — Calculate investment fees and explain how they reduce long-term returns

Question 1 of 5 · Learn and Apply

LEARN

An expense ratio is the yearly cost of owning a fund, expressed as a percent of the money invested. It is taken out of the fund's assets automatically, so you never see a bill, but it lowers your return. Annual cost = amount invested × expense ratio.

A fund has an expense ratio of 0.50%. How much does it cost per year on a $8,000 investment?

A. $4

B. $40

C. $50

D. $400

MAIN — Calculate investment fees and explain how they reduce long-term returns

Question 2 of 5 · Learn and Apply

LEARN

Comparing expense ratios in dollars shows how much a fee difference costs you each year.

Two funds hold similar investments. Fund A charges 0.04%; Fund B charges 1.04%. On $20,000, how much more does Fund B cost per year?

A. $8

B. $200

C. $208

D. $2,000

MAIN — Calculate investment fees and explain how they reduce long-term returns

Question 3 of 5 · Learn and Apply

LEARN

Fees reduce returns every year, and the lost growth compounds. A difference that looks small each year can become large over decades.

$10,000 grows for 30 years at 7% a year before fees. With a 0.05% fee, it grows to about $75,063; with a 0.75% fee, about $61,641. How much does the higher fee cost over 30 years?

A. About $210

B. About $2,100

C. About $13,422

D. About $61,641

MAIN — Calculate investment fees and explain how they reduce long-term returns

Question 4 of 5 · Learn and Apply

LEARN

Some mutual funds charge sales loads: a front-end load is taken from each purchase, and a back-end load when you sell. No-load funds do not charge these.

A fund charges a 5.75% "front-end load" (a sales charge) on purchases. Ian invests $1,000. How much is actually invested in the fund?

A. $57.50

B. $942.50

C. $1,000.00

D. $1,057.50

MAIN — Calculate investment fees and explain how they reduce long-term returns

Question 5 of 5 · Knowledge Check

Which statement about investment fees is TRUE?

A. Higher fees guarantee better performance

B. Fees do not matter at all in long-term investing plans

C. Expense ratios are paid only when you sell

D. Lower fees leave more of the return for the investor

BACKWARD B1 · concept review — Fees as a percent of an amount

Question 1 of 5 · Learn and Apply

LEARN

To write a percent as a decimal, divide by 100.

Write 0.25% as a decimal.

A. 0.0025

B. 0.025

C. 0.25

D. 25

BACKWARD B1 · concept review — Fees as a percent of an amount

Question 2 of 5 · Learn and Apply

LEARN

Percent of an amount = amount × decimal.

What is 0.25% of $4,000?

A. $1

B. $10

C. $100

D. $1,000

BACKWARD B1 · concept review — Fees as a percent of an amount

Question 3 of 5 · Knowledge Check

Which is LARGER: 0.1% or 1%?

A. 0.1%

B. 1%

C. They are equal

D. It cannot be compared

BACKWARD B1 · concept review — Fees as a percent of an amount

Question 4 of 5 · Learn and Apply

LEARN

Percent = part ÷ whole × 100.

A $50 yearly fee on a $5,000 account is what percent?

A. 0.1%

B. 1%

C. 10%

D. 50%

BACKWARD B1 · concept review — Fees as a percent of an amount

Question 5 of 5 · Knowledge Check

Why are fund fees easy to overlook?

A. They are always zero for index funds

B. They are taken from the fund automatically, not billed

C. They are paid only by the broker

D. They are billed once a year by mail

GO DEEPER 1 — Advisory fees and other costs

Question 1 of 5 · Learn and Apply

LEARN

Some advisors charge a percent of assets under management (AUM) each year, in addition to fund expenses. Others charge flat or hourly fees.

A financial advisor charges 1% of assets per year. On a $50,000 account, what is the yearly fee?

A. $1

B. $50

C. $500

D. $5,000

GO DEEPER 1 — Advisory fees and other costs

Question 2 of 5 · Learn and Apply

LEARN

Different layers of fees add up.

An account pays a 0.80% fund expense ratio plus a 1.00% advisory fee. What is the total yearly cost as a percent?

A. 0.20%

B. 0.80%

C. 1.00%

D. 1.80%

GO DEEPER 1 — Advisory fees and other costs

Question 3 of 5 · Learn and Apply

LEARN

Net return ≈ gross return − total costs.

If a portfolio earns 7% before costs and pays 1.80% in total costs, what is the approximate net return?

A. 1.80%

B. 5.20%

C. 7.00%

D. 8.80%

GO DEEPER 1 — Advisory fees and other costs

Question 4 of 5 · Learn and Apply

LEARN

12b-1 fees are ongoing fees that some mutual funds charge for marketing and distribution; they are part of the expense ratio.

What does a "12b-1 fee" on a mutual fund pay for?

A. Federal income taxes on fund gains

B. Insurance that protects the fund from losses

C. The fund manager's guaranteed return

D. Marketing and distribution costs, included in the expense ratio

GO DEEPER 1 — Advisory fees and other costs

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

Fund prospectuses include a standardized fee table showing sales loads, expense ratios, and other costs.

Where can an investor find all of a fund's fees in one standard table?

A. On the fund's TV commercials

B. On the investor's monthly bank statement

C. The fee table in the fund's prospectus

D. On Form 1099-DIV

GO DEEPER 2 — Fees and compounding

Question 1 of 5 · Learn and Apply

LEARN

The Rule of 72 estimates years to double: 72 ÷ rate.

A 1% yearly fee lowers a 7% return to 6%. Using the Rule of 72, about how much longer does it take money to double?

A. About 2 years longer (12 vs about 10.3)

B. About the same time

C. About 1 month longer

D. Twice as long

GO DEEPER 2 — Fees and compounding

Question 2 of 5 · Learn and Apply

LEARN

Over long periods, the difference between two growth rates compounds.

$10,000 grows at 6% instead of 7% for 30 years. At 7% it reaches about $76,123; at 6% about $57,435. How much does the 1% fee cost?

A. About $18,688

B. About $3,000

C. About $100

D. About $57,435

GO DEEPER 2 — Fees and compounding

Question 3 of 5 · Knowledge Check

Which choice usually has the biggest effect on long-term costs for a beginner?

A. Trading more often to catch every move

B. Paying a sales load for a famous fund

C. Ignoring the expense ratio

D. Choosing low-cost index funds

GO DEEPER 2 — Fees and compounding

Question 4 of 5 · Learn and Apply

LEARN

Yearly savings = amount invested × fee reduction (as a decimal).

A fund's fee drops from 0.60% to 0.10%. On $30,000, how much does that save per year?

A. $30

B. $150

C. $180

D. $1,500

GO DEEPER 2 — Fees and compounding

Question 5 of 5 · Knowledge Check

Which is a better comparison between two funds?

A. Their returns before any fees are taken out of them

B. Their best single year

C. Their returns after fees over the same period

D. Their star ratings alone

SET 52 · Investing, Brokerage Accounts, and Investment Products

Measuring investment returns and risk

MAIN skill: Calculate total and annualized returns, compare nominal and real returns, and describe volatility

Outcome FL.INVEST.52 · National topic: Investing · NJSLS 9.1.12: FI, EG

Learning target: Calculate investment returns and explain risk, volatility, and the effect of inflation

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Percent change and averages (5 questions)
  - Why: Return calculations are percent changes and averages.
- B2 · Math link → G7-S08-M (Grade 7 7.RP.A.3): Find a percent increase or a percent decrease
  - Why: Returns are percent changes from a starting value.
- B3 · Math link → ALG1-S60-M (Algebra 1 HSS-ID.A.2): Compare the center and spread of two or more data sets
  - Why: Volatility compares how spread out two sets of returns are.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Average returns versus actual growth (5 questions)
- Go Deeper 2: Real returns and purchasing power (5 questions)

Practical skills beyond the standards: Comparing compound and average returns

Content status: stable

MAIN — Calculate total and annualized returns, compare nominal and real returns, and describe volatility

Question 1 of 5 · Learn and Apply

LEARN

Total return is the percent change over the whole period. The annualized (compound) return is the steady yearly rate that would produce the same result: (ending ÷ starting)^(1 ÷ years) − 1.

Mia invested $1,000, and five years later it is worth $1,610.51 with no additions. Which annual growth rate, compounded, produces this?

A. 6.1%

B. 10%

C. 12.2%

D. 61%

MAIN — Calculate total and annualized returns, compare nominal and real returns, and describe volatility

Question 2 of 5 · Learn and Apply

LEARN

Total return = (ending − starting) ÷ starting × 100.

Mia's investment rose from $1,000 to $1,610.51. What is the TOTAL return?

A. 6.11%

B. 10.00%

C. 61.05%

D. 161.05%

MAIN — Calculate total and annualized returns, compare nominal and real returns, and describe volatility

Question 3 of 5 · Learn and Apply

LEARN

The nominal return is the stated return. The real return adjusts for inflation and shows the change in purchasing power: real return ≈ nominal return − inflation (more precisely, (1 + nominal) ÷ (1 + inflation) − 1).

An investment returned 8% last year while inflation was 3%. What was the approximate REAL return?

A. About 11%

B. About 5%

C. About 8%

D. About 2.7%

MAIN — Calculate total and annualized returns, compare nominal and real returns, and describe volatility

Question 4 of 5 · Learn and Apply

LEARN

Volatility describes how much returns vary from year to year. Investments with the same average return can have very different volatility; more volatility usually means more risk.

Fund X's yearly returns: 6%, 7%, 5%, 6%. Fund Y's: 20%, −10%, 25%, −11%. Both averaged 6%. Which is more volatile?

A. Fund X

B. Both are equally volatile

C. Fund Y

D. Neither; volatility is the same as average return

MAIN — Calculate total and annualized returns, compare nominal and real returns, and describe volatility

Question 5 of 5 · Knowledge Check

Which statement about investment returns is TRUE?

A. Past returns do not guarantee future returns

B. An average return will be earned every single year

C. Returns from last year predict this year exactly

D. Stocks have never lost money in any year

BACKWARD B1 · concept review — Percent change and averages

Question 1 of 5 · Learn and Apply

LEARN

Percent change = (new − old) ÷ old × 100.

A value goes from $200 to $250. What is the percent increase?

A. 20%

B. 25%

C. 50%

D. 125%

BACKWARD B1 · concept review — Percent change and averages

Question 2 of 5 · Learn and Apply

LEARN

Always divide by the starting (old) value.

A value goes from $250 to $200. What is the percent decrease?

A. 20%

B. 25%

C. 50%

D. 80%

BACKWARD B1 · concept review — Percent change and averages

Question 3 of 5 · Learn and Apply

LEARN

Average = sum ÷ number of values.

What is the average of 4%, 8%, and 6%?

A. 4%

B. 6%

C. 8%

D. 18%

BACKWARD B1 · concept review — Percent change and averages

Question 4 of 5 · Learn and Apply

LEARN

The range (largest − smallest) is a simple measure of spread.

Which set of returns is MOST spread out?

A. 4%, 5%, 6%

B. 5%, 5%, 5%, 5%

C. 3%, 5%, 7%

D. −15%, 5%, 25%

BACKWARD B1 · concept review — Percent change and averages

Question 5 of 5 · Learn and Apply

LEARN

If prices rise faster than your money grows, it buys less.

Prices rise 3% and your savings earn 1%. Can your savings buy more or less than before?

A. More

B. Less

C. Exactly the same

D. It cannot be known at all

GO DEEPER 1 — Average returns versus actual growth

Question 1 of 5 · Learn and Apply

LEARN

A simple average of yearly returns can overstate actual growth when returns swing. The compound (annualized) return reflects what really happened to your money.

An investment returns +50% one year and −50% the next. The simple average is 0%. Starting from $1,000, what is it worth?

A. $500

B. $750

C. $1,000

D. $1,250

GO DEEPER 1 — Average returns versus actual growth

Question 2 of 5 · Learn and Apply

LEARN

Percent changes multiply: a 50% loss after a 50% gain applies to a bigger balance.

For the +50% then −50% example, the compound annual return is about −13.4%. Why is it negative though the simple average is 0%?

A. The bank charged fees

B. Losses hit a larger balance than the gains started from

C. Simple averages are always negative

D. Compound returns ignore losses

GO DEEPER 1 — Average returns versus actual growth

Question 3 of 5 · Learn and Apply

LEARN

Apply each year's growth factor in turn: multiply by (1 + return) for each year.

An index rose 20% one year, then 0%, then 20%. Starting at $1,000, what is it worth?

A. $1,200

B. $1,400

C. $1,440

D. $1,600

GO DEEPER 1 — Average returns versus actual growth

Question 4 of 5 · Learn and Apply

LEARN

The compound annual growth rate (CAGR) is the single steady yearly rate that turns the starting value into the ending value: start × (1 + rate)^years = end.

$1,000 grows to $1,210 in 2 years. What steady yearly rate (compound annual growth rate) produces that?

A. 5%

B. 10%

C. 10.5%

D. 21%

GO DEEPER 1 — Average returns versus actual growth

Question 5 of 5 · Learn and Apply

LEARN

Advertisements can choose time periods that look best.

A fund ad shows only its best 3-year period. What is the problem?

A. Nothing; the best period is most relevant

B. It understates returns

C. It may hide periods of poor performance

D. It hides the fund's name

GO DEEPER 2 — Real returns and purchasing power

Question 1 of 5 · Learn and Apply

LEARN

Exact real return = (1 + nominal) ÷ (1 + inflation) − 1.

Using the exact formula, what is the real return on an 8% nominal return with 3% inflation (nearest hundredth)?

A. 2.67%

B. 4.85%

C. 5.00%

D. 11.24%

GO DEEPER 2 — Real returns and purchasing power

Question 2 of 5 · Learn and Apply

LEARN

Real return ≈ nominal return − inflation. A negative real return means money loses purchasing power.

A savings account pays 2% while inflation is 4%. What is the approximate real return?

A. −2%

B. 0.5%

C. 2%

D. 6%

GO DEEPER 2 — Real returns and purchasing power

Question 3 of 5 · Learn and Apply

LEARN

Real growth, the change in what money can buy, is about the growth rate of the money minus the inflation rate.

$1,000 grows to $1,050 in a year when prices rise 5%. What happened to its purchasing power?

A. It rose by about 5%

B. It fell 5%

C. It rose 10%

D. About the same

GO DEEPER 2 — Real returns and purchasing power

Question 4 of 5 · Knowledge Check

Why do long-term investors care about real returns?

A. Goals like retirement depend on what money will buy

B. Real returns are always higher than nominal returns

C. Taxes are based on real returns

D. Inflation affects only cash, not investments

GO DEEPER 2 — Real returns and purchasing power

Question 5 of 5 · Learn and Apply

LEARN

Money that earns nothing loses purchasing power whenever prices rise.

Which asset is MOST likely to lose purchasing power over 30 years?

A. Cash kept in a non-interest checking account

B. A diversified stock index fund

C. Treasury inflation-protected securities (TIPS)

D. Series I savings bonds

SET 53 · Investing, Brokerage Accounts, and Investment Products

Taxes on investments

MAIN skill: Explain how investment gains and income are taxed and compare taxable and tax-advantaged accounts

Outcome FL.INVEST.53 · National topic: Investing · NJSLS 9.1.12: EG, FI

Learning target: 12-8b compare tax rates on earned income, interest, and capital gains; taxable vs tax-advantaged accounts

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Cost, sale price, and profit (5 questions)
  Why: Capital gains are profit = sale price − cost, which students must find before taxes.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Taxes on gains are a percent of the gain.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Capital losses and tax planning (5 questions)
- Go Deeper 2: Investment income in a tax return (5 questions)

Practical skills beyond the standards: Reading Forms 1099-B, 1099-DIV, and 1099-INT

Content status: time-sensitive

Source: IRS (Topic 409, Capital Gains and Losses) — Gains on assets held more than one year are long-term and taxed at lower rates; net capital losses can offset up to $3,000 of other income per year ($1,500 if married filing separately). https://www.irs.gov/taxtopics/tc409

MAIN — Explain how investment gains and income are taxed and compare taxable and tax-advantaged accounts

Question 1 of 5 · Learn and Apply

LEARN

A capital gain is the profit from selling an investment for more than its cost basis (what you paid, including some fees). In a taxable account, realized gains are generally taxable in the year you sell. A capital loss is the reverse.

Leo bought shares for $2,000 and sold them for $2,600 in a taxable brokerage account. What is his capital gain?

A. $600

B. $2,000

C. $2,600

D. $4,600

MAIN — Explain how investment gains and income are taxed and compare taxable and tax-advantaged accounts

Question 2 of 5 · Learn and Apply

LEARN

Gains on investments held one year or less are short-term and taxed as ordinary income. Gains on investments held more than one year are long-term and taxed at lower rates (0%, 15%, or 20%, depending on income).

Under federal rules, a gain on an investment held for MORE than one year is...

A. short-term, taxed at ordinary income rates

B. long-term, usually taxed at lower rates

C. always tax-free for everyone

D. taxed only if it exceeds $1 million

MAIN — Explain how investment gains and income are taxed and compare taxable and tax-advantaged accounts

Question 3 of 5 · Learn and Apply

LEARN

Comparing tax at two rates shows the dollar value of a longer holding period. (Rates here are hypothetical for this example.)

Assume Leo's $600 long-term gain is taxed at 15% and a short-term gain would be taxed at 22%. How much tax does holding over a year save?

A. $42

B. $90

C. $132

D. $222

MAIN — Explain how investment gains and income are taxed and compare taxable and tax-advantaged accounts

Question 4 of 5 · Learn and Apply

LEARN

In a taxable brokerage account, dividends, interest, and realized gains are taxed each year. Tax-advantaged accounts, such as IRAs and 401(k)s, let investments grow without yearly taxes; taxes are deferred (traditional) or avoided on qualified withdrawals (Roth).

Which account lets investments grow without yearly taxes on dividends and gains?

A. A regular taxable brokerage account in her own name

B. A standard checking account

C. A tax-advantaged retirement account such as an IRA

D. A high-yield savings account

MAIN — Explain how investment gains and income are taxed and compare taxable and tax-advantaged accounts

Question 5 of 5 · Learn and Apply

LEARN

In a taxable account, dividends and interest are generally taxed in the year they are paid, even if reinvested.

A stock fund in a taxable account pays $200 of dividends this year, and Jo does not sell anything. Is anything taxable?

A. No; nothing at all is taxed until she sells the fund

B. No; dividends are never taxed

C. Only if she reinvested the dividends in cash

D. Yes; the dividends are generally taxable this year

BACKWARD B1 · concept review — Cost, sale price, and profit

Question 1 of 5 · Learn and Apply

LEARN

Profit = selling price − cost.

Ana buys a used bike for $120 and sells it for $150. What is her profit?

A. $30

B. $120

C. $150

D. $270

BACKWARD B1 · concept review — Cost, sale price, and profit

Question 2 of 5 · Learn and Apply

LEARN

When the selling price is below cost, the difference is a loss.

A share bought for $50 is sold for $40. What is the result?

A. A $10 loss

B. A $10 gain

C. A $90 gain

D. No gain or loss

BACKWARD B1 · concept review — Cost, sale price, and profit

Question 3 of 5 · Learn and Apply

LEARN

Tax at a rate = amount × rate.

What is 15% of $400?

A. $6

B. $60

C. $415

D. $600

BACKWARD B1 · concept review — Cost, sale price, and profit

Question 4 of 5 · Learn and Apply

LEARN

A gain is long-term if the investment was held more than one year; otherwise it is short-term and taxed like ordinary income.

Jo buys shares on March 1, 2025 and sells them at a gain on February 15, 2026. How is the gain treated?

A. Long-term, since the sale is in a new calendar year

B. Long-term, since she held them close to a year

C. Short-term, since she held them one year or less

D. Tax-free, since she held them over six months

BACKWARD B1 · concept review — Cost, sale price, and profit

Question 5 of 5 · Learn and Apply

LEARN

Cost basis is generally your purchase price, adjusted for some costs and events. Gain = sale proceeds − cost basis.

What is "cost basis"?

A. The current market price

B. What you paid for an investment, used to figure gains

C. The tax rate

D. The broker's profit

GO DEEPER 1 — Capital losses and tax planning

Question 1 of 5 · Learn and Apply

LEARN

Capital losses offset capital gains. If losses exceed gains, a net capital loss can offset up to $3,000 of other income each year ($1,500 if married filing separately), with the rest carried forward to future years.

Jo has a $1,500 capital gain and a $3,000 capital loss in the same year. What is her net capital result?

A. A $4,500 gain

B. A $1,500 gain

C. No gain or loss to report

D. A $1,500 net loss

GO DEEPER 1 — Capital losses and tax planning

Question 2 of 5 · Learn and Apply

LEARN

A net capital loss can offset up to $3,000 of other income per year; unused losses carry forward.

Under the federal limit, a net capital loss of $5,000 can offset how much ordinary income this year (single filer)?

A. $0

B. $1,500

C. $3,000

D. $5,000

GO DEEPER 1 — Capital losses and tax planning

Question 3 of 5 · Learn and Apply

LEARN

"Asset location" means choosing which account holds which investment to reduce taxes.

Why might placing bond funds (which pay taxable interest) in a tax-advantaged account make sense?

A. It shelters the yearly interest from current taxes

B. Bonds cannot legally be held in taxable brokerage accounts

C. It guarantees higher returns

D. It avoids all risk

GO DEEPER 1 — Capital losses and tax planning

Question 4 of 5 · Learn and Apply

LEARN

"Tax drag" is the reduction in growth caused by paying taxes each year.

Two investors earn the same 7% return. One pays 1% of the account in taxes each year; the other is in a tax-deferred account. Who likely ends with more before withdrawals?

A. The taxable investor

B. They end with the same amount

C. The tax-deferred investor

D. It is impossible to tell

GO DEEPER 1 — Capital losses and tax planning

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

Brokers send tax forms: 1099-DIV for dividends, 1099-INT for interest, and 1099-B for sales.

Which form reports dividends paid in a taxable brokerage account?

A. Form W-2

B. Form 1099-DIV

C. Form W-4

D. Form 1098-T (tuition)

GO DEEPER 2 — Investment income in a tax return

Question 1 of 5 · Learn and Apply

LEARN

Form 1099-B reports the proceeds from sales and, usually, the cost basis. Gain = proceeds − basis.

Rosa sold shares and received Form 1099-B showing proceeds of $3,200 and cost basis of $2,700. What gain does she report?

A. $500

B. $2,700

C. $3,200

D. $5,900

GO DEEPER 2 — Investment income in a tax return

Question 2 of 5 · Learn and Apply

LEARN

Reinvested dividends were already taxed, so they increase your cost basis; ignoring them can cause you to pay tax twice.

Dividends reinvested automatically buy more shares. How does that affect cost basis?

A. They have no effect on basis

B. They lower the cost basis

C. They are taxed again when the shares are sold, with no basis change

D. The reinvested amounts add to the cost basis

GO DEEPER 2 — Investment income in a tax return

Question 3 of 5 · Learn and Apply

LEARN

Common tax forms: 1099-INT reports interest, 1099-DIV reports dividends, 1099-B reports sales of investments, and W-2 reports wages.

Interest from a savings account of $85 is reported on which form?

A. Form 1099-DIV

B. Form 1099-B

C. Form W-2

D. Form 1099-INT

GO DEEPER 2 — Investment income in a tax return

Question 4 of 5 · Learn and Apply

LEARN

Trades inside IRAs and 401(k)s do not create yearly taxes; taxes depend on the account type and withdrawals.

Which statement about selling investments inside a Roth IRA is TRUE?

A. Gains inside the account are not taxed when sold

B. Each sale is taxed right away as short-term income

C. Every sale must be reported on Form 1099-B and taxed

D. Sales are prohibited until age 59½

GO DEEPER 2 — Investment income in a tax return

Question 5 of 5 · Knowledge Check · Practical how-to

Why should investors keep records of purchase prices and dates?

A. Brokers never keep any records

B. Records raise returns

C. To figure cost basis and holding periods for taxes

D. Records cancel taxes on gains

SET 54 · Investing, Brokerage Accounts, and Investment Products

Speculation, crypto assets, and investment fraud

MAIN skill: Recognize speculation and common investment frauds and protect yourself

Outcome FL.INVEST.54 · National topic: Investing · NJSLS 9.1.12: FI, FP

Learning target: Evaluate investment risks, speculation, and fraud, and identify investor protections

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: If it sounds too good to be true (5 questions)
  - Why: Fraud resistance rests on comparing a claim with realistic returns and risks.
- B2 · Math link → G7-S08-M (Grade 7 7.RP.A.3): Find a percent increase or a percent decrease
  - Why: Judging claimed returns requires comparing percent gains.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Crypto assets: risks and protections (5 questions)
- Go Deeper 2: Protecting yourself and reporting fraud (5 questions)

Practical skills beyond the standards: Checking registration before investing; Reporting investment fraud

Content status: time-sensitive

Source: SEC Investor.gov — Red flags of investment fraud include promises of guaranteed high returns, pressure to act quickly, and unregistered sellers; Ponzi schemes pay earlier investors with new investors' money.
https://www.investor.gov/protect-your-investments/fraud/types-fraud

Source: SEC Investor.gov — Crypto asset investments are highly risky and volatile, and are not FDIC insured or SIPC protected in the same way as deposits and securities at member firms.
https://www.investor.gov/additional-resources/spotlight/crypto-assets

MAIN — Recognize speculation and common investment frauds and protect yourself

Question 1 of 5 · Learn and Apply

LEARN

Red flags of investment fraud include guaranteed high returns with little or no risk, pressure to act quickly, unregistered sellers, and complicated or secret strategies. Legitimate investments carry risk, and no one can guarantee high returns.

A message promises "a guaranteed 20% return every month with no risk." What is the best response?

A. Invest a small amount to test it before investing more

B. Treat it as a likely scam and do not invest

C. Invest quickly before the offer ends tonight

D. Ask the sender for a written guarantee first

MAIN — Recognize speculation and common investment frauds and protect yourself

Question 2 of 5 · Learn and Apply

LEARN

A Ponzi scheme pays existing investors with money from new investors instead of real profits. It collapses when new money slows, and most investors lose money.

In a Ponzi scheme, where does the money paid to early investors come from?

A. From newer investors' money

B. From real profits on the investments

C. From government insurance

D. From interest earned at a bank

MAIN — Recognize speculation and common investment frauds and protect yourself

Question 3 of 5 · Learn and Apply

LEARN

Speculation is buying something mainly hoping its price rises quickly, often without regard to its underlying value. Crypto assets are highly volatile, are not FDIC insured, and have been targets of fraud and "pump-and-dump" schemes.

A crypto token rises 300% in a month after heavy social media promotion. Which statement is MOST accurate?

A. It is guaranteed to keep rising

B. It is protected by FDIC insurance up to $250,000 per owner

C. It is a safe place for an emergency fund

D. It is highly speculative and could fall just as fast

MAIN — Recognize speculation and common investment frauds and protect yourself

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Most people who sell securities or give investment advice must be registered. Investors can check registration and disciplinary history for free.

Before investing through someone, which free tool checks whether they are registered?

A. The person's social media follower count

B. A testimonial video posted online by a satisfied investor

C. FINRA BrokerCheck or the SEC's Investment Adviser search

D. The professional look of their website

MAIN — Recognize speculation and common investment frauds and protect yourself

Question 5 of 5 · Learn and Apply

LEARN

In a pump-and-dump, promoters spread false or misleading hype to push up a price, then sell their shares at the high price, leaving others with losses.

Pumpers buy a little-known stock, hype it online, and sell when others rush in. What is this called?

A. Dollar-cost averaging scheme

B. A pump-and-dump scheme

C. Diversification

D. Rebalancing

BACKWARD B1 · concept review — If it sounds too good to be true

Question 1 of 5 · Learn and Apply

LEARN

Knowing typical returns helps spot offers that are too good to be true. No legitimate investment offers high returns with no risk.

Insured savings pay about 4% a year, and stocks have historically averaged under 10% a year with large swings. A "no-risk 10% per month" offer is…

A. far beyond any realistic, risk-free return

B. reasonable for a new, fast-growing company

C. the same as a savings account

D. normal for index funds

BACKWARD B1 · concept review — If it sounds too good to be true

Question 2 of 5 · Knowledge Check

A stranger online offers to "double your money in a week." What should you assume?

A. It is a normal investment

B. It is very likely a scam

C. It is insured

D. It is approved by the government

BACKWARD B1 · concept review — If it sounds too good to be true

Question 3 of 5 · Learn and Apply

LEARN

Scammers create urgency so victims do not stop to check.

Which is a common pressure tactic?

A. "Take your time and compare all your options first."

B. "Read the prospectus first."

C. "Act now — this opportunity closes tonight!"

D. "Talk to someone you trust."

BACKWARD B1 · concept review — If it sounds too good to be true

Question 4 of 5 · Learn and Apply

LEARN

Payments that are fast and hard to reverse are favored by scammers.

Which payment method do investment scammers often ask for because it is hard to reverse?

A. A credit card with dispute rights

B. A check to a registered broker-dealer

C. An ACH transfer to your own brokerage account

D. Crypto transfers, wires, or gift cards

BACKWARD B1 · concept review — If it sounds too good to be true

Question 5 of 5 · Learn and Apply

LEARN

Pyramid schemes pay mainly for recruiting others, not for real products or profits, and collapse when recruiting slows.

A friend earned money in a "club" that pays you for recruiting new members, not for selling products. What is this most likely?

A. A pyramid scheme

B. A multilevel marketing company that sells real products

C. An investment club that pools money

D. A referral bonus program

GO DEEPER 1 — Crypto assets: risks and protections

Question 1 of 5 · Learn and Apply

LEARN

Crypto assets can lose most of their value quickly. Only money you can afford to lose should be used for speculation.

Kai buys $500 of a crypto asset that falls 80%. What is it worth?

A. $100

B. $400

C. $420

D. $500

GO DEEPER 1 — Crypto assets: risks and protections

Question 2 of 5 · Learn and Apply

LEARN

Crypto assets are not bank deposits and are generally not protected the way deposits or securities at SIPC-member firms are.

Kai's crypto exchange collapses, and customers cannot withdraw. Which protection generally applies to the crypto assets?

A. FDIC insurance up to $250,000 per depositor

B. SIPC insurance on all crypto holdings

C. Automatic refunds from the federal government

D. Usually none like FDIC or SIPC coverage

GO DEEPER 1 — Crypto assets: risks and protections

Question 3 of 5 · Learn and Apply

LEARN

Crypto wallets are controlled by private keys or recovery phrases. Anyone who gets them can take the assets, and lost keys can mean lost assets.

Who controls access to crypto held in a "self-custody" wallet?

A. The FDIC

B. Whoever has the private keys or recovery phrase

C. The crypto exchange that sold the coins

D. The wallet app's customer service team

GO DEEPER 1 — Crypto assets: risks and protections

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Legitimate services never need your recovery phrase.

Someone asks Kai for his crypto wallet recovery phrase to "verify his account." What should he do?

A. Share it, since verification requests like this are routine

B. Share only half of it

C. Refuse; sharing it gives away control of the assets

D. Post it publicly to prove ownership

GO DEEPER 1 — Crypto assets: risks and protections

Question 5 of 5 · Knowledge Check

What share of savings is reasonable for highly speculative assets?

A. All emergency savings

B. Money borrowed on a credit card

C. Only money you could afford to lose entirely

D. Money that is needed for next month's rent payment

GO DEEPER 2 — Protecting yourself and reporting fraud

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

The SEC accepts tips and complaints online; state securities regulators also investigate investment fraud.

Where can an investor report suspected securities fraud?

A. Only to the person running the scheme

B. The SEC (sec.gov/tcr) or the state securities regulator

C. A credit bureau

D. The FDIC

GO DEEPER 2 — Protecting yourself and reporting fraud

Question 2 of 5 · Learn and Apply

LEARN

Ponzi schemes pay early investors with new investors' money. Pump-and-dump schemes hype a cheap stock, then sell. Phishing uses fake messages to steal information. Affinity fraud spreads through trust within a religious, ethnic, or community group.

A scam targets members of a club or faith group by using trust within the group. What is this called?

A. A pyramid scheme

B. Pump-and-dump

C. Phishing

D. Affinity fraud

GO DEEPER 2 — Protecting yourself and reporting fraud

Question 3 of 5 · Learn and Apply

LEARN

Recovery scammers target people who already lost money, promising to get it back for an upfront fee.

After losing money to a scam, Lia gets a call offering to "recover your losses for a fee." What is this most likely?

A. A recovery scam targeting past victims

B. A government refund program

C. A bank's fraud department follow-up

D. A legitimate free service in every case

GO DEEPER 2 — Protecting yourself and reporting fraud

Question 4 of 5 · Knowledge Check · Practical how-to

Which habit gives the best protection against investment fraud?

A. Trusting anyone with a professional website

B. Investing quickly when friends do

C. Verify registration and take time to research before investing

D. Choosing the highest promised return

GO DEEPER 2 — Protecting yourself and reporting fraud

Question 5 of 5 · Learn and Apply

LEARN

Paid promotions must be disclosed, but endorsements do not make an investment safe or valuable.

A celebrity endorses a new token on social media. What should an investor remember?

A. Endorsements may be paid and are not evidence of value

B. Celebrities must guarantee results

C. Endorsed tokens are FDIC insured

D. Endorsements prove the SEC approved it

SET 55 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

Why save for retirement

MAIN skill: Explain why people save for retirement and how decades of compounding affect retirement savings

Outcome FL.RETIRE.55 · National topic: Investing · NJSLS 9.1.12: PB, FI

Learning target: Explain the importance of saving for retirement and the effect of compounding over time

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Retirement means living without a paycheck (5 questions)
  Why: Students need to picture retirement as decades of expenses without wages before retirement accounts make sense.
- B2 · Math link → ALG1-S55-M (Algebra 1 HSF-LE.A.1.c): Recognize situations in which a quantity grows or decays by a constant percent rate per unit interval
  Why: Long-term retirement growth is exponential growth at a percent rate.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Replacement goals and Social Security estimates are percents of income.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Estimating how much to save (5 questions)
- Go Deeper 2: The cost of waiting to save for retirement (5 questions)

Practical skills beyond the standards: Estimating a retirement savings goal

Content status: stable

MAIN — Explain why people save for retirement and how decades of compounding affect retirement savings

Question 1 of 5 · Learn and Apply

LEARN

Retirement can last 20 to 30 years or more. Social Security provides a monthly benefit, but for an average worker it replaces only about 40% of pre-retirement earnings. Most people need personal savings, often through workplace plans and IRAs, to cover the rest.

Why do most people need their own retirement savings in addition to Social Security?

A. Social Security pays each retiree twice their old salary

B. Retirement lasts only a few months for most people who retire

C. Employers pay workers forever after they retire

D. Social Security replaces only part of most workers' income

MAIN — Explain why people save for retirement and how decades of compounding affect retirement savings

Question 2 of 5 · Learn and Apply

LEARN

Money invested for decades can grow far beyond what was put in, because growth compounds: A = P(1 + r)^t. (Real returns vary year to year and are not guaranteed.)

At 15, Ana invests $2,000 that earns an assumed 7% a year until she is 65 (50 years). About how much will it grow to?

A. About $9,000

B. About $58,914

C. About $14,000

D. About $2,140

MAIN — Explain why people save for retirement and how decades of compounding affect retirement savings

Question 3 of 5 · Learn and Apply

LEARN

Growth = ending balance − total contributions.

Ben invests $6,000 a year for 40 years. At an assumed 7% a year, the account reaches about $1,197,811. How much of that is GROWTH rather than his contributions?

A. About $240,000

B. About $1,197,811

C. About $1,437,811

D. About $957,811

MAIN — Explain why people save for retirement and how decades of compounding affect retirement savings

Question 4 of 5 · Learn and Apply

LEARN

A replacement goal is the share of pre-retirement income you want in retirement. Savings must fill the gap between that goal and other income such as Social Security.

Lin earns $60,000 before retiring and wants 80% of that income in retirement. Social Security is expected to replace 40% of it. How much per year must come from savings?

A. $12,000

B. $24,000

C. $36,000

D. $48,000

MAIN — Explain why people save for retirement and how decades of compounding affect retirement savings

Question 5 of 5 · Knowledge Check

Which choice gives retirement savings the MOST time to compound?

A. Waiting until age 50 to start saving

B. Starting contributions with a first job

C. Saving only in the final year before retiring

D. Waiting until debt is zero and a house is paid off

BACKWARD B1 · concept review — Retirement means living without a paycheck

Question 1 of 5 · Learn and Apply

LEARN

Retirement is the stage of life after someone stops working full time. Without a paycheck, retirees live on savings, Social Security, and any pensions.

What is retirement?

A. The years after a person stops working for pay

B. A type of bank account

C. A two-week vacation

D. A job promotion

BACKWARD B1 · concept review — Retirement means living without a paycheck

Question 2 of 5 · Learn and Apply

LEARN

Years in retirement = age at death − age at retirement.

If someone retires at 65 and lives to 90, how many years must their money last?

A. 65 years

B. 90 years

C. 25 years

D. 155 years

BACKWARD B1 · concept review — Retirement means living without a paycheck

Question 3 of 5 · Knowledge Check

A retiree spends $3,000 a month. How much is that per year?

A. $250

B. $3,000

C. $30,000

D. $36,000

BACKWARD B1 · concept review — Retirement means living without a paycheck

Question 4 of 5 · Learn and Apply

LEARN

Social Security is a federal program funded by payroll taxes. 401(k)s, IRAs, and brokerage accounts are savings the worker builds.

Which source of retirement income comes from the government?

A. A 401(k) at work

B. A Roth IRA

C. Social Security

D. A brokerage account

BACKWARD B1 · concept review — Retirement means living without a paycheck

Question 5 of 5 · Knowledge Check

Why does a 20-year-old have an advantage in saving for retirement?

A. Young people can contribute more each year than older people

B. Decades of time for growth to compound

C. Retirement accounts pay higher interest rates to young savers

D. Young savers can take money out anytime without rules

GO DEEPER 1 — Estimating how much to save

Question 1 of 5 · Learn and Apply

LEARN

Rules of thumb, such as the "4% guideline," give rough targets: savings needed ≈ first-year withdrawal ÷ 0.04. They are estimates, not guarantees; market returns, inflation, and life span all matter.

A common rule of thumb says a retiree might withdraw about 4% of savings in the first year. Using that rule, how much savings would provide $40,000 in the first year?

A. $40,000

B. $160,000

C. $400,000

D. $1,000,000

GO DEEPER 1 — Estimating how much to save

Question 2 of 5 · Learn and Apply

LEARN

Rules of thumb simplify complex questions. They are starting points for planning, not promises.

Why is the 4% guideline only a rough estimate?

A. It is a federal law for retirement accounts

B. It guarantees savings never run out

C. It applies only to people under 30

D. Future returns, inflation, and life span are uncertain

GO DEEPER 1 — Estimating how much to save

Question 3 of 5 · Learn and Apply

LEARN

Inflation also compounds. At 3% a year, prices double in about 72 ÷ 3 = 24 years.

With prices rising 3% a year, about how much will $40,000 of today's spending cost in 24 years (Rule of 72)?

A. About $80,000

B. About $40,000

C. About $68,800

D. About $160,000

GO DEEPER 1 — Estimating how much to save

Question 4 of 5 · Learn and Apply

LEARN

A savings rate is the percent of income saved: amount = income × rate.

Many planners suggest saving about 10–15% of income for retirement. On a $50,000 salary, what is 15%?

A. $750

B. $5,000

C. $7,500

D. $15,000

GO DEEPER 1 — Estimating how much to save

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

The Social Security Administration provides personalized benefit estimates through online accounts.

Which free tool helps estimate future Social Security benefits?

A. Her most recent pay stub

B. A W-2 form from last year

C. A "my Social Security" account at ssa.gov

D. A retirement calculator on a bank's website

GO DEEPER 2 — The cost of waiting to save for retirement

Question 1 of 5 · Learn and Apply

LEARN

Starting early, even for a few years, can produce more than saving much longer but starting later, because of extra years of compounding. (Examples assume a steady return; real returns vary.)

Saver A invests $3,000 a year from 25 to 34, then stops. At an assumed 7%, the account is about $41,449 at 35 and about $442,537 at 70. How much did Saver A contribute?

A. $3,000

B. $30,000

C. $41,449

D. $442,537

GO DEEPER 2 — The cost of waiting to save for retirement

Question 2 of 5 · Learn and Apply

LEARN

Multiple = ending balance ÷ contributions.

Saver A contributed $30,000 and ended with about $442,537. What multiple of the contributions is that (nearest whole)?

A. About 15 times

B. About 4 times

C. About 1.5 times

D. About 44 times

GO DEEPER 2 — The cost of waiting to save for retirement

Question 3 of 5 · Learn and Apply

LEARN

Present bias makes far-off goals feel less urgent. Automatic payroll contributions help overcome it.

Which reason do young workers MOST often give for not saving for retirement?

A. Retirement accounts are not allowed for workers under 30

B. Retirement feels far away compared with current needs

C. Employers do not let new workers join plans

D. Compounding works only for people who are already older

GO DEEPER 2 — The cost of waiting to save for retirement

Question 4 of 5 · Learn and Apply

LEARN

Automatic contributions happen without a new decision each payday.

Which feature helps overcome present bias in retirement saving?

A. Saving only when they happen to remember

B. Waiting for a bonus

C. Keeping savings in a wallet

D. Automatic payroll contributions

GO DEEPER 2 — The cost of waiting to save for retirement

Question 5 of 5 · Learn and Apply

LEARN

Plan features: auto-enrollment signs workers up by default; automatic escalation raises the contribution rate a little each year; catch-up contributions let workers 50 and older save extra.

Raising a 401(k) contribution by 1% of pay each year until it reaches a target is called…

A. a catch-up contribution

B. automatic escalation

C. a rollover

D. dollar-cost averaging

SET 56 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

401(k) and 403(b) plans at work

MAIN skill: Explain employer retirement plans, employer matching, and the cost of cashing out

Outcome FL.RETIRE.56 · National topic: Investing · NJSLS 9.1.12: PB, FI

Learning target: Compare employer-sponsored retirement plans and explain employer matching and tax treatment

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Employer plans and matching (5 questions)
  Why: Match math depends on understanding that the employer adds money only when the worker contributes.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Contributions and matches are percents of pay.
- B3 · Math link → G7-S07-M (Grade 7 7.RP.A.3): Solve multistep ratio problems
  Why: Match calculations apply two percents in sequence.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Leaving a job: rollover choices (5 questions)
- Go Deeper 2: Plan features: auto-enrollment, Roth options, and loans (5 questions)

Practical skills beyond the standards: Choosing a rollover when changing jobs

Content status: time-sensitive

Source: IRS (401(k) resource guide) — 401(k) plans allow pre-tax or Roth employee deferrals and employer contributions; 403(b) plans are similar plans for public schools and certain nonprofits. https://www.irs.gov/retirement-plans/401k-plans

MAIN — Explain employer retirement plans, employer matching, and the cost of cashing out

Question 1 of 5 · Learn and Apply

LEARN

A 401(k) is a retirement plan offered by many private employers. A 403(b) is a similar plan offered by public schools, colleges, hospitals, and many nonprofits. Both let workers save part of each paycheck, often with tax benefits and sometimes an employer match.

Who usually offers a 403(b) plan instead of a 401(k)?

A. Every private technology company and its contractors

B. State and federal tax agencies to taxpayers

C. Banks to their savings customers

D. Public schools and many nonprofit organizations

MAIN — Explain employer retirement plans, employer matching, and the cost of cashing out

Question 2 of 5 · Learn and Apply

LEARN

An employer match adds money when you contribute. Contributing at least enough to get the full match is often called "free money."

Raj earns $55,000. His employer matches 50% of his contributions up to 6% of pay. Raj contributes 6%. How much does the employer add per year?

A. $330

B. $1,650

C. $3,300

D. $4,950

MAIN — Explain employer retirement plans, employer matching, and the cost of cashing out

Question 3 of 5 · Learn and Apply

LEARN

Traditional 401(k) contributions are pre-tax: they lower taxable income now. Taxes are paid later on withdrawals. Roth 401(k) contributions are after-tax, with tax-free qualified withdrawals.

Raj contributes $3,300 to a traditional (pre-tax) 401(k), and his top federal tax rate is 12%. About how much federal income tax does this save this year?

A. $39.60

B. $396

C. $2,904

D. $3,300

MAIN — Explain employer retirement plans, employer matching, and the cost of cashing out

Question 4 of 5 · Learn and Apply

LEARN

When leaving a job, you can usually leave the money in the old plan, roll it into a new employer's plan, or roll it into an IRA. Cashing out before 59½ usually means income tax plus a 10% additional tax, unless an exception applies.

Maya leaves a job with $10,000 in her 401(k) and is under 59½. If she cashes it out, assume 22% federal income tax plus a 10% additional tax for early withdrawal. How much is left?

A. $6,800

B. $7,800

C. $9,000

D. $10,000

MAIN — Explain employer retirement plans, employer matching, and the cost of cashing out

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

In a direct rollover, the old plan sends the money straight to the new IRA or plan, so taxes stay deferred.

Which choice usually keeps Maya's retirement money growing with taxes still deferred?

A. A direct rollover to an IRA or new plan

B. Cashing out and spending it

C. Withdrawing it to pay for a vacation

D. Having a check mailed and keeping it for a year

BACKWARD B1 · concept review — Employer plans and matching

Question 1 of 5 · Learn and Apply

LEARN

With a match, the employer contributes to your retirement account in proportion to what you contribute, up to a limit.

What does an employer "match" mean?

A. The employer pays the worker's taxes

B. The worker must repay the employer later, with interest added

C. The employer adds money based on what the worker contributes

D. The employer chooses the worker's investments

BACKWARD B1 · concept review — Employer plans and matching

Question 2 of 5 · Learn and Apply

LEARN

Match = matching rate × the worker's contribution, up to the plan's limit.

A plan matches 100% up to 4% of pay. A worker earning $40,000 contributes 4%. How much is the match?

A. $160

B. $800

C. $1,600

D. $3,200

BACKWARD B1 · concept review — Employer plans and matching

Question 3 of 5 · Learn and Apply

LEARN

A match is paid only on what the worker contributes.

If that worker contributes 0%, what is the match?

A. $0

B. $400

C. $800

D. $1,600

BACKWARD B1 · concept review — Employer plans and matching
Question 4 of 5 · Knowledge Check

What is "free money" in a 401(k)?

A. Money that the government gives every worker each year
B. The employer match a worker receives by contributing
C. A loan from the plan
D. The tax refund a worker gets for contributing

BACKWARD B1 · concept review — Employer plans and matching

Question 5 of 5 · Learn and Apply

LEARN

To get the full match, contribute at least the percent the employer will match.

Which worker gets the FULL match under "50% up to 6% of pay"?

A. One contributing 6% or more

B. One contributing 1%

C. One contributing 3% of salary

D. One contributing nothing

GO DEEPER 1 — Leaving a job: rollover choices

Question 1 of 5 · Learn and Apply

LEARN

When you leave a job, you can roll a 401(k) into an IRA or a new employer plan. A direct (trustee-to-trustee) rollover avoids taxes and penalties.

Which statement about rolling a 401(k) into an IRA is TRUE?

A. Every rollover is fully taxed

B. Rollovers are allowed only at age 65

C. A direct rollover avoids taxes and penalties

D. A check paid to her has no tax withheld

GO DEEPER 1 — Leaving a job: rollover choices

Question 2 of 5 · Learn and Apply

LEARN

If a plan pays the money to you instead of directly to the new account, it generally must withhold 20% for taxes; to avoid tax on the withheld part, you must make it up from other funds within 60 days.

With an indirect rollover, the plan withholds 20% and the worker has 60 days to deposit the full amount into an IRA. On $10,000, how much is withheld?

A. $200

B. $1,000

C. $2,000

D. $6,000

GO DEEPER 1 — Leaving a job: rollover choices

Question 3 of 5 · Learn and Apply

LEARN

To complete the rollover tax-free, the full original amount must be deposited within 60 days.

In that indirect rollover, how much must the worker deposit within 60 days to avoid tax on any of the $10,000?

A. $8,000 only

B. $2,000 only

C. Nothing; the rollover is fully automatic for him

D. $10,000, including $2,000 from other money

GO DEEPER 1 — Leaving a job: rollover choices

Question 4 of 5 · Learn and Apply

LEARN

Old accounts left at many past employers can be forgotten. Consolidating can simplify tracking.

Why might keeping a small old 401(k) in a former employer's plan be inconvenient?

A. It is illegal to keep money in an old employer's plan

B. It is easy to lose track of old accounts

C. It stops earning returns once she leaves

D. The employer can take back her own contributions

GO DEEPER 1 — Leaving a job: rollover choices

Question 5 of 5 · Knowledge Check · Practical how-to

Which step should Maya take FIRST when leaving her job?

A. Request a cash check to spend

B. Forget the account

C. Ask the employer to return all the money as cash

D. Ask the plan for her rollover options and set up a direct rollover

GO DEEPER 2 — Plan features: auto-enrollment, Roth options, and loans

Question 1 of 5 · Learn and Apply

LEARN

Defaults are powerful: when saving is automatic, most people keep it. Workers can usually change the rate or opt out.

Many plans auto-enroll new workers at 3% of pay unless they opt out. Why does auto-enrollment raise saving?

A. People tend to keep the default

B. It doubles the match automatically

C. It removes all investment risk

D. It lowers the worker's salary

GO DEEPER 2 — Plan features: auto-enrollment, Roth options, and loans

Question 2 of 5 · Learn and Apply

LEARN

Roth 401(k) contributions are after-tax. Qualified withdrawals, including earnings, are tax-free.

A plan offers a Roth 401(k). How are contributions taxed?

A. Never taxed at any time

B. Deducted now and taxed at withdrawal

C. Taxed now; qualified withdrawals later are tax-free

D. Taxed only if the market rises

GO DEEPER 2 — Plan features: auto-enrollment, Roth options, and loans

Question 3 of 5 · Learn and Apply

LEARN

A 401(k) loan is repaid to your own account, but the money is not invested while borrowed, and leaving your job can make the remaining balance due quickly or treated as a taxable distribution.

Some plans allow loans. Leo borrows $5,000 from his 401(k). What is a key risk?

A. If he leaves his job, the loan may soon be due

B. Loans are always forgiven

C. The loan raises his credit score

D. There is no effect at all on his retirement savings

GO DEEPER 2 — Plan features: auto-enrollment, Roth options, and loans

Question 4 of 5 · Learn and Apply

LEARN

Retirement plans have yearly contribution limits that change over time; check the current year's limits at irs.gov. This question uses a stated hypothetical limit.

Assume a yearly 401(k) employee contribution limit of $23,000 for a scenario. Ana earns $100,000. What is the most she can defer?

A. $2,300

B. $10,000

C. $23,000

D. $100,000

GO DEEPER 2 — Plan features: auto-enrollment, Roth options, and loans

Question 5 of 5 · Learn and Apply

LEARN

Plans offer a menu of funds. Target-date funds shift from stocks toward bonds as their target year approaches.

Which investment option inside a 401(k) automatically becomes more conservative as retirement nears?

A. A single company stock fund

B. A target-date fund

C. A money market fund

D. A sector fund

SET 57 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

IRAs: traditional and Roth

MAIN skill: Explain what an IRA is and compare traditional and Roth IRA tax treatment

Outcome FL.RETIRE.57 · National topic: Investing · NJSLS 9.1.12: PB, EG

Learning target: Compare traditional and Roth retirement accounts and their tax treatment

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Pay tax now or pay tax later (5 questions)
  Why: The Roth versus traditional choice is a financial-concept prerequisite: when the tax is paid.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Comparing accounts applies tax rates to contributions or withdrawals.
- B3 · Math link → G7-S07-M (Grade 7 7.RP.A.3): Solve multistep ratio problems
  Why: The comparison chains tax and growth factors.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: When Roth or traditional comes out ahead (5 questions)
- Go Deeper 2: IRAs compared with 401(k)s (5 questions)

Practical skills beyond the standards: Choosing between Roth and traditional accounts

Content status: time-sensitive

Source: IRS (Publication 590-A and 590-B) — IRA contributions require taxable compensation (earned income) and are limited to the lesser of the annual limit or compensation; Roth contributions are not deductible; qualified Roth distributions are tax-free. https://www.irs.gov/retirement-plans/individual-retirement-arrangements-iras

MAIN — Explain what an IRA is and compare traditional and Roth IRA tax treatment

Question 1 of 5 · Learn and Apply

LEARN

An IRA (individual retirement account, officially "arrangement") is a personal retirement account that you open yourself, not through an employer. IRAs give tax advantages in exchange for rules about contributions and withdrawals. Money in an IRA can be invested in stocks, bonds, funds, and more.

What is an IRA?

A. An insured checking account for retirees

B. A government pension that is paid to every American worker

C. An individual retirement account with tax advantages

D. A loan program for people near retirement

MAIN — Explain what an IRA is and compare traditional and Roth IRA tax treatment

Question 2 of 5 · Learn and Apply

LEARN

IRAs get special tax treatment. In return, withdrawals of earnings before age 59½ generally face taxes and a 10% additional tax unless an exception applies.

What makes an IRA a RETIREMENT account rather than an ordinary investment account?

A. It can hold only cash, never investments

B. It is insured by the FDIC against losses

C. It is opened only after age 65

D. Tax benefits come with rules that discourage early withdrawals

MAIN — Explain what an IRA is and compare traditional and Roth IRA tax treatment

Question 3 of 5 · Learn and Apply

LEARN

Roth IRA: you contribute money you have already paid tax on (no deduction now). The account grows tax-free, and qualified withdrawals in retirement are tax-free.

Which describes a ROTH IRA?

A. Contributions are made with after-tax money; qualified withdrawals are tax-free

B. Contributions are always tax-deductible; all withdrawals are taxed as income later

C. There are no taxes at any stage, including contributions

D. Contributions are deductible; qualified withdrawals are tax-free

MAIN — Explain what an IRA is and compare traditional and Roth IRA tax treatment

Question 4 of 5 · Learn and Apply

LEARN

Traditional IRA: contributions may be tax-deductible (depending on income and workplace plan coverage). The account grows tax-deferred, and withdrawals are taxed as ordinary income.

Which describes a TRADITIONAL IRA?

A. Contributions are after-tax; qualified withdrawals are completely tax-free

B. Contributions may be tax-deductible; withdrawals are taxed as income

C. It can be opened only by employers

D. It pays a fixed interest rate set by law

MAIN — Explain what an IRA is and compare traditional and Roth IRA tax treatment

Question 5 of 5 · Learn and Apply

LEARN

Roth: tax first, then tax-free growth. Traditional: grow first, then tax. If the tax rate is the same now and later, the results match.

$1,000 of earnings is put toward retirement. In a Roth, tax of 12% is paid first, so $880 is invested; in a traditional IRA, the full $1,000 is invested and taxed at 12% on withdrawal. Both grow 4 times. After taxes, what does each provide?

A. Roth $3,520; traditional $4,000

B. Roth $880; traditional $1,000

C. Both provide $3,520

D. Roth $4,000; traditional $3,520

BACKWARD B1 · concept review — Pay tax now or pay tax later

Question 1 of 5 · Learn and Apply

LEARN

Two ways to get a tax break: pay tax now and skip it later (Roth), or skip tax now and pay it later (traditional).

With a Roth account, WHEN is income tax paid on the money you contribute?

A. When it is withdrawn in retirement

B. Never; Roth money is never taxed

C. Every year on all growth

D. Before it goes in

BACKWARD B1 · concept review — Pay tax now or pay tax later

Question 2 of 5 · Learn and Apply

LEARN

In a traditional account, tax is usually put off until the money is withdrawn.

With a traditional account, WHEN is income tax usually paid?

A. When money is withdrawn

B. Before it goes in

C. Never; traditional money is never taxed

D. Every year on the account's growth

BACKWARD B1 · concept review — Pay tax now or pay tax later

Question 3 of 5 · Learn and Apply

LEARN

Paying tax when your rate is lower saves money.

If someone expects a HIGHER tax rate in retirement than now, which type often makes more sense?

A. Traditional

B. Roth

C. Neither; it never matters

D. A regular taxable account

BACKWARD B1 · concept review — Pay tax now or pay tax later

Question 4 of 5 · Learn and Apply

LEARN

Many young workers are in low tax brackets now.

A young worker in a low tax bracket today expects to earn more later. Which IRA is often recommended?

A. A traditional IRA

B. No IRA

C. A Roth IRA

D. A taxable brokerage account

BACKWARD B1 · concept review — Pay tax now or pay tax later

Question 5 of 5 · Knowledge Check

Which statement is TRUE for both Roth and traditional IRAs?

A. Contributions are always deductible from taxable income

B. Withdrawals are always tax-free

C. They are FDIC insured

D. Investments inside grow without yearly taxes

GO DEEPER 1 — When Roth or traditional comes out ahead

Question 1 of 5 · Learn and Apply

LEARN

When the tax rate later is higher than now, paying tax now (Roth) wins; when it is lower later, traditional wins.

$1,000 of earnings: Roth taxed at 12% now; traditional taxed at 22% at withdrawal. Both grow 4 times. Which provides more after tax?

A. Traditional: $3,520 vs $3,120

B. They are equal at $3,520

C. Roth: $3,520 vs $3,120

D. Traditional: $4,000 vs $3,520

GO DEEPER 1 — When Roth or traditional comes out ahead

Question 2 of 5 · Learn and Apply

LEARN

Roth: tax now at today's rate, then tax-free. Traditional: full amount grows, then taxed at the later rate.

If the rate now is 22% and later 12%, which provides more from $1,000 that grows 4 times?

A. Roth: $3,520 vs $3,120

B. They are equal

C. Roth: $4,000 vs $3,520 after tax

D. Traditional: $3,520 vs $3,120

GO DEEPER 1 — When Roth or traditional comes out ahead

Question 3 of 5 · Learn and Apply

LEARN

No one knows their future tax rate for sure.

Why do some people split savings between Roth and traditional accounts?

A. Future tax rates are uncertain, so splitting spreads the risk

B. The law requires both account types

C. Splitting doubles the contribution limit

D. Splitting removes all taxes

GO DEEPER 1 — When Roth or traditional comes out ahead

Question 4 of 5 · Learn and Apply

LEARN

Traditional IRAs require minimum withdrawals starting in your 70s (the exact age depends on birth year). Roth IRAs do not require withdrawals during the original owner's life.

Which account has NO required minimum distributions during the original owner's lifetime?

A. A traditional IRA

B. A Roth IRA

C. A traditional 401(k) for a retired worker

D. Every retirement account

GO DEEPER 1 — When Roth or traditional comes out ahead

Question 5 of 5 · Learn and Apply

LEARN

A deduction lowers taxable income; tax saved ≈ deduction × tax rate.

A traditional IRA contribution is deductible for Ana, whose rate is 12%. She contributes $2,000. About how much tax does she save now?

A. $24

B. $240

C. $1,760

D. $2,000

GO DEEPER 2 — IRAs compared with 401(k)s

Question 1 of 5 · Learn and Apply

LEARN

401(k) and 403(b) plans are set up by employers, often with matches and payroll deductions. IRAs are opened individually at a financial institution.

Which statement compares IRAs and 401(k)s correctly?

A. Only IRAs can have employer matches

B. 401(k)s cannot hold mutual funds

C. A 401(k) is offered through an employer; an IRA is opened by an individual

D. IRAs are offered only by employers

GO DEEPER 2 — IRAs compared with 401(k)s

Question 2 of 5 · Learn and Apply

LEARN

Employer plans offer a set menu of funds. IRAs at brokerage firms can usually hold almost any stock, bond, or fund.

Which account usually offers the WIDER choice of investments?

A. An IRA at a brokerage firm

B. A 401(k) with a set menu of funds

C. A checking account

D. A certificate of deposit

GO DEEPER 2 — IRAs compared with 401(k)s

Question 3 of 5 · Learn and Apply

LEARN

Workplace plan participation can affect whether a traditional IRA contribution is deductible, but you can generally contribute to both.

Can a worker contribute to both a 401(k) and an IRA in the same year?

A. No, it is illegal to have both

B. Yes, within each account's rules

C. Only if the saver is over age 50

D. Only if the 401(k) has no match

GO DEEPER 2 — IRAs compared with 401(k)s

Question 4 of 5 · Learn and Apply

LEARN

A common priority: contribute enough to get the full employer match, then use an IRA, then add more to the workplace plan.

A worker's employer offers a 401(k) with a match. Which order of saving do many planners suggest?

A. Skip the match and use only an IRA

B. Use only a taxable account

C. Save nothing until 40

D. Get the full 401(k) match first, then consider an IRA

GO DEEPER 2 — IRAs compared with 401(k)s

Question 5 of 5 · Learn and Apply

LEARN

IRAs belong to the individual, not to an employer.

Which account follows a worker from job to job without a rollover?

A. An IRA

B. A 401(k) at a past employer

C. A pension at a former job

D. An employer stock plan

SET 58 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

Roth IRA eligibility and contribution rules

MAIN skill: Apply Roth IRA eligibility, earned-income, contribution-limit, and deadline rules

Outcome FL.RETIRE.58 · National topic: Earning Income · NJSLS 9.1.12: PB, EG

Learning target: 12-8a distinguish earned from unearned income; retirement account eligibility rules

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Earned versus unearned income (5 questions)
  Why: IRA eligibility depends on telling earned income apart from other money (national outcome 12-8a).
- B2 · Math link → G7-S34-M (Grade 7 7.EE.B.4.b): Solve word problems that lead to inequalities of the form px + q > r or px + q < r
  Why: Contribution rules are inequalities: contribution ≤ the limit and ≤ earned income.
- B3 · Math link → G4-S18-M (Grade 4 4.NBT.A.2): Compare multi-digit whole numbers using >, =, and <
  Why: "The lesser of" two amounts requires comparing numbers.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Custodial Roth IRAs for teens (5 questions)
- Go Deeper 2: Contribution mistakes and fixes (5 questions)

Practical skills beyond the standards: Custodial Roth IRAs for teens; Correcting excess contributions

Content status: time-sensitive

Source: IRS (Publication 590-A and 590-B) — IRA contributions require taxable compensation (earned income) and are limited to the lesser of the annual limit or compensation; Roth contributions are not deductible; qualified Roth distributions are tax-free. https://www.irs.gov/retirement-plans/individual-retirement-arrangements-iras

Source: IRS (Retirement topics: IRA contribution limits) — The IRA contribution limit and Roth income limits change by tax year; this course uses stated hypothetical amounts. https://www.irs.gov/retirement-plans/plan-participant-employee/retirement-topics-ira-contribution-limits

Source: IRS (Publication 590-A) — Excess IRA contributions are subject to a 6% excise tax for each year they remain in the account; contributions for a year can be made until the tax return due date (not including extensions). https://www.irs.gov/publications/p590a

Note: Contribution and income limits are stated as hypothetical amounts; check irs.gov for the current tax year.

MAIN — Apply Roth IRA eligibility, earned-income, contribution-limit, and deadline rules

Question 1 of 5 · Learn and Apply

LEARN

To contribute to an IRA, you must have earned income (taxable compensation), such as wages, salaries, tips, or net self-employment earnings. Gifts, allowances, interest, and dividends do not count. There is no minimum age.

Kai, 16, wants to contribute to a Roth IRA. Which of his income counts as earned income for IRA purposes?

A. $500 of birthday gifts from relatives

B. $2,400 in wages from a part-time job

C. $300 of interest from a savings account

D. A $1,000 weekly allowance from parents

MAIN — Apply Roth IRA eligibility, earned-income, contribution-limit, and deadline rules

Question 2 of 5 · Learn and Apply

LEARN

The most you can contribute to IRAs for a year is the LESSER of the annual limit or your earned income for that year.

For this scenario, assume the annual IRA contribution limit is $7,000. Kai earned $3,200 from his job this year. What is the most he can contribute to a Roth IRA for the year?

A. $0

B. $3,200

C. $7,000

D. $10,200

MAIN — Apply Roth IRA eligibility, earned-income, contribution-limit, and deadline rules

Question 3 of 5 · Knowledge Check

Assume a $7,000 limit. Ana earned $45,000 this year. What is the most she can put into her Roth IRA?

A. $4,500

B. $7,000

C. $45,000

D. $52,000

MAIN — Apply Roth IRA eligibility, earned-income, contribution-limit, and deadline rules

Question 4 of 5 · Learn and Apply

LEARN

Roth IRAs have income limits: above a certain modified adjusted gross income (MAGI), direct Roth contributions are reduced or not allowed. The limits change each year. Traditional IRA contributions have no income cap, though deductibility can be limited.

Roth IRA eligibility also depends on income. For this scenario, assume single filers can contribute fully below $150,000 of modified income and not at all above $165,000. Leo's modified income is $172,000. Can he contribute directly to a Roth IRA?

A. Yes, the full amount, because he has earned income

B. Yes, but only half the limit

C. Yes, if he contributes before January

D. No; his income is above the limit

MAIN — Apply Roth IRA eligibility, earned-income, contribution-limit, and deadline rules

Question 5 of 5 · Learn and Apply

LEARN

IRA contributions for a tax year can be made from January 1 of that year through the tax return due date (usually mid-April of the next year), not including extensions.

Until when can a contribution for a given tax year usually be made?

A. Only until December 31 of that year

B. Any time in the next five years

C. Until the tax-filing deadline the following April

D. Only during the calendar month of the person's next birthday

BACKWARD B1 · concept review — Earned versus unearned income

Question 1 of 5 · Learn and Apply

LEARN

Earned income is pay for work: wages, salaries, tips, and self-employment earnings. Unearned income includes interest, dividends, and capital gains. Gifts are not income to the person receiving them for tax purposes.

Which is EARNED income?

A. Interest on savings deposits

B. Stock dividends

C. A cash gift

D. Tips from waiting tables

BACKWARD B1 · concept review — Earned versus unearned income

Question 2 of 5 · Learn and Apply

LEARN

Unearned income comes from money or property, not from work.

Which is UNEARNED income?

A. Wages from a summer job

B. Dividends from a stock fund

C. Pay for babysitting

D. Self-employment earnings from mowing lawns

BACKWARD B1 · concept review — Earned versus unearned income

Question 3 of 5 · Learn and Apply

LEARN

Only pay for work counts as earned income.

Mia earned $1,800 babysitting and received $600 in gifts. How much earned income does she have?

A. $600

B. $1,200

C. $1,800

D. $2,400

BACKWARD B1 · concept review — Earned versus unearned income

Question 4 of 5 · Learn and Apply

LEARN

The IRA rule uses the lesser (smaller) of two numbers.

Which number is SMALLER: $2,500 or $7,000?

A. $7,000

B. They are equal

C. $2,500

D. $9,500

BACKWARD B1 · concept review — Earned versus unearned income

Question 5 of 5 · Learn and Apply

LEARN

Earned income has no age requirement.

Does a 15-year-old with a paying job have earned income?

A. Yes, the wages are earned income

B. No, minors cannot have earned income

C. Only after age 18

D. Only if paid in cash

GO DEEPER 1 — Custodial Roth IRAs for teens

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

Minors with earned income can have Roth IRAs. Many providers offer custodial Roth IRAs: an adult custodian opens and manages the account for the minor, and the minor gains control at the age set by law.

Kai, 16, has earned income. How can he have a Roth IRA if the provider requires adult account owners?

A. He cannot have one until age 21

B. He uses a friend's Roth IRA

C. His employer must open it for him

D. A parent or guardian opens a custodial Roth IRA for him

GO DEEPER 1 — Custodial Roth IRAs for teens

Question 2 of 5 · Learn and Apply

LEARN

The contribution amount is limited by earned income, but the actual dollars contributed do not have to be the same dollars earned.

Kai's parents give him $1,000 to put into his Roth IRA, and he earned $1,500 at work. Assuming a $7,000 limit, can $1,000 be contributed?

A. No, contributions must come from his own paycheck dollars only

B. Yes, as long as the total contributed does not exceed $1,500

C. Yes, up to $7,000 total

D. No, gifts are never allowed in IRAs

GO DEEPER 1 — Custodial Roth IRAs for teens

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

If questioned, you must show earned income at least equal to IRA contributions.

Why keep records of a teen's earned income, such as pay stubs or a babysitting log?

A. Because the IRS requires the records to be mailed in every month

B. Because records raise the yearly limit

C. To show the IRA contributions did not exceed earned income

D. Because the provider must approve each contribution

GO DEEPER 1 — Custodial Roth IRAs for teens

Question 4 of 5 · Learn and Apply

LEARN

A = P(1 + r)^t.

Kai contributes $1,500 at 16, and it grows at an assumed 7% until 65 (49 years). About how much will it be?

A. About $41,000

B. About $1,600

C. About $6,600

D. About $105,000

GO DEEPER 1 — Custodial Roth IRAs for teens

Question 5 of 5 · Learn and Apply

LEARN

In a custodial account, the minor owns the assets; the adult manages them until control transfers.

Who owns the money in Kai's custodial Roth IRA?

A. His parent, permanently

B. Kai

C. The brokerage firm

D. The IRS

GO DEEPER 2 — Contribution mistakes and fixes

Question 1 of 5 · Learn and Apply

LEARN

Contributions above the allowed amount are "excess contributions." They are charged a 6% excise tax for each year they remain in the account, unless corrected in time.

For this scenario, assume a $7,000 limit. Ana contributes $7,500 to her Roth IRA. How much is an excess contribution?

A. $0

B. $500

C. $7,000

D. $7,500

GO DEEPER 2 — Contribution mistakes and fixes

Question 2 of 5 · Learn and Apply

LEARN

The excise tax on an excess contribution = excess × 6%, for each year it remains.

If the $500 excess stays in the account for a year, what is the 6% excise tax?

A. $3

B. $30

C. $300

D. $450

GO DEEPER 2 — Contribution mistakes and fixes

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

Excess contributions can be corrected by withdrawing the excess and any earnings on it by the tax return due date.

How can Ana usually fix an excess contribution?

A. Withdraw the excess (and its earnings) before the tax deadline

B. Ignore it; it fixes itself

C. Contribute more to balance it

D. Move it to her checking and tell no one

GO DEEPER 2 — Contribution mistakes and fixes

Question 4 of 5 · Learn and Apply

LEARN

IRA contributions require earned income (taxable compensation).

Leo has no job this year, only $200 of interest income. Can he contribute to an IRA?

A. Yes, up to $200 of interest

B. Yes, up to the full limit

C. No; he has no earned income

D. Yes, if he contributes in January

GO DEEPER 2 — Contribution mistakes and fixes

Question 5 of 5 · Learn and Apply

LEARN

Contributions for a tax year can be made during that year and up to the tax filing deadline the following spring.

Which contribution timing is allowed for the tax year 2026?

A. Only on December 31, 2026

B. Any time through 2030

C. Only in January 2026

D. Any time from January 2026 through the April 2027 deadline

SET 59 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

Opening a Roth IRA

MAIN skill: Choose a provider and complete the steps to open a Roth IRA

Outcome FL.RETIRE.59 · National topic: Investing · NJSLS 9.1.12: PB, FI

Learning target: Describe how to open and manage a retirement account

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: What an IRA account is (5 questions)
  Why: Opening a Roth IRA requires knowing it is an account type, not an investment or a government program.
- B2 · Math link → G5-S22-M (Grade 5 5.NBT.B.7): Solve real-world problems with decimal operations
  Why: Comparing providers adds account fees and fund costs.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Step by step: from application to first investment (5 questions)
- Go Deeper 2: Keeping the account safe and organized (5 questions)

Practical skills beyond the standards: Comparing IRA providers; Opening, funding, and verifying a Roth IRA

Content status: time-sensitive

Source: IRS (Individual retirement arrangements) — IRAs are set up with banks, brokerage firms, and other financial institutions; contributions for a year may be made until the tax return due date.
https://www.irs.gov/retirement-plans/individual-retirement-arrangements-iras

MAIN — Choose a provider and complete the steps to open a Roth IRA

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

Roth IRAs are opened at financial institutions, such as brokerage firms, banks, credit unions, and online investment services. Each provider sets its own fees, account minimums, and investment choices, so the first step is comparing providers that offer Roth IRAs.

Jordan has earned income and wants to open a Roth IRA. Which action would be a reasonable first step?

A. Apply for a home mortgage.

B. Request an IRA directly from the Social Security Administration.

C. Compare eligible financial institutions offering Roth IRAs.

D. Apply for a credit card.

MAIN — Choose a provider and complete the steps to open a Roth IRA

Question 2 of 5 · Learn and Apply

LEARN

Many providers offer IRAs: brokerage firms (wide investment choice), banks and credit unions (often CDs and savings), and automated investment services ("robo-advisors"). Naming firms is not an endorsement.

Which type of institution commonly offers Roth IRAs with a wide choice of investments?

A. A brokerage firm such as Fidelity, Charles Schwab, or Vanguard

B. The Social Security Administration's local field office downtown

C. A credit bureau such as Experian

D. A payroll company that prints paychecks

MAIN — Choose a provider and complete the steps to open a Roth IRA

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

Comparing providers means adding all yearly costs: account fees plus fund expenses (amount × expense ratio).

Provider A charges no account fee and offers index funds with 0.05% expense ratios. Provider B charges a $30 yearly account fee and offers funds with 0.60% expense ratios. For a $3,000 Roth IRA, about how much more does Provider B cost per year?

A. $1.50

B. $16.50

C. $30.00

D. $46.50

MAIN — Choose a provider and complete the steps to open a Roth IRA

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

IRA applications collect identity and tax information, like other investment accounts. Many also ask you to name beneficiaries, the people who would receive the account if you die.

Which information is generally needed to open a Roth IRA?

A. A home mortgage statement and car title

B. A credit card and its PIN

C. A list of every past purchase

D. Name, address, date of birth, Social Security number, and employment details

MAIN — Choose a provider and complete the steps to open a Roth IRA

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

Choosing the correct account type matters: the tax rules attach to the account, not to the investments in it.

On a provider's website, Jordan sees choices: "Individual brokerage account," "Traditional IRA," "Roth IRA," and "529 college plan." Which should he select?

A. Individual brokerage account

B. Roth IRA

C. Traditional IRA

D. 529 college plan

BACKWARD B1 · concept review — What an IRA account is

Question 1 of 5 · Learn and Apply

LEARN

An IRA is like a container. The container has tax rules; inside it, you choose investments such as funds, stocks, or bonds.

An IRA is best described as…

A. a single investment, like one stock

B. a government payment program

C. an account type that holds investments with special tax rules

D. a loan for retirement

BACKWARD B1 · concept review — What an IRA account is

Question 2 of 5 · Learn and Apply

LEARN

IRAs are opened by individuals (or by a custodian for a minor) at financial institutions.

Who opens a Roth IRA?

A. The government, which opens one automatically at age 18

B. The individual, at a financial institution

C. Every employer, for all workers

D. A credit bureau, after a credit check

BACKWARD B1 · concept review — What an IRA account is

Question 3 of 5 · Learn and Apply

LEARN

IRAs can hold many investments: stocks, bonds, funds, CDs, and cash.

A Roth IRA can hold which of these?

A. Stock and bond index funds

B. A car title

C. A deed to the house you live in

D. A debit card

BACKWARD B1 · concept review — What an IRA account is

Question 4 of 5 · Learn and Apply

LEARN

"Roth" names a tax treatment (from the senator who proposed it), not an investment.

What does the word "Roth" tell you about an IRA?

A. That it holds only government bonds

B. That it is insured by the FDIC

C. That it pays a fixed interest rate

D. Its tax treatment: after-tax contributions, tax-free qualified withdrawals

BACKWARD B1 · concept review — What an IRA account is

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

Official federal agencies, such as the IRS (irs.gov), use .gov web addresses.

Which website ending suggests an official U.S. government source for IRA rules?

A. .gov

B. .biz

C. .shop

D. .xyz

GO DEEPER 1 — Step by step: from application to first investment

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

Opening a Roth IRA follows an order: compare providers, open the account (identity checks), link a bank and fund it, then choose and buy investments, then check that everything posted correctly.

Put the Roth IRA steps in order: (1) fund the account, (2) choose an investment, (3) open the account, (4) compare providers.

A. 3, 4, 2, 1

B. 4, 3, 1, 2

C. 1, 2, 3, 4

D. 4, 2, 3, 1

GO DEEPER 1 — Step by step: from application to first investment

Question 2 of 5 · Learn and Apply · Practical how-to

LEARN

Providers verify a linked bank account securely, for example with two small "micro-deposits" you confirm, or through a secure bank login service. No legitimate provider asks for a PIN.

Jordan links his checking account to his new Roth IRA. What does the provider usually do to confirm the link?

A. Asks for his debit card PIN and online banking password by email

B. Calls his employer

C. Sends small test deposits or uses secure bank verification

D. Requires a paper check mailed to the IRS

GO DEEPER 1 — Step by step: from application to first investment

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

Between January 1 and the tax deadline, IRA contributions can be designated for the previous tax year or the current one.

When contributing, the form asks which tax year the contribution is for. It is March 2027. Jordan wants to count it toward 2026 and has not yet contributed for that year. Is that allowed?

A. No, contributions always count for the current calendar year

B. Only if he files for an extension

C. Only for contributions over $5,000

D. Yes, until the April 2027 tax deadline

GO DEEPER 1 — Step by step: from application to first investment

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Verifying transactions catches errors early: confirm deposits posted and purchases show the right investment and amount.

A few days after buying a fund, what should Jordan check in his account?

A. Nothing; accounts never contain errors

B. His credit score, which trades affect

C. Whether the IRS approved the trade

D. That the purchase shows the right fund, amount, and price

GO DEEPER 1 — Step by step: from application to first investment

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

A beneficiary designation tells the provider who inherits the account. It usually overrides a will for that account.

Why name a beneficiary on a Roth IRA?

A. It lets the beneficiary withdraw money from it right now

B. It doubles the contribution limit

C. It says who receives the account if the owner dies

D. It is required to buy investments

GO DEEPER 2 — Keeping the account safe and organized

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

Retirement accounts can hold large balances, so protect them with strong unique passwords and multi-factor authentication.

Which security step is MOST important for an online Roth IRA account?

A. Turning on multi-factor authentication

B. Using the same password as on social media

C. Saving the password on a shared computer

D. Sharing the login with a friend

GO DEEPER 2 — Keeping the account safe and organized

Question 2 of 5 · Learn and Apply · Practical how-to

LEARN

Phishing emails imitate real companies to steal logins.

An email says, "Your IRA is locked — log in here to fix it," with a link. What should Jordan do?

A. Click the link and log in quickly

B. Go to the provider's site directly, not through the link

C. Reply with his password

D. Forward it to friends

GO DEEPER 2 — Keeping the account safe and organized

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

IRA providers report contributions on Form 5498 and distributions on Form 1099-R.

What tax form does an IRA provider send after a contribution year?

A. Form W-2

B. Form 5498, which reports IRA contributions

C. Form W-4

D. Form 1098-T

GO DEEPER 2 — Keeping the account safe and organized

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Roth contributions (not earnings) can be withdrawn any time without tax or penalty, so knowing your total contributions matters.

Jordan keeps a simple record: date, amount, and tax year of each Roth contribution. Why is this especially useful for a Roth IRA?

A. It shows how much can be withdrawn later as contributions

B. It raises his contribution limit

C. It is required to buy funds inside the IRA

D. It proves he paid tax on the earnings

GO DEEPER 2 — Keeping the account safe and organized

Question 5 of 5 · Learn and Apply

LEARN

Total fees over a period = yearly fee × number of years.

Jordan opens a Roth IRA at a provider that charges no account fee. Over 40 years, how much does avoiding a $25 yearly fee save (not counting growth)?

A. $25

B. $100

C. $1,000

D. $10,000

SET 60 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

Contributing to and investing inside an IRA

MAIN skill: Distinguish contributing from investing in an IRA and track contributions, earnings, and returns

Outcome FL.RETIRE.60 · National topic: Investing · NJSLS 9.1.12: PB, FI

Learning target: Explain how money is invested within a retirement account and how returns and losses affect it

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Depositing versus investing (5 questions)
  Why: The cash-versus-invested confusion is the most common IRA mistake; this branch isolates it.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Earnings are the balance minus contributions.
- B3 · Math link → G7-S08-M (Grade 7 7.RP.A.3): Find a percent increase or a percent decrease
  Why: Gains and losses in an IRA are percent changes.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Investment fees inside an IRA (5 questions)
- Go Deeper 2: Watching contributions and earnings over time (5 questions)

Practical skills beyond the standards: Investing new contributions; Tracking contributions and earnings

Content status: stable

MAIN — Distinguish contributing from investing in an IRA and track contributions, earnings, and returns

Question 1 of 5 · Learn and Apply

LEARN

Contributing moves money into the IRA. The money often lands in a cash or money market position. Investing is a separate step: choosing and buying funds or other investments.

Taylor contributed $500 to a Roth IRA, but the money remains in the account's cash position. What has Taylor not necessarily done yet?

A. Opened the IRA.

B. Made a contribution.

C. Purchased an investment.

D. Transferred money into the account.

MAIN — Distinguish contributing from investing in an IRA and track contributions, earnings, and returns

Question 2 of 5 · Learn and Apply

LEARN

Common IRA investments include index funds and target-date funds. A target-date fund holds a diversified mix of stock and bond funds and becomes more conservative as its target year approaches.

Taylor wants one broadly diversified investment for a retirement 45 years away. Which choice fits?

A. All of it in a single small company's stock

B. A savings account inside the IRA, forever

C. A short-term CD that is renewed every month for decades

D. A low-cost target-date fund near the year she turns 65

MAIN — Distinguish contributing from investing in an IRA and track contributions, earnings, and returns

Question 3 of 5 · Learn and Apply

LEARN

In an IRA, contributions are the money you put in; earnings are the growth (dividends, interest, and gains). Balance = contributions + earnings.

Over several years, Ana contributed $6,000 to her Roth IRA. It is now worth $7,800. How much are earnings?

A. $1,800

B. $6,000

C. $7,800

D. $13,800

MAIN — Distinguish contributing from investing in an IRA and track contributions, earnings, and returns

Question 4 of 5 · Learn and Apply

LEARN

Investments in an IRA can rise or fall. A loss lowers the balance but does not change how much you contributed.

Ana's $7,800 Roth IRA falls 10% in a market drop. What is it worth, and what are her total contributions?

A. $7,020; contributions fall to $5,400 too

B. $7,800; IRAs cannot lose value

C. $6,000; the loss erases all earnings

D. $7,020; contributions are still $6,000

MAIN — Distinguish contributing from investing in an IRA and track contributions, earnings, and returns

Question 5 of 5 · Knowledge Check

Why does compounding work especially well in a Roth IRA?

A. Earnings grow without yearly taxes and qualified withdrawals are tax-free

B. The IRS adds 7% every year

C. Roth IRAs cannot go down in value

D. The provider pays a guaranteed bonus rate

BACKWARD B1 · concept review — Depositing versus investing

Question 1 of 5 · Learn and Apply

LEARN

Uninvested cash in an IRA typically sits in a money market fund or bank sweep that pays a modest rate.

Money that is contributed to an IRA but not invested usually earns...

A. the stock market's return

B. a guaranteed 10%

C. only the low rate of the cash or money market position

D. nothing ever, and it is lost after a year

BACKWARD B1 · concept review — Depositing versus investing

Question 2 of 5 · Learn and Apply

LEARN

Buying requires an order, just like in a regular brokerage account.

Which step actually BUYS an investment in an IRA?

A. Transferring money from checking

B. Placing an order to buy a fund

C. Opening the account

D. Naming a beneficiary

BACKWARD B1 · concept review — Depositing versus investing

Question 3 of 5 · Knowledge Check

Ben contributes $1,000 and buys $900 of an index fund. How much cash remains in the IRA?

A. $100

B. $900

C. $1,000

D. $1,900

BACKWARD B1 · concept review — Depositing versus investing

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Automatic investing directs each contribution into chosen funds so money does not sit in cash.

Some IRAs let you set "automatic investing" for new contributions. What does it do?

A. Withdraws money automatically

B. Raises the contribution limit

C. Moves money to checking

D. Buys chosen funds automatically when money arrives

BACKWARD B1 · concept review — Depositing versus investing

Question 5 of 5 · Knowledge Check

What is a common, costly IRA mistake?

A. Contributing for years but never investing the cash

B. Choosing a low-cost index fund

C. Checking the account balance occasionally on her phone

D. Naming a beneficiary

GO DEEPER 1 — Investment fees inside an IRA

Question 1 of 5 · Learn and Apply

LEARN

Expense ratios apply inside IRAs just as in taxable accounts: yearly cost = balance × expense ratio.

Taylor's target-date fund has a 0.12% expense ratio. On a $10,000 balance, what is the yearly cost?

A. $1.20

B. $12

C. $120

D. $1,200

GO DEEPER 1 — Investment fees inside an IRA

Question 2 of 5 · Learn and Apply

LEARN

Compare fees in dollars: difference in expense ratios × balance.

Another target-date fund charges 0.75%. How much more per year does it cost on $10,000 than a 0.12% fund?

A. $12

B. $63

C. $75

D. $630

GO DEEPER 1 — Investment fees inside an IRA

Question 3 of 5 · Knowledge Check

Which choice lowers costs inside an IRA the MOST over decades?

A. Trading frequently

B. Choosing funds with sales loads

C. Selecting low-expense funds

D. Paying for add-on services you do not use

GO DEEPER 1 — Investment fees inside an IRA

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Providers list each fund's expense ratio on its detail page and in the prospectus.

Where in the IRA provider's website can Taylor find a fund's expense ratio?

A. Her bank's monthly statement

B. The fund's details page or prospectus

C. Her Form 1099-R

D. The IRS website

GO DEEPER 1 — Investment fees inside an IRA

Question 5 of 5 · Knowledge Check

Do fees in a Roth IRA reduce tax-free growth?

A. No; fees in IRAs are refunded

B. No; fees are taken only from contributions, not growth

C. Only if the fund loses money

D. Yes; every fee dollar is a dollar that cannot grow tax-free

GO DEEPER 2 — Watching contributions and earnings over time

Question 1 of 5 · Learn and Apply

LEARN

Earnings = current value − total contributions.

Taylor contributes $3,000 a year for 3 years. The account is worth $10,500. What are her earnings?

A. $1,500

B. $4,500

C. $9,000

D. $10,500

GO DEEPER 2 — Watching contributions and earnings over time

Question 2 of 5 · Learn and Apply

LEARN

Return = change in value ÷ starting value × 100.

Taylor's account rises from $10,500 to $11,340 in a year with no new contributions. What was the return?

A. 7.4%

B. 8%

C. 108%

D. $840

GO DEEPER 2 — Watching contributions and earnings over time

Question 3 of 5 · Learn and Apply

LEARN

Roth IRA contributions can be withdrawn at any time without tax or penalty; earnings follow stricter rules.

Which number determines how much Taylor can withdraw from her Roth IRA anytime without tax or penalty?

A. Her total contributions

B. Her total earnings

C. Her current balance today

D. Her yearly return

GO DEEPER 2 — Watching contributions and earnings over time

Question 4 of 5 · Learn and Apply

LEARN

Market drops are normal over long periods. Panic selling can lock in losses.

After a 20% market drop, Taylor's $11,340 Roth IRA is worth about $9,072. What should a long-term investor usually avoid doing?

A. Continuing regular contributions

B. Keeping a diversified fund

C. Selling everything out of fear

D. Rebalancing to a target mix

GO DEEPER 2 — Watching contributions and earnings over time

Question 5 of 5 · Learn and Apply

LEARN

Buying and selling within an IRA does not create current taxes.

Taylor sells one fund and buys another inside her Roth IRA. Does she owe tax on the sale this year?

A. Yes; every sale is taxed

B. No; trades inside an IRA are not taxed when made

C. Yes, at 10%

D. Only if she made a profit

SET 61 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

Roth IRA withdrawals and qualified distributions

MAIN skill: Apply the rules for withdrawing Roth IRA contributions and earnings

Outcome FL.RETIRE.61 · National topic: Investing · NJSLS 9.1.12: PB, EG

Learning target: Explain withdrawal rules and tax treatment of retirement accounts

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Contributions versus earnings (5 questions)
  Why: Withdrawal rules treat contributions and earnings differently; students must separate them first.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Separating contributions from earnings subtracts amounts.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Taxes and the additional tax are percents of a withdrawal.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Traditional IRA withdrawals (5 questions)
- Go Deeper 2: Common Roth IRA mistakes and misconceptions (5 questions)

Practical skills beyond the standards: Applying Roth ordering rules

Content status: time-sensitive

Source: IRS (Publication 590-B) — Roth IRA contributions can be withdrawn at any time; qualified distributions require a 5-year period and age 59½ (or death, disability, or first-time home purchase up to $10,000); nonqualified earnings may be taxed plus a 10% additional tax. https://www.irs.gov/publications/p590b

MAIN — Apply the rules for withdrawing Roth IRA contributions and earnings

Question 1 of 5 · Learn and Apply

LEARN

Roth IRA withdrawals come out in a set order: contributions first, then earnings. Because contributions were made with after-tax money, they can be withdrawn at any time, at any age, without tax or penalty.

Mia, 30, contributed $8,000 to her Roth IRA over several years. It is worth $11,000. She withdraws $5,000. Under the ordering rules, what is taxed or penalized?

A. All $5,000, at income tax plus 10%

B. Nothing; the $5,000 comes from contributions

C. $3,000 of earnings

D. Only the 10% additional tax, which would be $500

MAIN — Apply the rules for withdrawing Roth IRA contributions and earnings

Question 2 of 5 · Learn and Apply

LEARN

Earnings withdrawn before a "qualified distribution" are generally taxable as income, and before age 59½ they usually also face a 10% additional tax, unless an exception applies.

Mia later withdraws $2,000 of EARNINGS at age 32, and no exception applies. Assume her tax rate is 12%. How much tax and additional tax is due?

A. $0

B. $200

C. $240

D. $440

MAIN — Apply the rules for withdrawing Roth IRA contributions and earnings

Question 3 of 5 · Learn and Apply

LEARN

A qualified Roth distribution meets two tests: the 5-year rule (5 tax years since your first Roth IRA contribution) and a qualifying event: age 59½, disability, death, or a first-time home purchase (up to $10,000 lifetime).

Which conditions make a Roth IRA distribution QUALIFIED (tax-free, including earnings)?

A. Any withdrawal after the account is one year old

B. Any withdrawal after age 50

C. Five years since the first Roth contribution AND age 59½ (or another qualifying event)

D. Any withdrawal at all, because Roth means tax-free

MAIN — Apply the rules for withdrawing Roth IRA contributions and earnings

Question 4 of 5 · Learn and Apply

LEARN

The 5-year clock starts January 1 of the tax year of the first Roth IRA contribution.

Leo opens his first Roth IRA at age 58 with a contribution for tax year 2026. At what point does he first meet BOTH tests for qualified distributions?

A. At 59½, in 2027

B. Immediately, because he is already over age 55 and retired

C. Never, because he started after 50

D. In 2031, when 5 years have passed and he is over 59½

MAIN — Apply the rules for withdrawing Roth IRA contributions and earnings

Question 5 of 5 · Knowledge Check

Which statement about Roth IRAs is a MISCONCEPTION?

A. Money in a Roth IRA can never be touched before retirement

B. Contributions can be withdrawn at any time without tax or penalty

C. Qualified distributions are tax-free

D. Investments inside can lose value

BACKWARD B1 · concept review — Contributions versus earnings

Question 1 of 5 · Learn and Apply

LEARN

Balance = contributions + earnings.

A Roth IRA has $4,000 of contributions and $1,000 of earnings. What is the balance?

A. $1,000

B. $3,000

C. $4,000

D. $5,000

BACKWARD B1 · concept review — Contributions versus earnings

Question 2 of 5 · Learn and Apply

LEARN

Earnings = balance − contributions.

A Roth IRA balance is $9,000, and $7,000 was contributed. What are the earnings?

A. $2,000

B. $7,000

C. $9,000

D. $16,000

BACKWARD B1 · concept review — Contributions versus earnings

Question 3 of 5 · Learn and Apply

LEARN

Roth contributions come from income that was already taxed.

Which part of a Roth IRA was already taxed before going in?

A. The contributions

B. The earnings

C. Neither part

D. Only the dividends

BACKWARD B1 · concept review — Contributions versus earnings

Question 4 of 5 · Learn and Apply

LEARN

Roth IRA withdrawals are treated as coming from contributions first, then earnings.

Ana's Roth IRA holds $4,000 of contributions and $1,000 of earnings. At age 30 she withdraws $3,000. How is the withdrawal treated?

A. As $3,000 of earnings

B. As $2,400 of contributions and $600 of earnings

C. As $3,000 of contributions

D. As $1,000 of earnings, then $2,000 of contributions

BACKWARD B1 · concept review — Contributions versus earnings

Question 5 of 5 · Learn and Apply

LEARN

The additional tax on early withdrawals is 10% of the taxable amount.

What is 10% of $3,000?

A. $30

B. $300

C. $2,700

D. $3,000

GO DEEPER 1 — Traditional IRA withdrawals

Question 1 of 5 · Learn and Apply

LEARN

Traditional IRA withdrawals are generally taxed as ordinary income (deductible contributions were never taxed). Before 59½, a 10% additional tax usually applies too, unless an exception applies.

Raj, 45, withdraws $5,000 from a traditional IRA with no exception. Assume a 22% tax rate. How much tax and additional tax is due?

A. $0

B. $500

C. $1,100

D. $1,600

GO DEEPER 1 — Traditional IRA withdrawals

Question 2 of 5 · Learn and Apply

LEARN

After 59½, the 10% additional tax no longer applies, but traditional IRA withdrawals are still taxed as income.

At age 66, Raj withdraws $5,000 from his traditional IRA. Assume a 12% tax rate. What is owed?

A. $1,100

B. $600 of income tax

C. $0

D. $500

GO DEEPER 1 — Traditional IRA withdrawals

Question 3 of 5 · Learn and Apply

LEARN

Required minimum distributions (RMDs) are yearly withdrawals the IRS requires so that tax-deferred money is eventually taxed. They start in an owner's 70s, depending on birth year. Money taxed before it went in is treated differently.

Which IRA type requires minimum withdrawals starting in the owner's 70s?

A. Roth IRA (for the original owner)

B. Neither type

C. Both, starting at age 50

D. Traditional IRA

GO DEEPER 1 — Traditional IRA withdrawals

Question 4 of 5 · Learn and Apply

LEARN

The first-time homebuyer exception lets up to $10,000 of Roth IRA earnings over a lifetime be a qualified distribution, if the 5-year rule is met.

Leo used $4,000 of the first-time homebuyer exception years ago. He again qualifies as a first-time buyer, his Roth IRA meets the 5-year rule, and he wants $15,000 of earnings. How much more can qualify under this exception?

A. $0

B. $6,000

C. $10,000

D. $15,000

GO DEEPER 1 — Traditional IRA withdrawals

Question 5 of 5 · Knowledge Check

Why are early IRA withdrawals generally discouraged?

A. They are illegal

B. They can trigger taxes and shrink long-term retirement growth

C. They raise contribution limits

D. They lower future contribution limits permanently

GO DEEPER 2 — Common Roth IRA mistakes and misconceptions

Question 1 of 5 · Learn and Apply

LEARN

Many mistakes come from misunderstanding what a Roth IRA is: it is an account with tax rules, not an investment itself.

Which statement about what a Roth IRA is reflects a MISCONCEPTION?

A. "A Roth IRA is an account that holds investments."

B. "A Roth IRA needs earned income to contribute."

C. "Roth IRA investments can lose value."

D. "A Roth IRA is an investment, like a stock."

GO DEEPER 2 — Common Roth IRA mistakes and misconceptions

Question 2 of 5 · Learn and Apply

LEARN

Roth and traditional IRAs differ in when tax is paid.

Which statement about Roth IRA taxes is a MISCONCEPTION?

A. "Roth contributions are made with after-tax money."

B. "Qualified withdrawals are tax-free."

C. "Roth contributions are tax-deductible."

D. "There are income limits for direct contributions."

GO DEEPER 2 — Common Roth IRA mistakes and misconceptions

Question 3 of 5 · Learn and Apply

LEARN

IRA contributions cannot exceed earned income for the year.

Sam contributed $6,000 to a Roth IRA this year but earned only $2,500. What mistake occurred?

A. He contributed more than his earned income

B. None; contributions are not limited by income

C. He should have contributed more to reach the full limit

D. He contributed in the wrong tax year

GO DEEPER 2 — Common Roth IRA mistakes and misconceptions

Question 4 of 5 · Knowledge Check

Which mistake costs Roth IRA owners the most growth over decades?

A. Choosing a low-cost, diversified index fund

B. Leaving contributions in cash for years

C. Naming a beneficiary

D. Contributing regularly

GO DEEPER 2 — Common Roth IRA mistakes and misconceptions

Question 5 of 5 · Knowledge Check

A friend says, "You can't open a Roth IRA as a teenager." What is the accurate reply?

A. That is true until age 21

B. Teens can open one only through an employer

C. Only the government can open one for a teen

D. Teens with earned income can, often through a custodial Roth IRA

SET 62 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

Social Security and retirement income

MAIN skill: Explain how Social Security works and how claiming age changes benefits

Outcome FL.RETIRE.62 · National topic: Earning Income · NJSLS 9.1.12: EG, PB

Learning target: Explain Social Security and how payroll taxes fund benefits; retirement income planning

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Payroll taxes fund benefits (5 questions)
  Why: Social Security makes sense once students connect FICA on their pay stub to future benefits.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Benefit reductions and increases are percents of a benefit.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Pensions and other retirement income (5 questions)
- Go Deeper 2: Choosing when to claim Social Security (5 questions)

Practical skills beyond the standards: Checking a Social Security earnings record

Content status: time-sensitive

Source: Social Security Administration — Full retirement age is 67 for people born in 1960 or later; claiming at 62 reduces the benefit by about 30%; delaying past full retirement age raises it 8% a year until 70; workers need 40 credits (up to 4 per year). https://www.ssa.gov/benefits/retirement/planner/agereduction.html

MAIN — Explain how Social Security works and how claiming age changes benefits

Question 1 of 5 · Learn and Apply

LEARN

Social Security is a federal program that pays retirement, disability, and survivor benefits. It is funded mainly by payroll taxes: workers pay 6.2% of wages (up to a yearly limit), and employers pay a matching 6.2%.

How is Social Security mainly paid for?

A. Voluntary donations from retirees

B. Profits the government earns from the stock market

C. Payroll taxes on workers' wages and employers

D. Federal income tax on all income

MAIN — Explain how Social Security works and how claiming age changes benefits

Question 2 of 5 · Learn and Apply

LEARN

Credits are earned by working and paying Social Security taxes. You can earn at most 4 credits per year, and you generally need 40 credits for retirement benefits.

Workers earn up to 4 Social Security credits per year and generally need 40 credits to qualify for retirement benefits. What is the fewest years of work needed?

A. 10 years

B. 40 years

C. 4 years

D. 20 years

MAIN — Explain how Social Security works and how claiming age changes benefits

Question 3 of 5 · Learn and Apply

LEARN

Full retirement age is 67 for people born in 1960 or later. You can claim as early as 62, but the monthly benefit is permanently reduced (about 30% at 62). Waiting past full retirement age raises it.

Tia's full retirement age is 67, when her benefit would be $1,800 a month. Claiming at 62 reduces it by 30%. What would she receive at 62?

A. $540

B. $1,260

C. $1,800

D. $2,340

MAIN — Explain how Social Security works and how claiming age changes benefits

Question 4 of 5 · Learn and Apply

LEARN

Delayed retirement credits increase the benefit by 8% per year (for those born 1943 or later) until age 70.

If Tia delays claiming until 70, her benefit rises 8% for each year after 67. What would $1,800 become?

A. $1,800

B. $1,944

C. $2,232

D. $2,340

MAIN — Explain how Social Security works and how claiming age changes benefits
Question 5 of 5 · Knowledge Check

For an average worker, Social Security replaces about what share of pre-retirement earnings?

A. About 100%

B. About 40%

C. About 90%

D. About 5%

BACKWARD B1 · concept review — Payroll taxes fund benefits

Question 1 of 5 · Learn and Apply

LEARN

The Social Security line on a pay stub (sometimes labeled OASDI) is the worker's 6.2% share that funds the program.

On a pay stub, which line pays for Social Security?

A. State income tax

B. Health insurance premium deduction

C. Social Security (OASDI) tax

D. 401(k) contribution

BACKWARD B1 · concept review — Payroll taxes fund benefits

Question 2 of 5 · Learn and Apply

LEARN

Employee Social Security tax = wages × 6.2%.

A worker earns $2,000. What is the employee Social Security tax at 6.2%?

A. $12.40

B. $124

C. $248

D. $1,240

BACKWARD B1 · concept review — Payroll taxes fund benefits

Question 3 of 5 · Learn and Apply

LEARN

Employers match the employee's 6.2% Social Security tax.

A worker earns $2,000, and 6.2% Social Security tax is withheld. How much does the employer pay in Social Security tax on that $2,000?

A. $0

B. $62

C. $124

D. $248

BACKWARD B1 · concept review — Payroll taxes fund benefits

Question 4 of 5 · Learn and Apply

LEARN

Social Security pays retirement, disability, and survivor benefits.

Which benefit does Social Security NOT usually provide?

A. Retirement benefits

B. Disability benefits

C. Survivor benefits

D. Payment of everyday bills for workers under 62 with no disability

BACKWARD B1 · concept review — Payroll taxes fund benefits

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

The SSA keeps a record of your earnings. Checking it helps catch errors that could lower future benefits.

Where can a worker see the earnings Social Security has on record for them?

A. In a "my Social Security" account at ssa.gov

B. On a credit report

C. On a bank statement

D. On Form W-4

GO DEEPER 1 — Pensions and other retirement income

Question 1 of 5 · Learn and Apply

LEARN

A defined-benefit (DB) pension promises a set payment based on a formula, and the employer bears the investment risk. A defined-contribution (DC) plan, such as a 401(k), depends on what is contributed and how investments perform; the worker bears the risk.

What is a defined-benefit pension?

A. A personal savings account that you invest yourself

B. A government benefit every worker gets

C. An annuity you buy with your own savings

D. A plan that promises a set monthly payment in retirement, often based on salary and years worked

GO DEEPER 1 — Pensions and other retirement income

Question 2 of 5 · Learn and Apply

LEARN

A pension formula multiplies a percent per year of service by years worked and by salary.

A pension pays 1.5% of final salary for each year worked. Ana worked 30 years with a final salary of $60,000. What is her yearly pension?

A. $900

B. $18,000

C. $27,000

D. $45,000

GO DEEPER 1 — Pensions and other retirement income

Question 3 of 5 · Learn and Apply

LEARN

In defined-contribution plans like 401(k)s, the account value depends on contributions and investment results.

Who bears the investment risk in a 401(k)?

A. The employer

B. The worker

C. The government

D. The stock exchange

GO DEEPER 1 — Pensions and other retirement income

Question 4 of 5 · Learn and Apply

LEARN

Retirement income often comes from several sources; savings fill the remaining gap.

Ana expects $27,000 from her pension and $20,000 from Social Security. She wants $55,000 a year. How much must come from savings?

A. $8,000

B. $28,000

C. $47,000

D. $55,000

GO DEEPER 1 — Pensions and other retirement income

Question 5 of 5 · Learn and Apply

LEARN

Many public employees participate in state or local pension systems; whether they also pay into Social Security varies by state and employer.

Why are many public school teachers in some states covered by pensions instead of, or in addition to, Social Security?

A. Some state and local employers run their own retirement systems

B. Teachers are banned from saving

C. Pensions are required for all workers nationwide by federal law

D. Social Security pays only private workers

GO DEEPER 2 — Choosing when to claim Social Security

Question 1 of 5 · Learn and Apply

LEARN

Claiming early gives smaller payments for more months; claiming later gives larger payments for fewer months.

Tia can get $1,260 a month at 62 or $1,800 at 67. Ignoring growth and taxes, how much would she receive from 62 to 67 by claiming early?

A. $6,300

B. $15,120

C. $75,600

D. $108,000

GO DEEPER 2 — Choosing when to claim Social Security

Question 2 of 5 · Learn and Apply

LEARN

A "break-even" age compares the head start from claiming early with the larger later payments: months = head start ÷ monthly difference.

After 67, claiming at 67 instead of 62 pays $540 more per month. How many months of the larger payment make up the $75,600 head start (nearest whole month)?

A. 60 months

B. 14 months

C. 140 months

D. 120 months

GO DEEPER 2 — Choosing when to claim Social Security

Question 3 of 5 · Learn and Apply

LEARN

The best claiming age depends on health, life expectancy, other income, and family situation.

Which factor would most support DELAYING Social Security?

A. Needing the money immediately with no other income

B. Expecting a short life span due to illness

C. Expecting a long life and having other income until then

D. Wanting the smallest possible monthly benefit for the rest of life

GO DEEPER 2 — Choosing when to claim Social Security

Question 4 of 5 · Learn and Apply

LEARN

COLAs adjust benefits based on inflation.

Social Security benefits get a cost-of-living adjustment (COLA) most years. Why?

A. To reward people who claimed their benefits early

B. To lower benefits each year

C. To match the stock market's return

D. To help benefits keep up with inflation

GO DEEPER 2 — Choosing when to claim Social Security

Question 5 of 5 · Knowledge Check

Which statement about Social Security planning is MOST accurate?

A. Check your SSA estimate and plan savings to fill the gap

B. Social Security alone covers most retirees' full budgets

C. Social Security will pay nothing to today's teens

D. Benefits are the same for everyone

SET 63 · Taxes and Tax Filing

Types of taxes and how they work

MAIN skill: Identify major taxes and classify taxes as progressive, regressive, or proportional

Outcome FL.TAX.63 · National topic: Earning Income · NJSLS 9.1.12: EG

Learning target: 12-8b compare tax rates on different types of income; types of taxes and their purposes

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: What taxes pay for (5 questions)
  - Why: Classifying taxes is easier once students connect taxes to the public services they fund.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Taxes are percents of a price, income, or value.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: State and local taxes in New Jersey (5 questions)
- Go Deeper 2: Who bears a tax, and fairness debates (5 questions)

Practical skills beyond the standards: New Jersey state and sales tax basics

Content status: time-sensitive

Source: New Jersey Division of Taxation — New Jersey has a state income tax (Form NJ-1040) with graduated rates; New Jersey does not tax most clothing and grocery food under the sales tax. https://www.nj.gov/treasury/taxation/njit25.shtml

MAIN — Identify major taxes and classify taxes as progressive, regressive, or proportional

Question 1 of 5 · Learn and Apply

LEARN

Governments collect several kinds of taxes: income taxes on earnings (federal and most states), payroll taxes for Social Security and Medicare, sales taxes on purchases (state and local), property taxes on real estate (local), and excise taxes on specific goods such as gasoline.

Which tax is charged when you buy a taxable item at a store?

A. Income tax on wages

B. Sales tax

C. Property tax on a home

D. Payroll tax for Social Security

MAIN — Identify major taxes and classify taxes as progressive, regressive, or proportional

Question 2 of 5 · Learn and Apply

LEARN

A progressive tax takes a larger percentage from higher incomes (the federal income tax). A proportional ("flat") tax takes the same percentage from everyone. A regressive tax takes a larger percentage of income from lower incomes, for example a sales tax on necessities.

Under a PROGRESSIVE tax, what happens as income rises?

A. The same percentage is paid at every income level

B. A smaller percentage is paid in tax

C. A larger percentage of income is paid in tax

D. Everyone pays the same dollar amount

MAIN — Identify major taxes and classify taxes as progressive, regressive, or proportional

Question 3 of 5 · Learn and Apply

LEARN

To see whether a tax is regressive, compare the tax paid with each person's income.

Two people each buy $500 of taxable goods with a 6% sales tax. One earns $25,000 a year; the other earns $250,000. What percent of income does each pay in this tax?

A. 6% vs 6%

B. $30 vs $300

C. 0.012% vs 0.12%

D. 0.12% vs 0.012%

MAIN — Identify major taxes and classify taxes as progressive, regressive, or proportional

Question 4 of 5 · Learn and Apply

LEARN

Property taxes fund local services such as schools, police, and roads. Yearly tax = assessed value × tax rate.

A town's property tax rate is 1.2% of a home's assessed value. What is the yearly tax on a home assessed at $350,000?

A. $420

B. $1,200

C. $4,200

D. $42,000

MAIN — Identify major taxes and classify taxes as progressive, regressive, or proportional

Question 5 of 5 · Knowledge Check

Which tax pays for Social Security and Medicare?

A. Payroll taxes (FICA)

B. Sales tax

C. Property tax

D. Excise tax on gasoline

BACKWARD B1 · concept review — What taxes pay for

Question 1 of 5 · Learn and Apply

LEARN

Taxes pay for public goods and services: schools, roads, police and fire departments, national defense, and programs such as Social Security and Medicare.

Which public service is commonly paid for with local property taxes?

A. A private gym membership

B. Public schools

C. A streaming service

D. A personal phone plan

BACKWARD B1 · concept review — What taxes pay for

Question 2 of 5 · Knowledge Check

Why do governments collect taxes?

A. To make individual government officials rich

B. To lower everyone's income

C. To pay for public services and programs

D. To pay for private purchases

BACKWARD B1 · concept review — What taxes pay for

Question 3 of 5 · Learn and Apply

LEARN

There is no general federal sales tax; most states and some localities charge sales taxes.

Which government level usually collects sales tax?

A. Only the federal government

B. State and sometimes local governments

C. Private companies, for their own use only

D. Schools directly

BACKWARD B1 · concept review — What taxes pay for

Question 4 of 5 · Learn and Apply

LEARN

Excise taxes apply to particular products, often included in the price.

An excise tax is charged on…

A. all wages

B. the value of a house

C. every bank deposit

D. specific goods, such as gasoline or tobacco

BACKWARD B1 · concept review — What taxes pay for

Question 5 of 5 · Learn and Apply

LEARN

Tax at a rate = amount × rate.

What is 6% of $40?

A. $0.24

B. $2.40

C. $24.00

D. $42.40

GO DEEPER 1 — State and local taxes in New Jersey

Question 1 of 5 · Learn and Apply

LEARN

Most states, including New Jersey, have their own income tax and their own return, filed in addition to the federal Form 1040. State return forms usually carry the state's abbreviation in their name.

New Jersey has a state income tax. Which form do New Jersey residents use to file it?

A. Form NJ-1040

B. Form W-4

C. Form 1099-NEC

D. Form W-2

GO DEEPER 1 — State and local taxes in New Jersey

Question 2 of 5 · Learn and Apply

LEARN

New Jersey exempts most clothing and footwear and most grocery food from its 6.625% sales tax.

In New Jersey, which purchase is generally EXEMPT from sales tax?

A. A laptop computer

B. A video game console

C. A desk lamp

D. A pair of jeans

GO DEEPER 1 — State and local taxes in New Jersey

Question 3 of 5 · Learn and Apply

LEARN

New Jersey's general sales tax rate is 6.625%.

A New Jersey shopper buys a $120 taxable tablet. At 6.625%, what is the sales tax (nearest cent)?

A. $7.20

B. $7.95

C. $79.50

D. $127.95

GO DEEPER 1 — State and local taxes in New Jersey

Question 4 of 5 · Learn and Apply

LEARN

States choose different mixes of taxes.

Some states have NO state income tax. How do such states usually raise money instead?

A. They print money

B. Through higher sales, property, or other taxes

C. They have no services

D. They borrow money from other states to make up the gap

GO DEEPER 1 — State and local taxes in New Jersey

Question 5 of 5 · Knowledge Check

Why should a student moving to another state check its tax rules?

A. Federal taxes change by state

B. Taxes are the same everywhere

C. Income, sales, and property taxes differ by state

D. Students never pay state taxes

GO DEEPER 2 — Who bears a tax, and fairness debates

Question 1 of 5 · Learn and Apply

LEARN

Three patterns: a progressive tax takes a larger share of income as income rises; a regressive tax takes a larger share from lower incomes; a proportional tax takes the same share from everyone.

A flat tax of 10% on all income is an example of which kind of tax?

A. Proportional

B. Progressive tax

C. Regressive

D. Excise

GO DEEPER 2 — Who bears a tax, and fairness debates

Question 2 of 5 · Learn and Apply

LEARN

Under a flat tax, tax = income × the same rate for everyone.

Under a 10% flat tax, how much does someone earning $30,000 pay, and someone earning $300,000?

A. $3,000 and $3,000

B. $3,000 and $30,000

C. $30,000 and $3,000

D. $300 and $3,000

GO DEEPER 2 — Who bears a tax, and fairness debates

Question 3 of 5 · Learn and Apply

LEARN

When lower-income households spend more of their income on taxed items, the tax takes a larger share of their income.

Why are taxes on necessities often called regressive?

A. Necessities are taxed at higher rates

B. Necessities are taxed only for low-income buyers

C. Necessities are never taxed

D. Lower-income households spend a larger share of income on necessities

GO DEEPER 2 — Who bears a tax, and fairness debates

Question 4 of 5 · Knowledge Check

Which tax is MOST visible to young workers on every paycheck?

A. Estate taxes

B. Corporate income taxes

C. Payroll (FICA) taxes and income tax withholding

D. Import tariffs

GO DEEPER 2 — Who bears a tax, and fairness debates

Question 5 of 5 · Learn and Apply

LEARN

When buyers have few alternatives, more of a tax is passed on to them in prices.

Economists say a gasoline excise tax is partly paid by consumers through higher prices. Why might drivers keep buying gas anyway?

A. Many need it to get to work, so demand changes little

B. Gas stations must absorb the whole tax by law

C. The tax is refunded at the pump

D. Drivers do not notice prices

SET 64 · Taxes and Tax Filing

Tax forms: W-2, 1099s, and Form 1040

MAIN skill: Identify the tax forms workers receive and file

Outcome FL.TAX.64 · National topic: Earning Income · NJSLS 9.1.12: EG

Learning target: Identify tax forms associated with earning income and filing a tax return

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Information forms versus the tax return (5 questions)
  Why: Students must see W-2s and 1099s as inputs to the 1040, not separate bills.
- B2 · Math link → G6-S16-M (Grade 6 6.NS.B.3): Add multi-digit decimals
  Why: Totaling income from several forms adds amounts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Reading a W-2 box by box (5 questions)
- Go Deeper 2: Other common tax forms (5 questions)

Practical skills beyond the standards: Reading a W-2 box by box

Content status: time-sensitive

Source: IRS — Form 1040 is the individual income tax return; employers issue Form W-2; payers issue Forms 1099 for other income. https://www.irs.gov/forms-instructions

MAIN — Identify the tax forms workers receive and file

Question 1 of 5 · Learn and Apply

LEARN

At tax time, you gather forms that report your income: Form W-2 from each employer (wages and taxes withheld); Forms 1099 from others, such as 1099-NEC for contract work, 1099-INT for interest, and 1099-DIV for dividends. You then file Form 1040, the federal individual income tax return.

Kayla had a part-time job at a store. Which form will her employer send showing her wages and taxes withheld for the year?

A. Form 1099-NEC

B. Form W-2

C. Form W-4

D. Form 1040

MAIN — Identify the tax forms workers receive and file

Question 2 of 5 · Learn and Apply

LEARN

Businesses may report payments to independent contractors on Form 1099-NEC (nonemployee compensation).

Ravi did freelance graphic design for a business. Which form might the business send him?

A. Form 1099-NEC

B. Form W-2

C. Form W-4

D. Form 1098-T (tuition)

MAIN — Identify the tax forms workers receive and file

Question 3 of 5 · Knowledge Check

Which form is the federal individual income tax return itself?

A. Form W-2

B. Form 1099-INT

C. Form 1040

D. Form W-4

MAIN — Identify the tax forms workers receive and file

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Form W-2 boxes: Box 1 shows taxable wages; Box 2 shows federal income tax withheld; other boxes show Social Security and Medicare wages and taxes, and state amounts.

Kayla's W-2 shows Box 1 wages of $8,400 and Box 2 federal income tax withheld of $310. What does the $310 represent?

A. Her total tax bill for the year, which she must pay again

B. Social Security tax only

C. A refund already sent to her

D. Federal income tax already paid through withholding

MAIN — Identify the tax forms workers receive and file

Question 5 of 5 · Knowledge Check

Kayla earned $45 of interest from her savings account. Which form reports it?

A. Form 1099-INT

B. Form 1099-DIV

C. Form W-2

D. Form 1099-NEC

BACKWARD B1 · concept review — Information forms versus the tax return

Question 1 of 5 · Learn and Apply

LEARN

Information forms report income to you and the IRS. You use them to complete your return.

What does an "information form" like a W-2 do?

A. It is a bill that must be paid by April

B. It reports income and amounts withheld

C. It is a refund check

D. It sets next year's salary

BACKWARD B1 · concept review — Information forms versus the tax return

Question 2 of 5 · Learn and Apply

LEARN

Each person (or married couple) files their own Form 1040.

Who files Form 1040?

A. The employer

B. The bank

C. The taxpayer

D. The school

BACKWARD B1 · concept review — Information forms versus the tax return

Question 3 of 5 · Learn and Apply

LEARN

Every W-2 and 1099 reports income that belongs on the return.

Kayla has two W-2s from two jobs. How many should she use when filing?

A. Only the larger one

B. Neither

C. Only the first one received

D. Both

BACKWARD B1 · concept review — Information forms versus the tax return

Question 4 of 5 · Knowledge Check

Wages of $3,200 and $5,200 from two W-2s total how much?

A. $2,000

B. $5,200

C. $8,400

D. $16,640,000

BACKWARD B1 · concept review — Information forms versus the tax return

Question 5 of 5 · Knowledge Check

When should most workers expect to receive their W-2s?

A. In July

B. With every paycheck

C. By early February (employers must send them by January 31)

D. Only if they ask

GO DEEPER 1 — Reading a W-2 box by box

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

Box 1 shows wages subject to federal income tax. Box 3 shows wages subject to Social Security tax. Traditional 401(k) contributions lower Box 1 but not Box 3.

A W-2 shows Box 1 wages $28,500 and Box 3 Social Security wages $30,000. Why might Box 1 be lower?

A. Pre-tax 401(k) contributions reduce Box 1 but not Box 3

B. The employer made an error

C. Box 3 includes her tips only

D. Box 1 is always half of Box 3

GO DEEPER 1 — Reading a W-2 box by box

Question 2 of 5 · Learn and Apply

LEARN

Box 4 shows the Social Security tax withheld: Box 3 wages × 6.2%.

Box 3 Social Security wages are $30,000. What should Box 4 (Social Security tax withheld at 6.2%) show?

A. $186

B. $435

C. $1,860

D. $4,590

GO DEEPER 1 — Reading a W-2 box by box

Question 3 of 5 · Learn and Apply

LEARN

Box 6 shows Medicare tax withheld: Box 5 wages × 1.45%.

Box 5 Medicare wages are $30,000. What should Box 6 (Medicare tax at 1.45%) show?

A. $43.50

B. $435

C. $1,860

D. $4,350

GO DEEPER 1 — Reading a W-2 box by box

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

The bottom of the W-2 reports state and local wages and taxes.

Which W-2 boxes show state wages and state income tax?

A. Boxes 1 and 2

B. Boxes 16 and 17

C. Boxes 3 and 4 only

D. Boxes 5 and 6

GO DEEPER 1 — Reading a W-2 box by box

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

Employers issue corrected W-2s (Form W-2c) for errors.

Kayla's W-2 has the wrong Social Security number. What should she do?

A. File with the wrong number

B. Change the number on the form by hand

C. Ignore it

D. Ask her employer for a corrected W-2

GO DEEPER 2 — Other common tax forms

Question 1 of 5 · Learn and Apply

LEARN

Form 1098-T reports qualified tuition and related expenses, which can help claim education credits.

A college sends a student Form 1098-T. What does it report?

A. Wages from a campus job

B. Interest she paid on student loans during the year

C. Gifts from relatives

D. Tuition and related expenses for education credits

GO DEEPER 2 — Other common tax forms

Question 2 of 5 · Learn and Apply

LEARN

Payment platforms report payments for goods and services on Form 1099-K. Personal gifts and reimbursements between friends are not income.

A payment app sends Form 1099-K. What does it report?

A. Money sent to friends as gifts

B. Payments received through the app for goods or services

C. Your bank balance

D. Your credit card limit

GO DEEPER 2 — Other common tax forms

Question 3 of 5 · Learn and Apply

LEARN

Brokers send 1099-DIV for dividends, 1099-INT for interest, and 1099-B for sales.

Which form reports dividends from a brokerage account?

A. Form 1099-INT

B. Form 1099-B

C. Form 1099-DIV

D. Form W-2

GO DEEPER 2 — Other common tax forms

Question 4 of 5 · Learn and Apply

LEARN

Retirement accounts send two common forms: Form 5498 reports contributions made to an IRA, and Form 1099-R reports money taken out (distributions).

Which form reports a distribution from an IRA or 401(k)?

A. Form 1099-R

B. Form 5498

C. Form W-4

D. Form 1099-NEC

GO DEEPER 2 — Other common tax forms

Question 5 of 5 · Learn and Apply

LEARN

Income is reportable whether or not you receive a form.

Kayla receives no 1099 for $300 of babysitting income. Must she report it if she files?

A. Yes; income is reportable even without a form

B. No; only income reported on a tax form counts

C. No; babysitting is never income

D. Only if over $10,000

SET 65 · Taxes and Tax Filing

Filing requirements, filing status, and dependents

MAIN skill: Decide whether to file, choose a filing status, and explain dependency

Outcome FL.TAX.65 · National topic: Earning Income · NJSLS 9.1.12: EG

Learning target: Explain filing requirements, filing status, and dependency for income tax

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Who files and why (5 questions)
  - Why: Filing decisions depend on knowing what a tax return does.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: Refunds and balances due compare amounts withheld and owed.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Head of household and other statuses (5 questions)
- Go Deeper 2: Dependents who work (5 questions)

Practical skills beyond the standards: Filing to claim a refund of withholding

Content status: time-sensitive

Source: IRS (Publication 501 / Do I need to file?) — Filing requirements depend on income, filing status, age, and dependency; people may file to get a refund of withheld tax even when not required. https://www.irs.gov/filing/check-if-you-need-to-file-a-tax-return

Note: Deduction and threshold amounts are hypothetical for each scenario; check irs.gov for the current year.

MAIN — Decide whether to file, choose a filing status, and explain dependency

Question 1 of 5 · Learn and Apply

LEARN

Whether you must file depends on your income, filing status, age, and whether someone can claim you as a dependent. Even if you are not required to file, filing can get you a refund of tax that was withheld.

Kayla earned $3,000, and $180 of federal income tax was withheld. Her income is below the filing requirement. Why might she file anyway?

A. Because filing always raises taxes

B. Because the IRS fines everyone who does not file

C. To get the $180 of withheld tax back as a refund

D. To receive her W-2

MAIN — Decide whether to file, choose a filing status, and explain dependency

Question 2 of 5 · Learn and Apply

LEARN

Filing status affects tax brackets and the standard deduction. Statuses include single, married filing jointly, married filing separately, head of household, and qualifying surviving spouse.

Which filing status fits an unmarried person with no dependents?

A. Married filing jointly

B. Head of household

C. Qualifying surviving spouse

D. Single

MAIN — Decide whether to file, choose a filing status, and explain dependency

Question 3 of 5 · Learn and Apply

LEARN

A dependent is a person, such as a child, whom another taxpayer can claim. Dependents can still file their own returns (for example, to get a refund), but they indicate that someone can claim them and get a smaller standard deduction.

Jordan, 17, lives with his parents, who pay most of his support. What does it usually mean that his parents can claim him as a dependent?

A. Jordan cannot file a return at all

B. They may get tax benefits for him, and he checks that he can be claimed on his own return

C. Jordan pays his parents' taxes

D. Jordan's wages are added to his parents' W-2

MAIN — Decide whether to file, choose a filing status, and explain dependency

Question 4 of 5 · Learn and Apply

LEARN

Married couples can file jointly (one return together) or separately. Joint filing usually results in lower combined tax.

Married couples usually choose which filing status for the lowest combined tax?

A. Single

B. Head of household

C. Married filing jointly

D. Married filing separately in every case

MAIN — Decide whether to file, choose a filing status, and explain dependency

Question 5 of 5 · Knowledge Check

Kayla's income was $3,000 and $180 was withheld. She does not file. What happens to the $180?

A. The IRS mails it automatically

B. Her employer returns it

C. It is applied automatically to her parents' taxes

D. She does not get it back unless she files

BACKWARD B1 · concept review — Who files and why

Question 1 of 5 · Learn and Apply

LEARN

A tax return reports income, figures the tax owed for the year, and compares it with what was already paid (withholding), resulting in a refund or a balance due.

What does filing a tax return do?

A. It pays a fixed fee to the IRS

B. It calculates the year's tax and settles up with what was paid

C. It pays the year's tax for the first time

D. It is required only to get a refund

BACKWARD B1 · concept review — Who files and why

Question 2 of 5 · Learn and Apply

LEARN

Refund = amount paid (withheld) − tax owed, when positive.

If $500 was withheld and the actual tax is $200, what does filing produce?

A. A $300 refund

B. A $300 bill

C. A $700 refund

D. Nothing

BACKWARD B1 · concept review — Who files and why

Question 3 of 5 · Learn and Apply

LEARN

Marital status on December 31 is a key factor for filing status.

Which question helps decide filing status?

A. Were you married on the last day of the year?

B. How much did you earn this year?

C. Did you get a refund last year?

D. What was your credit score at the end of the year?

BACKWARD B1 · concept review — Who files and why

Question 4 of 5 · Learn and Apply

LEARN

Dependents can and sometimes must file their own returns.

Can a dependent teen file her own tax return?

A. No, never

B. Only after age 21

C. Only if her parents do not file

D. Yes

BACKWARD B1 · concept review — Who files and why

Question 5 of 5 · Knowledge Check

What is a "dependent"?

A. Anyone who has a job

B. A type of bank account

C. A person another taxpayer can claim, such as a child

D. A person who owes taxes

GO DEEPER 1 — Head of household and other statuses

Question 1 of 5 · Learn and Apply

LEARN

Head of household is for unmarried taxpayers who pay more than half the cost of a home for themselves and a qualifying person. It has a larger standard deduction and wider brackets than single.

Rosa is unmarried, pays more than half the cost of keeping up a home, and her son lives with her. Which status may she qualify for?

A. Single

B. Head of household

C. Married filing jointly

D. Married filing separately

GO DEEPER 1 — Head of household and other statuses

Question 2 of 5 · Learn and Apply

LEARN

Each filing status has its own standard deduction and bracket thresholds.

Why does filing status matter?

A. It affects the standard deduction and tax brackets

B. It decides how much is withheld from pay

C. It changes which forms the employer uses

D. It has no effect on taxes

GO DEEPER 1 — Head of household and other statuses

Question 3 of 5 · Learn and Apply

LEARN

The standard deduction is an amount subtracted from income before tax is figured; it depends on filing status. Amounts change yearly; these are stated for this scenario.

For this scenario, assume the standard deduction is $15,000 for single and $22,500 for head of household. How much more income does head of household shield from tax?

A. $7,500

B. $15,000

C. $22,500

D. $37,500

GO DEEPER 1 — Head of household and other statuses

Question 4 of 5 · Learn and Apply

LEARN

Married filing separately usually costs more tax but can make sense in some situations.

A married person filing separately often loses some credits. Why might a couple still choose it?

A. It always lowers total tax

B. It is required for newlyweds

C. Special situations, such as keeping finances separate

D. It doubles the standard deduction

GO DEEPER 1 — Head of household and other statuses

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

The IRS offers free interactive tools ("Interactive Tax Assistant") and instructions on irs.gov.

Which tool can help decide filing status?

A. A social media poll

B. Her employer's HR office

C. Last year's return, copied as is

D. The IRS's free online filing-status tool and instructions

GO DEEPER 2 — Dependents who work

Question 1 of 5 · Learn and Apply

LEARN

Dependents get a smaller standard deduction based on their earned income. Amounts change yearly; these are stated for this scenario.

A dependent's standard deduction is limited when they can be claimed by someone else. For this scenario, assume it equals the greater of $1,350 or earned income plus $450 (up to $15,000). Kayla earned $3,000. What is her standard deduction?

A. $1,350

B. $3,000

C. $3,450

D. $15,000

GO DEEPER 2 — Dependents who work

Question 2 of 5 · Learn and Apply

LEARN

Taxable income = income − deductions, but never below zero.

Kayla earned $3,000 and her standard deduction is $3,450. What is her taxable income?

A. $0

B. $450

C. $3,000

D. $6,450

GO DEEPER 2 — Dependents who work

Question 3 of 5 · Learn and Apply

LEARN

Withholding counts as tax already paid. If the tax owed is $0, the withheld amount can be refunded when you file.

With $0 taxable income, what federal income tax does Kayla owe, and what happens to the $180 withheld?

A. $180 owed again

B. $0 owed; she can get the $180 back by filing

C. $450 owed

D. $0 owed, and the $180 that was withheld is lost

GO DEEPER 2 — Dependents who work

Question 4 of 5 · Learn and Apply

LEARN

FICA taxes are separate from income tax and generally are not refunded based on income tax owed.

Kayla still pays Social Security and Medicare on her $3,000 wages. Are those refunded when she files?

A. Yes, always

B. No; FICA is not refunded because income tax is $0

C. Only if she asks her employer

D. Only for teens under 18

GO DEEPER 2 — Dependents who work

Question 5 of 5 · Knowledge Check · Practical how-to

Why should Kayla check "someone can claim you as a dependent" on her return?

A. To get a larger refund illegally

B. To avoid paying FICA

C. To use the correct standard deduction and avoid conflicts with her parents' return

D. Because it raises her refund

SET 66 · Taxes and Tax Filing

From gross income to taxable income

MAIN skill: Calculate adjusted gross income and taxable income using adjustments and deductions

Outcome FL.TAX.66 · National topic: Earning Income · NJSLS 9.1.12: EG

Learning target: Calculate taxable income from gross income using adjustments and deductions

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Subtracting in steps (5 questions)

Why: Taxable income comes from a sequence of subtractions; students must apply them in order.

B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals

Why: AGI and taxable income come from subtracting adjustments and deductions.

B3 · Math link → G8-S18-M (Grade 8 8.EE.C.7.b): Write and solve linear equations with rational coefficients for real-world problems

Why: Taxable income = income − adjustments − deduction is a linear relationship.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Itemized deductions (5 questions)

Go Deeper 2: Adjustments and AGI (5 questions)

Practical skills beyond the standards: Choosing standard vs itemized deductions

Content status: time-sensitive

Source: IRS (Federal income tax rates and brackets) — The U.S. uses progressive marginal brackets; bracket thresholds and the standard deduction change every year. This course uses stated hypothetical amounts. https://www.irs.gov/filing/federal-income-tax-rates-and-brackets

Note: Standard deduction and other amounts are hypothetical for each scenario; check irs.gov for the current year.

MAIN — Calculate adjusted gross income and taxable income using adjustments and deductions

Question 1 of 5 · Learn and Apply

LEARN

Taxable income is the income that tax rates are applied to. Steps: total (gross) income − adjustments (such as some retirement or student loan interest deductions) = adjusted gross income (AGI); AGI − deductions (the standard deduction or itemized deductions) = taxable income.

For this scenario, assume the standard deduction for a single filer is $15,000. Omar's total income is $55,000, with no adjustments. What is his taxable income?

A. $15,000

B. $40,000

C. $55,000

D. $70,000

MAIN — Calculate adjusted gross income and taxable income using adjustments and deductions

Question 2 of 5 · Learn and Apply

LEARN

Adjustments ("above-the-line" deductions) are subtracted from total income to get adjusted gross income (AGI).

Ana has total income of $48,000 and a $2,000 adjustment for a deductible traditional IRA contribution. What is her AGI?

A. $2,000

B. $46,000

C. $48,000

D. $50,000

MAIN — Calculate adjusted gross income and taxable income using adjustments and deductions

Question 3 of 5 · Knowledge Check

With AGI of $46,000 and a $15,000 standard deduction (this scenario), what is Ana's taxable income?

A. $31,000

B. $33,000

C. $46,000

D. $61,000

MAIN — Calculate adjusted gross income and taxable income using adjustments and deductions

Question 4 of 5 · Learn and Apply

LEARN

Taxpayers choose EITHER the standard deduction (a fixed amount based on filing status) OR itemized deductions (such as state and local taxes, mortgage interest, and charitable gifts, within limits), whichever is larger.

Leo can take a $15,000 standard deduction or itemize deductions that total $11,200. Which should he choose?

A. Itemize, because itemizing is always the better choice

B. Both, to subtract $26,200

C. Neither, to pay more tax

D. The standard deduction, because it is larger

MAIN — Calculate adjusted gross income and taxable income using adjustments and deductions

Question 5 of 5 · Knowledge Check

Which is GROSS income for a worker?

A. All wages before any deductions or taxes

B. Take-home pay deposited each payday

C. Taxable income after the standard deduction

D. Only overtime earnings

BACKWARD B1 · concept review — Subtracting in steps

Question 1 of 5 · Learn and Apply

LEARN

Multi-step subtraction: do each subtraction in order.

Start with $50,000. Subtract $3,000, then subtract $15,000. What is left?

A. $32,000

B. $35,000

C. $47,000

D. $68,000

BACKWARD B1 · concept review — Subtracting in steps

Question 2 of 5 · Learn and Apply

LEARN

The order is: total income → AGI → taxable income → tax.

Which comes FIRST when figuring taxable income?

A. Subtracting the standard deduction

B. Adding up all income

C. Applying tax rates

D. Calculating a refund

BACKWARD B1 · concept review — Subtracting in steps

Question 3 of 5 · Learn and Apply

LEARN

Taxable income cannot go below zero.

If deductions are larger than income, what is taxable income?

A. A negative number that the IRS pays

B. Equal to the deductions

C. $0

D. Equal to income

BACKWARD B1 · concept review — Subtracting in steps

Question 4 of 5 · Knowledge Check

Which is larger: $11,200 or $15,000?

A. $15,000

B. $11,200

C. They are equal

D. $26,200

BACKWARD B1 · concept review — Subtracting in steps

Question 5 of 5 · Knowledge Check

What does "deduction" mean on a tax return?

A. A tax added to income

B. A refund check

C. A tax credit that lowers tax dollar for dollar

D. An amount subtracted from income before tax is figured

GO DEEPER 1 — Itemized deductions

Question 1 of 5 · Learn and Apply

LEARN

Itemized deductions include certain state and local taxes (up to a limit), home mortgage interest, charitable contributions, and some medical expenses above a threshold.

Sam's possible itemized deductions: state and local taxes $6,000, mortgage interest $7,500, charitable gifts $1,200. What is the total?

A. $7,500

B. $8,700

C. $13,500

D. $14,700

GO DEEPER 1 — Itemized deductions

Question 2 of 5 · Learn and Apply

LEARN

Taxpayers choose the larger of the standard deduction or itemized deductions.

With $14,700 of itemized deductions and a $15,000 standard deduction (this scenario), which should Sam take?

A. The standard deduction

B. Itemized, because it is more detailed

C. Both together

D. Neither

GO DEEPER 1 — Itemized deductions

Question 3 of 5 · Learn and Apply

LEARN

Itemizing only helps by the amount it exceeds the standard deduction.

Sam gives $600 more to charity, raising itemized deductions to $15,300. How much more is deducted than with the standard deduction?

A. $0

B. $300

C. $600

D. $15,300

GO DEEPER 1 — Itemized deductions

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Itemized deductions must be supported by records.

Which records support itemized deductions?

A. Social media posts

B. Verbal promises

C. Screenshots of a bank logo

D. Receipts, mortgage statements, and donation acknowledgments

GO DEEPER 1 — Itemized deductions

Question 5 of 5 · Knowledge Check

Why do most taxpayers take the standard deduction?

A. Itemizing is allowed only for homeowners

B. It is larger than their itemized deductions

C. The standard deduction is always $0

D. Itemizing would raise their total taxable income

GO DEEPER 2 — Adjustments and AGI

Question 1 of 5 · Learn and Apply

LEARN

Adjustments (subtracted to get AGI) include certain student loan interest, deductible traditional IRA contributions, HSA contributions, and half of self-employment tax.

Which item is an ADJUSTMENT to income (reducing AGI)?

A. Mortgage interest (an itemized one)

B. A child tax credit

C. Deductible student loan interest

D. A sales tax refund

GO DEEPER 2 — Adjustments and AGI

Question 2 of 5 · Learn and Apply

LEARN

Self-employed people may subtract half of their self-employment tax as an adjustment.

A self-employed worker's self-employment tax is $1,400. Half of it is an adjustment. How much reduces AGI?

A. $350

B. $700

C. $1,400

D. $2,800

GO DEEPER 2 — Adjustments and AGI

Question 3 of 5 · Learn and Apply

LEARN

AGI is used to determine eligibility for many tax benefits, such as credits and Roth IRA contributions.

Why does a lower AGI matter beyond the tax itself?

A. AGI sets your credit score

B. AGI determines your filing status

C. AGI is not used anywhere else

D. Many credits and deductions phase out at higher AGI

GO DEEPER 2 — Adjustments and AGI

Question 4 of 5 · Learn and Apply

LEARN

Taxable income = total income − adjustments − deduction.

Leo's income is $40,000; adjustments $2,500; standard deduction $15,000 (this scenario). What is his taxable income?

A. $22,500

B. $25,000

C. $37,500

D. $57,500

GO DEEPER 2 — Adjustments and AGI

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

The IRS publishes instructions for every form.

Which free resource explains which items are adjustments?

A. The Form 1040 instructions on irs.gov

B. Her W-2 form

C. Her bank's year-end summary

D. A tax-preparer's refund loan advertisement

SET 67 · Taxes and Tax Filing

Marginal and effective tax rates

MAIN skill: Calculate income tax with marginal brackets and compare marginal and effective rates

Outcome FL.TAX.67 · National topic: Earning Income · NJSLS 9.1.12: EG

Learning target: Calculate income tax using progressive brackets; compare marginal and effective rates

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Taxing income in layers (5 questions)
  - Why: Bracket tax works like tiered pricing: each tier is charged its own rate.
- B2 · Math link → ALG1-S75-M (Algebra 1 HSF-IF.C.7.b): Graph piecewise-defined and step functions
  - Why: Bracket tax is a piecewise-defined function of income.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Each bracket's tax is a percent of the income in it.
- B4 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: Bracket calculations combine several subtraction and percent steps.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Three brackets and effective rates (5 questions)
- Go Deeper 2: The "higher bracket" myth (5 questions)

Practical skills beyond the standards: Debunking the higher-bracket myth

Content status: time-sensitive

Source: IRS (Federal income tax rates and brackets) — Federal income tax uses progressive marginal brackets; thresholds change yearly. This course uses stated hypothetical brackets.
https://www.irs.gov/filing/federal-income-tax-rates-and-brackets

Note: Brackets are hypothetical; actual brackets change each year.

MAIN — Calculate income tax with marginal brackets and compare marginal and effective rates

Question 1 of 5 · Learn and Apply

LEARN

Federal income tax uses marginal brackets: income is taxed in layers. Each layer of income is taxed at its own rate. Moving into a higher bracket raises the rate only on the dollars in that bracket, not on all your income.

For this scenario, use these hypothetical single-filer brackets: 10% on taxable income up to $12,000; 12% on income from $12,000 to $48,000; 22% on income from $48,000 to $100,000.
Under a bracket system like this, what rate applies to the FIRST $12,000 of everyone's taxable income?

A. The person's highest bracket rate

B. 10%

C. 22%

D. 0%

MAIN — Calculate income tax with marginal brackets and compare marginal and effective rates

Question 2 of 5 · Learn and Apply

LEARN

To compute tax with brackets: tax each layer of income at its rate, then add the layers.

For this scenario, use these hypothetical single-filer brackets: 10% on taxable income up to $12,000; 12% on income from $12,000 to $48,000; 22% on income from $48,000 to $100,000.
Omar's taxable income is $40,000. What is his federal income tax?

A. $4,000

B. $4,560

C. $4,800

D. $8,800

MAIN — Calculate income tax with marginal brackets and compare marginal and effective rates

Question 3 of 5 · Learn and Apply

LEARN

The marginal rate is the rate on your last (next) dollar of income. The effective (average) rate is total tax ÷ income × 100, which is lower than the marginal rate because lower layers are taxed less.

Omar's taxable income is $40,000 and his tax is $4,560. What is his EFFECTIVE tax rate?

A. 8.8%

B. 10%

C. 11.4%

D. 12%

MAIN — Calculate income tax with marginal brackets and compare marginal and effective rates

Question 4 of 5 · Learn and Apply

LEARN

A raise is taxed at the marginal rate of the bracket it falls in. Moving further into a bracket never makes total take-home pay go down from income tax alone.

For this scenario, use these hypothetical single-filer brackets: 10% on taxable income up to $12,000; 12% on income from $12,000 to $48,000; 22% on income from $48,000 to $100,000.
Leo's taxable income is $60,000. He gets a $1,000 raise. How much more federal income tax does he owe?

A. $120

B. $220

C. $1,000

D. $1,540

MAIN — Calculate income tax with marginal brackets and compare marginal and effective rates

Question 5 of 5 · Knowledge Check

Which statement about marginal tax brackets is TRUE?

A. Entering a higher bracket raises the tax rate on all of a person's income

B. Everyone pays the same rate on all income

C. Only the income inside a higher bracket is taxed at the higher rate

D. Brackets apply only to people over 65

BACKWARD B1 · concept review — Taxing income in layers

Question 1 of 5 · Learn and Apply

LEARN

Tiered pricing charges different rates for different layers. Income tax brackets work the same way.

A water bill charges $2 per unit for the first 10 units and $3 per unit after that. What is the bill for 14 units?

A. $28

B. $32

C. $34

D. $42

BACKWARD B1 · concept review — Taxing income in layers

Question 2 of 5 · Learn and Apply

LEARN

Income in a bracket = total income − the bottom of that bracket (up to the bracket's top).

Using 10% on the first $12,000 and 12% above it, how much income is in the 12% layer for taxable income of $20,000?

A. $8,000

B. $12,000

C. $20,000

D. $32,000

BACKWARD B1 · concept review — Taxing income in layers

Question 3 of 5 · Learn and Apply

LEARN

Tax on a layer = income in the layer × rate.

What is 12% of $8,000?

A. $96

B. $960

C. $8,960

D. $9,600

BACKWARD B1 · concept review — Taxing income in layers

Question 4 of 5 · Learn and Apply

LEARN

Total tax = tax on each layer, added together.

Using 10% on the first $12,000 and 12% above it, what is the total tax on $20,000?

A. $960

B. $2,000

C. $2,160

D. $2,400

BACKWARD B1 · concept review — Taxing income in layers

Question 5 of 5 · Knowledge Check

What is a "marginal" rate?

A. The rate on the next dollar earned

B. The average rate paid across the whole income

C. The lowest rate in the system

D. A rate set by the taxpayer

GO DEEPER 1 — Three brackets and effective rates

Question 1 of 5 · Learn and Apply

LEARN

With three brackets, figure the tax in each of the three layers and add them.

For this scenario, use these hypothetical single-filer brackets: 10% on taxable income up to $12,000; 12% on income from $12,000 to $48,000; 22% on income from $48,000 to $100,000.
What is the tax on $60,000 of taxable income?

A. $5,520

B. $7,200

C. $8,160

D. $13,200

GO DEEPER 1 — Three brackets and effective rates

Question 2 of 5 · Learn and Apply

LEARN

Effective rate = total tax ÷ taxable income × 100.

Tax of $8,160 on $60,000 of taxable income is what effective rate?

A. 7.4%

B. 12%

C. 13.6%

D. 22%

GO DEEPER 1 — Three brackets and effective rates

Question 3 of 5 · Learn and Apply

LEARN

Tax as a share of total income is lower still than the effective rate on taxable income, because deductions shield part of income.

A person earns $55,000 of wages and has $40,000 of taxable income. Their tax is $4,560. What share of their WAGES goes to federal income tax (nearest tenth)?

A. 8.3%

B. 11.4%

C. 12.0%

D. 83%

GO DEEPER 1 — Three brackets and effective rates

Question 4 of 5 · Learn and Apply

LEARN

The marginal rate is the rate on the next dollar of income. The effective rate is total tax ÷ total income, an average across all brackets. Extra income is stacked on top of what you already earn.

Which rate should be used to estimate the tax on extra income from a side job?

A. The effective rate

B. The rate for the lowest bracket

C. The marginal rate

D. Zero, because side income is not taxed

GO DEEPER 1 — Three brackets and effective rates

Question 5 of 5 · Learn and Apply

LEARN

If all income is within the first bracket, only the first rate applies.

For this scenario, use these hypothetical single-filer brackets: 10% on taxable income up to $12,000; 12% on income from $12,000 to $48,000; 22% on income from $48,000 to $100,000.
What is the tax on $10,000 of taxable income?

A. $1,200

B. $1,200 plus 12%

C. $2,200

D. $1,000

GO DEEPER 2 — The "higher bracket" myth

Question 1 of 5 · Learn and Apply

LEARN

Under marginal brackets, earning more always increases after-income-tax pay, because only the extra income is taxed at the higher rate.

Rosa turns down extra shifts, saying, "If I earn more I'll be in a higher bracket and take home less." Under marginal brackets, what is TRUE?

A. She is right; all her income would be taxed more

B. She keeps most of each extra dollar; only that income is taxed at the higher rate

C. She would owe more tax than she earns

D. Extra income is never taxed

GO DEEPER 2 — The "higher bracket" myth

Question 2 of 5 · Learn and Apply

LEARN

Extra wages face both income tax at the marginal rate and FICA (7.65%).

Rosa earns $1,000 more, taxed at 22% income tax and 7.65% FICA. How much of the $1,000 does she keep?

A. $0

B. $703.50

C. $780.00

D. $923.50

GO DEEPER 2 — The "higher bracket" myth

Question 3 of 5 · Learn and Apply

LEARN

Some benefits shrink as income rises (phase-outs), which can feel like a higher tax, but brackets alone never reduce take-home pay.

Which situation CAN reduce a person's benefits when income rises?

A. Losing eligibility for some income-based credits or aid

B. Tax brackets themselves

C. FICA taxes

D. Sales tax

GO DEEPER 2 — The "higher bracket" myth

Question 4 of 5 · Learn and Apply

LEARN

Only the dollars above the bracket threshold are taxed at the higher rate.

A person moves from $47,000 to $49,000 of taxable income, crossing into the 22% bracket at $48,000 (this scenario). How much of the extra $2,000 is taxed at 22%?

A. $0

B. $1,000

C. $2,000

D. $49,000

GO DEEPER 2 — The "higher bracket" myth

Question 5 of 5 · Learn and Apply

LEARN

Tax on the extra income = (amount in the lower bracket × its rate) + (amount in the higher bracket × its rate).

For that $2,000 increase (from $47,000 to $49,000, crossing $48,000), how much more tax is owed?

A. $240

B. $340

C. $440

D. $10,780

SET 68 · Taxes and Tax Filing

Deductions and credits

MAIN skill: Compare the value of tax deductions and tax credits, including refundable credits

Outcome FL.TAX.68 · National topic: Earning Income · NJSLS 9.1.12: EG
Learning target: Explain how deductions and credits affect tax owed

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Lowering income versus lowering tax (5 questions)
  Why: The deduction-versus-credit difference is about which number is reduced.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: A deduction's value is the deduction times the tax rate.
- B3 · Math link → G7-S15-M (Grade 7 7.NS.A.1.b): Interpret sums of rational numbers in real-world situations
  Why: Refundable credits can push tax below zero, producing a refund.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Education credits and other common credits (5 questions)
- Go Deeper 2: Putting deductions and credits together (5 questions)

Practical skills beyond the standards: Claiming refundable credits

Content status: time-sensitive
Source: IRS (Credits and deductions for individuals) — Deductions reduce taxable income; credits reduce tax dollar for dollar; refundable credits can produce a refund beyond tax owed (for example, the Earned Income Tax Credit). https://www.irs.gov/credits-deductions-for-individuals
Note: Credit and bracket amounts are hypothetical; check irs.gov for the current year.

MAIN — Compare the value of tax deductions and tax credits, including refundable credits

Question 1 of 5 · Learn and Apply

LEARN

A deduction lowers taxable income, so it saves tax equal to the deduction × your marginal rate. A credit lowers the tax itself, dollar for dollar.

Omar's marginal tax rate is 12%. Which saves him more tax: a $1,000 deduction or a $1,000 credit?

A. The deduction: $1,000 vs $120

B. They save the same amount

C. The credit: $1,000 vs $120

D. The deduction: $1,120 vs $1,000

MAIN — Compare the value of tax deductions and tax credits, including refundable credits

Question 2 of 5 · Learn and Apply

LEARN

Tax after credits = tax before credits − credits.

Omar's tax before credits is $4,560. He qualifies for a $1,500 credit. What is his tax after the credit?

A. $1,500

B. $3,060

C. $4,380

D. $6,060

MAIN — Compare the value of tax deductions and tax credits, including refundable credits

Question 3 of 5 · Learn and Apply

LEARN

A nonrefundable credit can reduce your tax to zero but not below. A refundable credit can reduce tax below zero, and the extra is paid to you as a refund.

Tia's tax before credits is $300. She qualifies for a $1,000 NONREFUNDABLE credit. What is her tax after the credit?

A. −$700, paid to her as a refund

B. $0

C. $300

D. $700

MAIN — Compare the value of tax deductions and tax credits, including refundable credits

Question 4 of 5 · Learn and Apply

LEARN

Refundable credits are paid out even when they exceed the tax owed.

Tia owes $300 of tax before credits and qualifies for a $1,000 REFUNDABLE credit. What happens?

A. Her tax becomes $0 and the extra $700 is lost

B. Her tax rises to $1,300

C. Nothing, because refundable credits need $1,000 of tax

D. Her tax becomes $0 and she receives $700 more

MAIN — Compare the value of tax deductions and tax credits, including refundable credits

Question 5 of 5 · Learn and Apply

LEARN

The Earned Income Tax Credit helps low- to moderate-income workers, especially families with children. It is refundable, so it can result in a refund even if no tax is owed. Many eligible workers do not claim it.

Which credit is designed for low- to moderate-income workers and is refundable?

A. The standard deduction

B. The Earned Income Tax Credit (EITC)

C. Itemized mortgage interest

D. The yearly 401(k) contribution limit

BACKWARD B1 · concept review — Lowering income versus lowering tax

Question 1 of 5 · Learn and Apply

LEARN

Deductions reduce the income that is taxed. Credits reduce the tax itself.

A deduction reduces which number?

A. The tax owed, dollar for dollar

B. Gross pay on the W-2

C. Taxable income

D. The refund only

BACKWARD B1 · concept review — Lowering income versus lowering tax

Question 2 of 5 · Learn and Apply

LEARN

Credits come off the tax bill directly.

A credit reduces which number?

A. Gross income

B. Taxable income

C. Wages

D. The tax owed

BACKWARD B1 · concept review — Lowering income versus lowering tax

Question 3 of 5 · Learn and Apply

LEARN

Tax saved by a deduction = deduction × marginal rate.

A $500 deduction at a 10% rate saves how much tax?

A. $5

B. $50

C. $500

D. $550

BACKWARD B1 · concept review — Lowering income versus lowering tax

Question 4 of 5 · Learn and Apply

LEARN

A credit saves its full amount, dollar for dollar, if enough tax is owed.

A $500 credit saves how much tax (if at least $500 of tax is owed)?

A. $0

B. $50

C. $500

D. $5,000

BACKWARD B1 · concept review — Lowering income versus lowering tax

Question 5 of 5 · Knowledge Check

Which word describes a credit that can create a refund beyond the tax owed?

A. Refundable

B. Nonrefundable

C. Itemized

D. Adjusted

GO DEEPER 1 — Education credits and other common credits

Question 1 of 5 · Learn and Apply

LEARN

Education credits can lower tax for college costs. Rules and amounts are set by law and can change; this question states its amounts.

For this scenario, assume an education credit equals 100% of the first $2,000 of tuition plus 25% of the next $2,000. Kim paid $3,000 of tuition. What is the credit?

A. $750

B. $2,250

C. $2,500

D. $3,000

GO DEEPER 1 — Education credits and other common credits

Question 2 of 5 · Learn and Apply · Practical how-to

LEARN

Education tax forms: colleges send Form 1098-T reporting tuition and related expenses; loan servicers send Form 1098-E reporting student loan interest paid.

Which form from a college supports an education credit?

A. Form 1098-E

B. Form 1098-T

C. Form 1099-INT

D. Form W-4

GO DEEPER 1 — Education credits and other common credits

Question 3 of 5 · Learn and Apply

LEARN

Refundable credits like the EITC generally require filing a return.

Many eligible workers do not claim the EITC. What is a likely reason?

A. The EITC is only for people with children

B. Claiming it is only for business owners

C. It is paid automatically to everyone without filing

D. They do not know they qualify or do not file

GO DEEPER 1 — Education credits and other common credits

Question 4 of 5 · Learn and Apply

LEARN

A deduction is worth more to someone in a higher bracket; a credit is worth the same to everyone who can use it.

Two taxpayers each get a $2,000 deduction. One is in the 22% bracket, the other in the 10% bracket. How much more does the deduction save the first taxpayer?

A. $200

B. $240

C. $440

D. $2,000

GO DEEPER 1 — Education credits and other common credits

Question 5 of 5 · Knowledge Check

Which is generally worth the same dollar amount to taxpayers in different brackets?

A. A deduction

B. An adjustment

C. A credit (if fully usable)

D. An itemized deduction of $1,000

GO DEEPER 2 — Putting deductions and credits together

Question 1 of 5 · Learn and Apply

LEARN

Deductions come off income first; credits come off the tax at the end.

For this scenario, use these hypothetical single-filer brackets: 10% on taxable income up to $12,000; 12% on income from $12,000 to $48,000; 22% on income from $48,000 to $100,000.
Ana's total income is $52,000, her standard deduction is $15,000 (this scenario), and she has a $1,000 credit. What is her taxable income?

A. $36,000

B. $37,000

C. $51,000

D. $52,000

GO DEEPER 2 — Putting deductions and credits together

Question 2 of 5 · Learn and Apply

LEARN

Apply the brackets to taxable income, layer by layer.

For this scenario, use these hypothetical single-filer brackets: 10% on taxable income up to $12,000; 12% on income from $12,000 to $48,000; 22% on income from $48,000 to $100,000.
Ana's taxable income is $37,000. What is her tax before credits?

A. $3,000

B. $3,700

C. $4,200

D. $4,440

GO DEEPER 2 — Putting deductions and credits together

Question 3 of 5 · Learn and Apply

LEARN

Final tax = tax before credits − credits.

Ana's tax before credits is $4,200, and she has a $1,000 credit. What is her final tax?

A. $1,000

B. $3,200

C. $4,080

D. $5,200

GO DEEPER 2 — Putting deductions and credits together

Question 4 of 5 · Learn and Apply

LEARN

The last section of the return compares tax with withholding and payments.

Which step comes LAST on the 1040?

A. Comparing the final tax with payments to find the refund or amount owed

B. Adding up income

C. Subtracting the standard deduction

D. Listing wages from W-2s

GO DEEPER 2 — Putting deductions and credits together

Question 5 of 5 · Learn and Apply

LEARN

Refund = amount withheld − tax owed (when positive).

Ana's final tax is $3,200 and her W-2 shows $3,650 withheld. What is the result?

A. A $450 balance due

B. A $6,850 refund

C. A $450 refund

D. No refund or bill

SET 69 · Taxes and Tax Filing

Refund or balance due

MAIN skill: Compare tax liability with withholding to find a refund or balance due, and interpret refunds correctly

Outcome FL.TAX.69 · National topic: Earning Income · NJSLS 9.1.12: EG, PB

Learning target: Explain why taxpayers receive refunds or owe tax; a refund is not extra income

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Tax owed versus tax paid (5 questions)
  - Why: Refund problems depend on separating what was owed from what was already paid.
- B2 · Math link → G7-S15-M (Grade 7 7.NS.A.1.b): Interpret sums of rational numbers in real-world situations
  - Why: A refund is a positive result and a balance due a negative one.
- B3 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: Refunds and balances compare two amounts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Fixing withholding after a surprise (5 questions)
- Go Deeper 2: If you cannot pay in full (5 questions)

Practical skills beyond the standards: Adjusting withholding after a refund or bill; IRS payment plans

Content status: time-sensitive

Source: IRS — Individual returns are generally due April 15 (next business day if on a weekend or holiday); an extension extends the time to file, not to pay; IRS Free File and VITA offer free filing help to eligible taxpayers. https://www.irs.gov/filing

MAIN — Compare tax liability with withholding to find a refund or balance due, and interpret refunds correctly

Question 1 of 5 · Learn and Apply

LEARN

Your tax liability is the total tax you owe for the year. Withholding and estimated payments are prepayments. If prepayments are more than the liability, you get a refund; if less, you owe the difference (a balance due).

Omar's total tax for the year is $4,560. His employer withheld $5,200. What happens when he files?

A. He owes $640

B. He gets a $640 refund

C. He gets a $5,200 refund

D. He owes $9,760

MAIN — Compare tax liability with withholding to find a refund or balance due, and interpret refunds correctly

Question 2 of 5 · Knowledge Check

Leo's total tax is $4,560, and only $4,000 was withheld. What happens?

A. He gets a $560 refund

B. He owes $4,560 again

C. Nothing; withholding settles everything

D. He owes $560

MAIN — Compare tax liability with withholding to find a refund or balance due, and interpret refunds correctly

Question 3 of 5 · Learn and Apply

LEARN

A refund means too much was withheld during the year. The size of the refund is not the same as how much tax you paid; your actual tax is your liability.

Kim says, "I got a $1,200 refund — free money from the government!" Which statement is accurate?

A. The refund is her own overpaid tax being returned

B. The refund is a bonus on top of her pay

C. A big refund means she paid less tax

D. Refunds are loans from the IRS that must be repaid later

MAIN — Compare tax liability with withholding to find a refund or balance due, and interpret refunds correctly

Question 4 of 5 · Learn and Apply

LEARN

Over-withholding is like an interest-free loan to the government. Adjusting your W-4 can put that money in each paycheck instead.

Kim's $1,200 refund means about $100 a month was over-withheld. If she had kept that $100 a month in a savings account at 4%, roughly how much interest might she have earned over the year (about half a year on average)?

A. $0

B. $24

C. $48

D. $1,200

MAIN — Compare tax liability with withholding to find a refund or balance due, and interpret refunds correctly

Question 5 of 5 · Learn and Apply

LEARN

Tax liability = withholding − refund, or withholding + amount owed.

Two workers each paid $5,000 of withholding. Ana gets a $1,000 refund; Ben owes $200. Who had the larger tax liability?

A. Ana, because she got a refund

B. Ben: $5,200 vs $4,000

C. They had equal liabilities

D. Ana: $6,000 vs $4,800

BACKWARD B1 · concept review — Tax owed versus tax paid

Question 1 of 5 · Learn and Apply

LEARN

Liability is what you owe for the year. Withholding is what you already paid toward it.

What is "tax liability"?

A. The amount withheld from each paycheck

B. The refund amount

C. Gross income

D. The total tax owed for the year

BACKWARD B1 · concept review — Tax owed versus tax paid

Question 2 of 5 · Learn and Apply

LEARN

Paid − owed: positive means refund; negative means balance due.

Owed $2,000; paid $2,500. What is the result?

A. A $500 balance due

B. A $4,500 refund

C. A $500 refund

D. A $2,500 refund

BACKWARD B1 · concept review — Tax owed versus tax paid

Question 3 of 5 · Knowledge Check

Owed $2,000; paid $1,700. What is the result?

A. A $300 balance due

B. A $300 refund

C. A $3,700 balance due

D. No result

BACKWARD B1 · concept review — Tax owed versus tax paid

Question 4 of 5 · Knowledge Check

Where does a refund come from?

A. A government gift program for workers

B. Tax that was overpaid during the year

C. The employer's profits

D. A bank loan

BACKWARD B1 · concept review — Tax owed versus tax paid

Question 5 of 5 · Knowledge Check

Which number on a 1040 shows tax already paid through work?

A. Taxable income

B. Standard deduction

C. Federal income tax withheld

D. Adjusted gross income (AGI)

GO DEEPER 1 — Fixing withholding after a surprise

Question 1 of 5 · Learn and Apply

LEARN

If you owed at filing, you can add extra withholding on Form W-4 (Step 4(c)) to spread the amount across paychecks.

Leo owed $560 at filing. To avoid that next year with 26 paychecks, about how much extra should he have withheld per paycheck (nearest dollar)?

A. $11

B. $22

C. $47

D. $560

GO DEEPER 1 — Fixing withholding after a surprise

Question 2 of 5 · Learn and Apply · Practical how-to

LEARN

Form W-4 controls how much income tax is withheld from each paycheck; you can update it at any time.

Kim got a $1,200 refund and would rather have money in each paycheck. What should she do?

A. Ask the IRS to send her a smaller refund

B. Stop filing a return

C. Quit her job

D. Update her W-4 so less is withheld

GO DEEPER 1 — Fixing withholding after a surprise

Question 3 of 5 · Learn and Apply

LEARN

Some people like getting a lump sum. The trade-off is less money in each paycheck during the year.

Why do some people prefer a refund anyway?

A. It works like forced saving for a planned purchase

B. Refunds earn high interest from the IRS while they wait

C. Refunds lower total tax

D. Refunds are tax-free bonuses

GO DEEPER 1 — Fixing withholding after a surprise

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

The IRS publishes a free Tax Withholding Estimator on irs.gov that uses your pay stubs to suggest W-4 settings.

Which tool helps set withholding close to the actual tax?

A. Her last pay stub alone

B. The IRS Tax Withholding Estimator

C. A credit report

D. A paycheck calculator from her bank

GO DEEPER 1 — Fixing withholding after a surprise

Question 5 of 5 · Learn and Apply

LEARN

Tax on side income can be covered by extra withholding at a regular job or by quarterly estimated payments.

A worker with a side gig owes $900 extra each year. Which approach pays it gradually?

A. Raise W-4 withholding at the main job or make quarterly estimated payments

B. Ignore it until April each year

C. Ask the client to pay the tax

D. Pay the whole $900 in April each year

GO DEEPER 2 — If you cannot pay in full

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

The penalty for not filing is usually larger than the penalty for not paying. The IRS offers payment plans (installment agreements). Interest and penalties still apply to unpaid amounts.

Leo owes $560 but can pay only $200 by the deadline. What is the best step?

A. Do not file at all until he can pay every single dollar

B. Ignore the bill

C. Use a payday loan

D. File on time, pay $200, and set up a payment plan

GO DEEPER 2 — If you cannot pay in full

Question 2 of 5 · Learn and Apply

LEARN

The IRS charges separate penalties for filing late and paying late; the late-filing penalty is generally larger.

Which penalty is generally LARGER per month: failure to file or failure to pay?

A. Failure to pay

B. They are always identical

C. Failure to file

D. Neither exists if a refund is due

GO DEEPER 2 — If you cannot pay in full

Question 3 of 5 · Learn and Apply

LEARN

An extension (Form 4868) gives more time to file, but any tax owed is still due by the original deadline.

Does a filing extension give more time to PAY taxes owed?

A. Yes, six more months to pay with no interest

B. Yes, but only for students

C. Yes, if requested by phone

D. No; it extends the time to file, not to pay

GO DEEPER 2 — If you cannot pay in full

Question 4 of 5 · Learn and Apply

LEARN

Equal payments = total owed ÷ number of payments.

Leo owes $360 and sets up a 6-month payment plan, ignoring interest and fees. What is each payment?

A. $36

B. $60

C. $360

D. $2,160

GO DEEPER 2 — If you cannot pay in full

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

The IRS lists official payment options on irs.gov. It never demands gift cards or crypto.

Which payment method should be used to pay the IRS?

A. Gift cards bought at a store

B. Official options listed on irs.gov, such as direct debit

C. Cryptocurrency sent to a caller

D. Cash mailed to a P.O. box given by someone on a phone call

SET 70 · Taxes and Tax Filing

Filing a return: methods, deadlines, and scams

MAIN skill: Choose a filing method, meet deadlines, and avoid tax scams

Outcome FL.TAX.70 · National topic: Earning Income · NJSLS 9.1.12: EG, FI

Learning target: Explain how to file taxes, filing deadlines, and how to avoid tax fraud

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Deadlines and dates (5 questions)

Why: Filing questions rely on reading deadlines and counting time.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Protecting your tax identity (5 questions)

Go Deeper 2: State returns and amending mistakes (5 questions)

Practical skills beyond the standards: Free filing options (IRS Free File, VITA); Getting an IRS Identity Protection PIN

Content status: time-sensitive

Source: IRS — Individual returns are generally due April 15 (next business day if on a weekend or holiday); an extension extends the time to file, not to pay; IRS Free File and VITA offer free filing help to eligible taxpayers. https://www.irs.gov/filing

Source: IRS (Tax scams) — The IRS does not demand immediate payment by gift card, wire, or cryptocurrency, or threaten arrest by phone. https://www.irs.gov/newsroom/tax-scams-consumer-alerts

MAIN — Choose a filing method, meet deadlines, and avoid tax scams

Question 1 of 5 · Learn and Apply

LEARN

Federal returns for a calendar year are generally due April 15 of the following year. If that day falls on a weekend or legal holiday, the deadline moves to the next business day.

When are federal individual income tax returns generally due?

A. December 31 of the tax year

B. January 31

C. April 15 (next business day if it falls on a weekend or holiday)

D. July 4

MAIN — Choose a filing method, meet deadlines, and avoid tax scams

Question 2 of 5 · Learn and Apply · Practical how-to

LEARN

Ways to file: tax software (including IRS Free File for eligible incomes), free in-person help through VITA (Volunteer Income Tax Assistance) for eligible taxpayers, a paid preparer, or paper forms. E-filing with direct deposit gets refunds fastest.

Kayla, a student with simple taxes, wants to file for free. Which options may be available?

A. IRS Free File or a VITA free tax help site

B. Only an expensive paid preparer

C. Filing through a social media influencer's link

D. Mailing her W-2 to her employer

MAIN — Choose a filing method, meet deadlines, and avoid tax scams

Question 3 of 5 · Learn and Apply

LEARN

IRS impersonation scams are common. The IRS generally contacts people first by mail, never demands immediate payment by gift card, wire, or cryptocurrency, and does not threaten arrest by phone.

A caller says he is from the IRS and that Kayla will be arrested unless she pays $900 today with gift cards. What should she do?

A. Buy the gift cards to avoid arrest

B. Give her Social Security number to verify

C. Pay half now to show good faith

D. Hang up; the IRS does not demand gift-card payment or threaten arrest by phone

MAIN — Choose a filing method, meet deadlines, and avoid tax scams

Question 4 of 5 · Learn and Apply

LEARN

An automatic extension (Form 4868) moves the filing deadline about six months, generally to October 15, but tax owed is still due in April.

Kayla files for a 6-month extension. What new deadline does she have, and what is NOT extended?

A. About October 15 to file and to pay

B. About October 15 to file; payment of any tax owed is not extended

C. About June 15 for everything

D. No deadline at all

MAIN — Choose a filing method, meet deadlines, and avoid tax scams

Question 5 of 5 · Knowledge Check

How long does the IRS generally recommend keeping tax records?

A. At least 3 years after filing

B. 1 week

C. Until the refund arrives only

D. There is no reason to keep records

BACKWARD B1 · concept review — Deadlines and dates

Question 1 of 5 · Learn and Apply

LEARN

Deadlines that fall on a weekend or holiday generally move to the next business day.

If April 15 falls on a Saturday, when is the federal filing deadline generally moved to?

A. The previous Friday, April 13

B. April 30

C. The next business day, Monday

D. It stays Saturday

BACKWARD B1 · concept review — Deadlines and dates

Question 2 of 5 · Knowledge Check

How many months is a 6-month extension from April 15?

A. Three months, to about July 15th

B. One year

C. Six months, to about October 15

D. Two weeks

BACKWARD B1 · concept review — Deadlines and dates

Question 3 of 5 · Learn and Apply

LEARN

Count the days left in each month: January, February, March, then April.

Kayla receives her W-2 on January 28. How many days until April 15 in a non-leap year?

A. 105 days

B. 77 days

C. 45 days

D. 3 days

BACKWARD B1 · concept review — Deadlines and dates

Question 4 of 5 · Learn and Apply

LEARN

E-filing sends your return electronically through software or a preparer.

What does "e-file" mean?

A. Mailing paper forms

B. Calling the IRS to file over the phone

C. Emailing a photo of a W-2

D. Filing a tax return electronically

BACKWARD B1 · concept review — Deadlines and dates

Question 5 of 5 · Knowledge Check

Which is generally the fastest way to receive a refund?

A. E-file with direct deposit

B. Paper return with a mailed check

C. Paper return with direct deposit

D. Filing in December before the year ends

GO DEEPER 1 — Protecting your tax identity

Question 1 of 5 · Learn and Apply

LEARN

In tax-related identity theft, someone uses your Social Security number to file a fraudulent return and claim a refund. Filing early and using an IRS Identity Protection PIN help prevent it.

A thief files a return using Kayla's Social Security number to steal her refund. What is this called?

A. A tax credit claimed by mistake

B. An amended return

C. An audit

D. Tax-related identity theft

GO DEEPER 1 — Protecting your tax identity

Question 2 of 5 · Learn and Apply · Practical how-to

LEARN

An IP PIN is a six-digit number known only to you and the IRS that must appear on your return.

What does an IRS Identity Protection PIN (IP PIN) do?

A. It must be entered on the return, blocking others from filing with your SSN

B. It lowers your tax rate

C. It replaces your Social Security number

D. It speeds up refunds to any account

GO DEEPER 1 — Protecting your tax identity

Question 3 of 5 · Learn and Apply

LEARN

The IRS generally does not initiate contact by email, text, or social media to request personal or financial information.

An email "from the IRS" asks Kayla to click a link to claim a refund. What should she know?

A. The IRS always sends refunds by email links

B. She should reply with her bank details

C. The IRS does not start contact by email asking for personal information

D. Emails with logos are always real

GO DEEPER 1 — Protecting your tax identity

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

TIGTA investigates IRS impersonation scams; phishing emails can be forwarded to phishing@irs.gov.

Where can someone report an IRS impersonation scam?

A. The scammer's phone number

B. The Treasury Inspector General for Tax Administration (TIGTA)

C. A credit card company only

D. A social media post

GO DEEPER 1 — Protecting your tax identity

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

You are responsible for what is on your return, even if someone else prepares it. Choose preparers carefully and review your return before signing.

A paid preparer offers a larger refund if Kayla signs a blank return. What should she do?

A. Sign it to save time

B. Sign it if the preparer's fee is low

C. Sign it but keep a photo

D. Refuse; never sign a blank return

GO DEEPER 2 — State returns and amending mistakes

Question 1 of 5 · Learn and Apply

LEARN

States with income taxes have their own returns, with their own filing thresholds and deadlines.

Kayla lives and works in New Jersey and had state tax withheld. Which return(s) might she need to file?

A. Only the federal return

B. Only the New Jersey return

C. A federal Form 1040 and a New Jersey NJ-1040

D. No returns, as a full-time student who earns under $10,000

GO DEEPER 2 — State returns and amending mistakes

Question 2 of 5 · Learn and Apply · Practical how-to

LEARN

Mistakes on a filed return are corrected with Form 1040-X, the amended return.

After filing, Kayla finds a second W-2 she forgot. What should she do?

A. File an amended return (Form 1040-X)

B. Ignore it

C. File a second original return to replace it

D. Mail the W-2 to her employer

GO DEEPER 2 — State returns and amending mistakes

Question 3 of 5 · Learn and Apply

LEARN

On an amended return, the extra tax is compared with any extra withholding.

The forgotten W-2 adds $1,200 of income and $90 of withholding. If her extra tax is $120, what is the net amount she owes on the amended return?

A. $30

B. $90

C. $120

D. $210

GO DEEPER 2 — State returns and amending mistakes

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

VITA sites offer free tax preparation by IRS-certified volunteers for eligible taxpayers.

Which free program offers in-person tax help for many low- and moderate-income taxpayers?

A. FDIC

B. VITA (Volunteer Income Tax Assistance)

C. FINRA

D. SIPC

GO DEEPER 2 — State returns and amending mistakes

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

A simple checklist prevents missing income or credits.

Before filing, which documents should Kayla gather?

A. Only her final pay stub of the year

B. Her credit card statements only

C. Nothing; the IRS has everything

D. Her W-2s, any 1099s, ID, and last year's return if she filed one

SET 71 · Renting and Leasing a Home

Finding a rental and avoiding rental scams

MAIN skill: Search for legitimate rental listings and recognize rental scams

Outcome FL.RENT.71 · National topic: Spending · NJSLS 9.1.12: PB, RM

Learning target: Compare housing options and recognize rental fraud

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Renting basics: landlords, tenants, and leases (5 questions)
  Why: Students need the basic vocabulary of renting before evaluating listings.
- B2 · Math link → G5-S22-M (Grade 5 5.NBT.B.7): Solve real-world problems with decimal operations
  Why: Comparing rentals adds rent, utilities, and fees.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Comparing rentals beyond the rent (5 questions)
- Go Deeper 2: Spotting and reporting rental scams (5 questions)

Practical skills beyond the standards: Comparing total monthly housing costs; Verifying rental listings

Content status: time-sensitive

Source: FTC — Rental listing scams include fake listings, requests to wire money or pay before seeing a unit, and owners who claim to be out of the country. https://consumer.ftc.gov/articles/rental-listing-scams

MAIN — Search for legitimate rental listings and recognize rental scams

Question 1 of 5 · Learn and Apply

LEARN

Rental scammers copy real listings or invent fake ones. Red flags: rent far below similar units, an owner who cannot meet in person, pressure to pay quickly, requests to wire money or use gift cards or payment apps, and requests for payment before you see the unit or sign a lease.

A listing offers a 2-bedroom apartment for $700 a month when similar ones nearby rent for $1,500. The "owner" is overseas and asks for a deposit by wire before anyone sees the unit. What is most likely happening?

A. A rare bargain that should be secured quickly

B. A normal practice for overseas landlords

C. A rental scam

D. A government housing program

MAIN — Search for legitimate rental listings and recognize rental scams

Question 2 of 5 · Learn and Apply · Practical how-to

LEARN

Before paying, see the unit in person (or have someone you trust visit), meet the landlord or property manager, and check who owns the property, for example through local property records.

Which step BEST confirms that a listing is real before paying anything?

A. Visit the unit in person and verify the owner or manager

B. Ask the poster to send more photos of the unit before deciding

C. Pay a small deposit to hold it

D. Trust the listing because it is on a big website

MAIN — Search for legitimate rental listings and recognize rental scams

Question 3 of 5 · Learn and Apply

LEARN

Compare total monthly housing cost, not just rent: rent + utilities + parking + renters insurance + other fees.

Jen compares two apartments. A: rent $1,150, utilities included. B: rent $1,050, plus about $130 a month in utilities. Which costs less per month, and by how much?

A. B, by $100

B. A, by $30

C. B, by $30

D. They cost the same

MAIN — Search for legitimate rental listings and recognize rental scams

Question 4 of 5 · Knowledge Check

Which payment request is MOST likely a sign of a scam?

A. Paying an application fee with gift cards

B. Paying first month's rent by check after signing a lease

C. Paying a security deposit to a property management company with a receipt

D. Paying rent through the landlord's official online portal after signing

MAIN — Search for legitimate rental listings and recognize rental scams

Question 5 of 5 · Learn and Apply

LEARN

Application fees cover processing and background checks and are usually not refundable. Applying to many places adds up.

Jen pays $65 application fees at 4 apartments before being approved. What does she spend on applications?

A. $16.25

B. $65

C. $69

D. $260

BACKWARD B1 · concept review — Renting basics: landlords, tenants, and leases

Question 1 of 5 · Learn and Apply

LEARN

A landlord owns (or manages) a rental property. A tenant pays rent to live there. A lease is the contract that sets the terms.

In a rental, who is the TENANT?

A. The person who owns the building

B. The person who pays rent to live in the home

C. The bank that holds the mortgage on the building

D. The city housing inspector

BACKWARD B1 · concept review — Renting basics: landlords, tenants, and leases

Question 2 of 5 · Learn and Apply

LEARN

A lease is a legal agreement that states the rent, length of the rental, rules, and responsibilities of each side.

What is a lease?

A. A loan agreement that lets the tenant buy the apartment over time

B. A receipt for one month's rent

C. A contract between landlord and tenant setting the rental terms

D. Renters insurance for the apartment

BACKWARD B1 · concept review — Renting basics: landlords, tenants, and leases

Question 3 of 5 · Knowledge Check

Rent is $950 a month. What does a 12-month lease total in rent?

A. $950

B. $1,140

C. $9,500

D. $11,400

BACKWARD B1 · concept review — Renting basics: landlords, tenants, and leases
Question 4 of 5 · Learn and Apply

LEARN
Utilities, such as electricity, gas, water, and internet, may or may not be included in rent. Listings should say which are included.

Which cost is often NOT included in rent?

A. The right to live in the unit
B. Use of the kitchen inside the unit
C. Using the front door
D. Electricity

BACKWARD B1 · concept review — Renting basics: landlords, tenants, and leases
Question 5 of 5 · Knowledge Check

Why do landlords check rental applications?

A. To judge whether the applicant will pay and care for the home
B. To decide the applicant's rent based on income
C. To sell applicants' information
D. Because the law requires every landlord to approve everyone

GO DEEPER 1 — Comparing rentals beyond the rent

Question 1 of 5 · Learn and Apply

LEARN

Location affects costs: commuting, parking, and time.

Apartment C rents for $1,000 and is a 20-minute walk from work. Apartment D rents for $900 but requires a $120 monthly bus pass. Which costs less per month for housing plus commuting?

A. D, by $100

B. C, by $20

C. D, by $20

D. They cost the same

GO DEEPER 1 — Comparing rentals beyond the rent

Question 2 of 5 · Learn and Apply

LEARN

Extra monthly fees, such as parking, pet rent, or amenity fees, add to yearly housing costs: yearly cost = monthly fee × 12.

A building charges $75 a month for parking. Over a 12-month lease, what does parking cost?

A. $75

B. $87

C. $750

D. $900

GO DEEPER 1 — Comparing rentals beyond the rent

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

Asking about included utilities and extra fees before signing prevents surprise costs.

Which question should Jen ask before signing?

A. How many people applied before me?

B. Is the photo in the listing recent?

C. Which utilities and fees are included in the rent?

D. Will the landlord let me skip the security deposit?

GO DEEPER 1 — Comparing rentals beyond the rent

Question 4 of 5 · Learn and Apply

LEARN

Averaging seasonal bills gives a better monthly budget estimate.

Average utility bills at a unit are $90 in spring, $150 in summer, $180 in winter, and $100 in fall. What is the average monthly utility cost?

A. $90

B. $130

C. $180

D. $520

GO DEEPER 1 — Comparing rentals beyond the rent

Question 5 of 5 · Learn and Apply

LEARN

Roommates split rent and utilities, but a shared lease means shared responsibility.

Which choice is a reasonable way to lower rent costs?

A. Signing a lease you cannot afford and hoping for a raise

B. Paying rent with a cash advance

C. Skipping renters insurance to afford a nicer unit

D. Sharing a larger apartment with a roommate

GO DEEPER 2 — Spotting and reporting rental scams

Question 1 of 5 · Learn and Apply

LEARN

Scammers often promise to mail keys and avoid meeting in person.

A "landlord" says, "Send the deposit through a payment app and I'll mail you the keys." What should Jen do?

A. Send it, since apps are safe

B. Refuse and look for another listing

C. Send half to test it

D. Ask a friend to send the deposit instead

GO DEEPER 2 — Spotting and reporting rental scams

Question 2 of 5 · Learn and Apply · Practical how-to

LEARN

Local governments publish property ownership records.

How can Jen check who owns a property?

A. Ask the person posting the listing to promise

B. Look at the listing's photos

C. Check a social media profile

D. Search local property tax or deed records

GO DEEPER 2 — Spotting and reporting rental scams

Question 3 of 5 · Learn and Apply

LEARN

A reverse image search can reveal photos copied from other listings.

Jen finds the same photos on another listing with a different address and price. What does that suggest?

A. One listing may be a copied scam

B. Both are definitely real

C. The photos are from a model unit, so both are guaranteed real

D. Both listings are fine since photos can be reused

GO DEEPER 2 — Spotting and reporting rental scams

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Reporting helps authorities and websites remove scams.

Where can Jen report a rental scam?

A. The scammer's email address

B. Her school

C. ReportFraud.ftc.gov and the site where it was listed

D. A credit bureau

GO DEEPER 2 — Spotting and reporting rental scams

Question 5 of 5 · Knowledge Check

Which listing detail is LEAST concerning?

A. Rent far below the area average

B. An owner who is "out of the country"

C. A manager who shows the unit and a lease to review

D. Pressure to pay today to hold it

SET 72 · Renting and Leasing a Home

Rental applications and affordability

MAIN skill: Estimate affordable rent and prepare a rental application

Outcome FL.RENT.72 · National topic: Spending · NJSLS 9.1.12: PB, CP

Learning target: Evaluate housing affordability and the rental application process

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Percents of income for housing (5 questions)
  Why: Affordability rules are percents and multiples of income.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Affordability guidelines are percents of income.
- B3 · Math link → G6-S52-M (Grade 6 6.EE.B.7): Solve one-step equations of the form px = q
  Why: Finding maximum rent from "40 × rent ≤ income" solves a one-step equation.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Budgeting for the first apartment (5 questions)
- Go Deeper 2: Credit checks and fair housing (5 questions)

Practical skills beyond the standards: Assembling a rental application; Fair housing rights

Content status: time-sensitive

Source: HUD (Fair Housing Act) — The Fair Housing Act prohibits housing discrimination based on race, color, national origin, religion, sex, familial status, and disability.
https://www.hud.gov/program_offices/fair_housing_equal_opp/fair_housing_act_overview

MAIN — Estimate affordable rent and prepare a rental application

Question 1 of 5 · Learn and Apply

LEARN

A common affordability guideline: rent of no more than about 30% of gross (before-tax) monthly income. It is a rule of thumb, not a law; your full budget matters too.

A common guideline suggests spending no more than 30% of gross monthly income on rent. Mo earns $3,200 a month before taxes. What is the most rent under that guideline?

A. $96

B. $960

C. $1,067

D. $3,200

MAIN — Estimate affordable rent and prepare a rental application

Question 2 of 5 · Learn and Apply

LEARN

Landlords often set income requirements, such as "yearly income at least 40× the monthly rent" or "monthly income at least 3× the rent."

Some landlords require yearly gross income of at least 40 times the monthly rent. Rent is $1,200. What yearly income is required?

A. $1,200

B. $14,400

C. $30,000

D. $48,000

MAIN — Estimate affordable rent and prepare a rental application

Question 3 of 5 · Learn and Apply

LEARN

To find the maximum rent under an income rule, divide yearly income by the multiple.

Mo earns $36,000 a year. Under a "40 times the rent" rule, what is the highest rent he qualifies for?

A. $900

B. $1,200

C. $1,440

D. $3,000

MAIN — Estimate affordable rent and prepare a rental application

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Applications usually require photo ID, proof of income (pay stubs or an offer letter), past landlord references, and consent to a credit and background check. An application fee is common.

Which documents does a rental application commonly ask for?

A. A high school diploma and report cards

B. ID, proof of income, rental history, and credit consent

C. A car title and insurance card

D. A list of friends' phone numbers

MAIN — Estimate affordable rent and prepare a rental application

Question 5 of 5 · Learn and Apply

LEARN

A guarantor agrees to pay the rent if the tenant does not. Deposit limits depend on state law.

Mo has no rental history and a thin credit file. What might a landlord ask for?

A. Nothing; landlords cannot ask for anything else

B. Proof that he has never borrowed money

C. His Social Security card mailed in

D. A guarantor (cosigner) or a larger deposit, where legal

BACKWARD B1 · concept review — Percents of income for housing

Question 1 of 5 · Learn and Apply

LEARN

Percent of an amount = amount × rate as a decimal.

What is 30% of $2,500?

A. $75

B. $750

C. $833

D. $7,500

BACKWARD B1 · concept review — Percents of income for housing

Question 2 of 5 · Learn and Apply

LEARN

Percent of income = rent ÷ income × 100.

$900 rent on $3,000 monthly income is what percent?

A. 3.3%

B. 30%

C. 33%

D. 90%

BACKWARD B1 · concept review — Percents of income for housing

Question 3 of 5 · Knowledge Check

Monthly income is $2,800. What is yearly income?

A. $233

B. $2,800

C. $28,000

D. $33,600

BACKWARD B1 · concept review — Percents of income for housing

Question 4 of 5 · Learn and Apply

LEARN

Under a "40 times rent" rule, the most rent = yearly income ÷ 40.

Yearly income is $33,600. Dividing by 40 gives what monthly rent limit?

A. $84

B. $840

C. $2,800

D. $1,344,000

BACKWARD B1 · concept review — Percents of income for housing

Question 5 of 5 · Knowledge Check

Why is rent above 30% of income often called "cost-burdened"?

A. Less money remains for other needs and saving

B. Landlords charge more to such tenants

C. It lowers credit scores automatically each month

D. It is illegal to rent above 30%

GO DEEPER 1 — Budgeting for the first apartment

Question 1 of 5 · Learn and Apply

LEARN

Move-in costs often include first month's rent, a security deposit, fees, and moving expenses, all due before or at move-in.

Move-in costs: first month's rent $1,000, security deposit $1,500, and a $50 application fee. How much cash does Mo need?

A. $1,000

B. $1,550

C. $2,500

D. $2,550

GO DEEPER 1 — Budgeting for the first apartment

Question 2 of 5 · Learn and Apply

LEARN

Months needed = amount needed ÷ monthly saving, rounded up to a whole month.

Mo saves $300 a month toward $2,550 of move-in costs. How many months until he has enough (rounded up)?

A. 9 months

B. 8 months

C. 85 months

D. 3 months

GO DEEPER 1 — Budgeting for the first apartment

Question 3 of 5 · Learn and Apply

LEARN

First apartments often need furniture, kitchen basics, and utility deposits or setup fees.

Which expense is often forgotten in a first apartment budget?

A. Rent

B. The lease itself

C. Rent for the first month, which the landlord already listed

D. Furniture, kitchen supplies, and utility setup fees

GO DEEPER 1 — Budgeting for the first apartment

Question 4 of 5 · Learn and Apply

LEARN

Housing share = total housing costs ÷ income × 100.

Mo's take-home pay is $2,500. Rent is $900, utilities $120, renters insurance $15, and internet $50. What share of take-home pay do these housing costs use (nearest whole percent)?

A. 30%

B. 36%

C. 43%

D. 57%

GO DEEPER 1 — Budgeting for the first apartment

Question 5 of 5 · Knowledge Check

Which choice would most lower Mo's housing share?

A. Adding cable TV

B. Finding a roommate to split rent and utilities

C. Taking a bigger unit so a future roommate can join later

D. Paying rent with a credit card

GO DEEPER 2 — Credit checks and fair housing

Question 1 of 5 · Learn and Apply

LEARN

Landlords may check credit reports (with permission). Some checks are recorded as inquiries.

A landlord runs a credit check on Mo. Does this affect his credit score?

A. It erases his credit history

B. It always drops his score by 100 points

C. It may appear as an inquiry; it does not reveal income

D. It shows his bank balances and pay to the landlord directly

GO DEEPER 2 — Credit checks and fair housing

Question 2 of 5 · Learn and Apply

LEARN

The Fair Housing Act prohibits housing discrimination based on race, color, national origin, religion, sex, familial status, and disability. Some exemptions exist, such as certain senior housing.

A landlord refuses to rent to a family because they have young children. Under the federal Fair Housing Act, this is…

A. legal in every building

B. illegal discrimination based on familial status

C. allowed whenever the landlord prefers a quiet building

D. required by fire codes

GO DEEPER 2 — Credit checks and fair housing

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

HUD and state agencies enforce fair housing laws.

Where can someone report housing discrimination?

A. The IRS

B. The credit bureau that reported his score

C. HUD or the state civil rights agency

D. The landlord's friend

GO DEEPER 2 — Credit checks and fair housing

Question 4 of 5 · Learn and Apply

LEARN

When a landlord takes adverse action based on a consumer report, the applicant must be told and can get a free copy of the report.

A landlord denies Mo because of information in a tenant screening report. What right does Mo have under federal law?

A. None at all

B. To have the landlord approve him anyway

C. To sue the landlord for checking

D. To be told and to get a free copy to dispute errors

GO DEEPER 2 — Credit checks and fair housing

Question 5 of 5 · Learn and Apply

LEARN

Under a "monthly income at least 3× rent" rule, the most rent = monthly income ÷ 3.

Mo earns $2,800 a month. A landlord requires monthly income of 3 times the rent. What is the highest rent he qualifies for?

A. $700

B. $933.33

C. $2,800

D. $8,400

SET 73 · Renting and Leasing a Home

Reading a lease and security deposits

MAIN skill: Read key lease terms and apply security deposit rules

Outcome FL.RENT.73 · National topic: Spending · NJSLS 9.1.12: PB

Learning target: Interpret a lease and explain tenant financial responsibilities including security deposits

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Reading contract terms (5 questions)
  - Why: Lease questions require reading specific terms and applying them.
- B2 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  - Why: Deposit caps and fees multiply rent by factors like 1.5.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Move-in and move-out inspections (5 questions)
- Go Deeper 2: Breaking a lease, renewals, and roommates (5 questions)

Practical skills beyond the standards: Reading a lease section by section; Move-in and move-out documentation

Content status: time-sensitive

Source: New Jersey Department of Community Affairs (Truth in Renting) — In New Jersey, a security deposit may not exceed 1.5 times one month's rent, and the landlord must return it with interest, less itemized charges, within 30 days after the tenancy ends. https://www.nj.gov/dca/codes/publications/pdf_lti/t_i_r.pdf

MAIN — Read key lease terms and apply security deposit rules

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

A lease lists the rent, due date, grace period, late fees, length of the lease, who pays which utilities, rules (pets, guests, noise), maintenance duties, renewal terms, and what happens if you leave early. Read every section before signing.

A lease says: "Rent $1,100 due on the 1st. Late fee $50 if not received by the 5th." Jen pays on the 7th. What does she owe for that month?

A. $1,050

B. $1,100

C. $1,150

D. $1,200

MAIN — Read key lease terms and apply security deposit rules

Question 2 of 5 · Learn and Apply

LEARN

A security deposit protects the landlord against unpaid rent or damage beyond normal wear and tear. It is generally returned, minus allowed deductions, after the lease ends. State laws limit amounts and set return deadlines.

A security deposit is…

A. money held to cover unpaid rent or damage beyond normal wear

B. a fee the landlord keeps no matter what condition the unit is in

C. the last month's rent, automatically

D. a payment for the landlord's insurance

MAIN — Read key lease terms and apply security deposit rules

Question 3 of 5 · Learn and Apply

LEARN

New Jersey law caps security deposits at 1.5 months' rent. Other states have different limits.

In New Jersey, a security deposit may not exceed 1.5 times one month's rent. Rent is $1,200. What is the largest deposit allowed?

A. $600

B. $1,200

C. $1,800

D. $2,400

MAIN — Read key lease terms and apply security deposit rules

Question 4 of 5 · Learn and Apply

LEARN

Normal wear and tear (small nail holes, faded paint) is generally not deducted. Damage beyond that can be. New Jersey requires the landlord to return the deposit with interest, less itemized charges, within 30 days after the lease ends.

Jen's lease ends. Her $1,500 deposit has $200 deducted for a broken door and $0 for small nail holes. In New Jersey, about how much should she get back, and by when?

A. $1,500 within one year

B. $0, because deposits are never returned

C. $1,300 (plus any interest) within 30 days

D. $1,300 whenever the landlord chooses to pay

MAIN — Read key lease terms and apply security deposit rules

Question 5 of 5 · Knowledge Check · Practical how-to

Which lease term should Jen check before getting a pet?

A. The renters insurance deductible only

B. The pet policy and any pet deposit or monthly pet fee

C. Only the monthly rent, since pets never change lease terms

D. The parking rules for guests

BACKWARD B1 · concept review — Reading contract terms

Question 1 of 5 · Learn and Apply

LEARN

The lease term is the length of the agreement.

A lease runs from August 1 to July 31. How long is it?

A. 6 months

B. 11 months

C. 24 months

D. 12 months

BACKWARD B1 · concept review — Reading contract terms

Question 2 of 5 · Learn and Apply

LEARN

Leases assign each bill to the landlord or tenant.

"Tenant pays electricity and gas; landlord pays water." Who pays the water bill?

A. The landlord

B. The tenant who lives there

C. The city

D. Neither

BACKWARD B1 · concept review — Reading contract terms

Question 3 of 5 · Learn and Apply

LEARN

A grace period is a short time after a due date during which payment is still accepted without a late fee.

A "grace period" for rent means...

A. days after the due date before a late fee applies

B. a discount for paying early

C. a free month of rent

D. a period at the start of the lease when rent is not owed

BACKWARD B1 · concept review — Reading contract terms

Question 4 of 5 · Knowledge Check

1.5 times $1,000 is...

A. $150

B. $1,005

C. $1,500

D. $2,500

BACKWARD B1 · concept review — Reading contract terms

Question 5 of 5 · Knowledge Check · Practical how-to

Why should Jen read a lease BEFORE signing?

A. Leases can be changed by the tenant alone later

B. Signing makes her legally bound to its terms

C. Only the landlord is bound by a lease

D. Leases are not legal documents

GO DEEPER 1 — Move-in and move-out inspections

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

A move-in checklist and dated photos protect your deposit by recording existing damage.

Why should Jen document the unit's condition with dated photos at move-in?

A. To post them online for future renters

B. To ask the landlord to lower the rent right away

C. Because photos replace the need for a lease

D. To show which damage existed before she moved in

GO DEEPER 1 — Move-in and move-out inspections

Question 2 of 5 · Learn and Apply

LEARN

Deductions generally cover damage beyond normal wear and tear, plus unpaid rent.

Which charge is MOST likely to be allowed from a deposit?

A. Small nail holes from hanging pictures

B. Faded paint after three years

C. Replacing a carpet ruined by a pet

D. Minor scuffs on floors

GO DEEPER 1 — Move-in and move-out inspections

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

Landlords need a forwarding address to return deposits and statements.

At move-out, Jen cleans, returns keys, and gives a forwarding address. Why the address?

A. So the landlord can mail her future bills

B. So the landlord can send the deposit and itemized list

C. Because a forwarding address raises the deposit refund

D. To end her renters insurance

GO DEEPER 1 — Move-in and move-out inspections

Question 4 of 5 · Learn and Apply

LEARN

New Jersey requires deposits to be held in an interest-bearing account, with interest credited to the tenant.

Jen's deposit of $1,800 earned 1% interest for one year in New Jersey. About how much interest is owed?

A. $1.80

B. $18

C. $180

D. $1,818

GO DEEPER 1 — Move-in and move-out inspections

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

Tenants can pursue unreturned deposits; New Jersey law provides remedies when deposits are wrongfully withheld.

A landlord keeps a deposit without explanation past the legal deadline. What can a New Jersey tenant do?

A. Nothing

B. Post a bad review and wait

C. Take the landlord's property

D. Request it in writing, then use small claims court if needed

GO DEEPER 2 — Breaking a lease, renewals, and roommates

Question 1 of 5 · Learn and Apply

LEARN

Leaving early can mean paying rent until a new tenant is found or paying an early-termination fee, depending on the lease and state law.

Jen must move 4 months before her 12-month lease ends. Rent is $1,100. If the lease makes her liable for remaining rent until the unit is re-rented, and it takes 2 months to re-rent, how much might she owe?

A. $0

B. $1,100

C. $2,200

D. $4,400

GO DEEPER 2 — Breaking a lease, renewals, and roommates

Question 2 of 5 · Learn and Apply

LEARN

Leases often require advance written notice to end or renew.

Jen's lease renews automatically unless she gives 60 days' written notice. Her lease ends June 30. By about when must she give notice to leave?

A. Early May

B. June 29

C. July 15

D. There is no deadline

GO DEEPER 2 — Breaking a lease, renewals, and roommates

Question 3 of 5 · Learn and Apply

LEARN

When roommates sign the same lease, each is often responsible for the full rent ("joint and several" liability).

Two roommates sign one lease for $1,600 rent. One stops paying. What can the landlord usually do?

A. Collect only half from each roommate, no matter what

B. Collect from the paying roommate only her half

C. Hold either roommate responsible for the full rent

D. Lower the rent to $800

GO DEEPER 2 — Breaking a lease, renewals, and roommates

Question 4 of 5 · Learn and Apply

LEARN

Percent change = (new − old) ÷ old × 100.

A landlord offers a renewal with rent rising from $1,100 to $1,155. What is the percent increase?

A. 4.8%

B. 5%

C. 10%

D. 55%

GO DEEPER 2 — Breaking a lease, renewals, and roommates

Question 5 of 5 · Learn and Apply

LEARN

Many leases require the landlord's written permission to sublet.

Subletting means...

A. the landlord selling the building

B. paying rent late

C. renting your unit to someone else while still the tenant

D. breaking the lease with no notice

SET 74 · Renting and Leasing a Home

Tenant responsibilities, rights, and renters insurance

MAIN skill: Explain tenant duties and rights and evaluate renters insurance

Outcome FL.RENT.74 · National topic: Managing Risk · NJSLS 9.1.12: RM, PB

Learning target: Explain tenant responsibilities and the purpose of renters insurance

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Premiums and deductibles (5 questions)
  - Why: Renters insurance questions depend on distinguishing a premium from a deductible.
- B2 · Math link → G5-S22-M (Grade 5 5.NBT.B.7): Solve real-world problems with decimal operations
  - Why: Claim payments subtract deductibles; premiums multiply by months.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Choosing renters insurance coverage (5 questions)
- Go Deeper 2: Tenant rights and when to get help (5 questions)

Practical skills beyond the standards: Requesting repairs in writing; Creating a home inventory

Content status: time-sensitive

Source: New Jersey Department of Community Affairs (Truth in Renting) — In New Jersey, a security deposit may not exceed 1.5 times one month's rent, and the landlord must return it with interest, less itemized charges, within 30 days after the tenancy ends. https://www.nj.gov/dca/codes/publications/pdf_lti/t_i_r.pdf

MAIN — Explain tenant duties and rights and evaluate renters insurance

Question 1 of 5 · Learn and Apply

LEARN

A landlord's insurance covers the building, not tenants' belongings. Renters insurance covers your personal property (for theft, fire, and other listed causes) and liability if someone is injured in your home or you damage others' property. It often costs about $10–$25 a month.

Jen's belongings are stolen from her apartment. The landlord has building insurance. Which policy covers HER belongings?

A. Her own renters insurance policy

B. The landlord's building insurance

C. The city's emergency fund

D. Her car insurance, for anything inside a home

MAIN — Explain tenant duties and rights and evaluate renters insurance

Question 2 of 5 · Learn and Apply

LEARN

A premium is what you pay for the policy. A deductible is the amount you pay toward a claim before insurance pays the rest.

Jen's renters policy costs $16 a month with a $500 deductible. A fire destroys $4,000 of her belongings (covered). How much does the insurer pay?

A. $500

B. $3,500

C. $3,984

D. $4,000

MAIN — Explain tenant duties and rights and evaluate renters insurance

Question 3 of 5 · Learn and Apply

LEARN

Tenants generally must pay rent on time, keep the unit clean, avoid damage, follow the lease, and report repairs. Landlords generally must keep the unit safe and livable (heat, water, structural repairs) and follow notice rules.

Which is usually the TENANT's responsibility?

A. Replacing the building's roof

B. Fixing a broken furnace or a leaking water heater herself

C. Paying the building's property tax

D. Keeping the unit clean and reporting problems promptly

MAIN — Explain tenant duties and rights and evaluate renters insurance

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Landlords must keep homes habitable, including heat. Tenants should report problems in writing and keep records. State law sets remedies if repairs are not made.

In winter, Jen's heat stops working. What should she do FIRST?

A. Stop paying rent immediately

B. Notify the landlord in writing and keep a copy

C. Hire a contractor and deduct any cost she chooses

D. Wait until spring

MAIN — Explain tenant duties and rights and evaluate renters insurance

Question 5 of 5 · Knowledge Check

Over a year, how much does a $16-per-month renters policy cost?

A. $16

B. $160

C. $192

D. $1,920

BACKWARD B1 · concept review — Premiums and deductibles

Question 1 of 5 · Learn and Apply

LEARN

The premium is the price of insurance, paid monthly or yearly. The deductible is what you pay out of pocket on a claim before insurance pays.

What is an insurance PREMIUM?

A. The amount paid regularly to keep the policy

B. The amount the policyholder pays toward each claim first

C. The maximum the insurer pays

D. A refund from the insurer

BACKWARD B1 · concept review — Premiums and deductibles

Question 2 of 5 · Knowledge Check

What is a DEDUCTIBLE?

A. The monthly cost of the policy

B. The most the insurer will pay

C. The amount you pay on a claim before insurance pays

D. A bonus the insurer pays you when you file no claims

BACKWARD B1 · concept review — Premiums and deductibles

Question 3 of 5 · Learn and Apply

LEARN

Insurance pays the loss minus the deductible.

A covered $1,200 loss with a $250 deductible is paid how?

A. Insurance pays $1,200

B. You pay $250; insurance pays $950

C. You pay $950; insurance pays $250

D. You pay $1,200

BACKWARD B1 · concept review — Premiums and deductibles

Question 4 of 5 · Learn and Apply

LEARN

Taking on more cost per claim (higher deductible) usually lowers the premium.

Which choice usually LOWERS the premium?

A. Choosing a much lower deductible

B. Adding more coverage

C. Filing more claims

D. Choosing a higher deductible

BACKWARD B1 · concept review — Premiums and deductibles

Question 5 of 5 · Knowledge Check

Which loss is MOST likely covered by renters insurance?

A. A laptop stolen in a break-in

B. Wear on old furniture over years

C. The building's cracked foundation

D. A planned vacation

GO DEEPER 1 — Choosing renters insurance coverage

Question 1 of 5 · Learn and Apply · Practical how-to

LEARN

A home inventory, a list of belongings with values, helps choose coverage and file claims.

Jen lists her belongings: electronics $2,500, furniture $1,800, clothes $1,500, other $1,200. How much personal property coverage does she need at minimum?

A. $1,800

B. $2,500

C. $5,800

D. $7,000

GO DEEPER 1 — Choosing renters insurance coverage

Question 2 of 5 · Learn and Apply

LEARN

Policies may pay replacement cost (new item) or actual cash value (replacement cost minus depreciation). Replacement cost policies usually cost more.

"Replacement cost" coverage pays to replace items with new ones. "Actual cash value" pays...

A. double the original price, to cover the cost of shopping

B. what the items were worth after depreciation

C. the item's original price

D. the price of a used item of any age

GO DEEPER 1 — Choosing renters insurance coverage

Question 3 of 5 · Learn and Apply

LEARN

Actual cash value = replacement cost − depreciation.

A 4-year-old $1,000 TV has lost 60% of its value. Under actual cash value, before the deductible, what is it worth?

A. $400

B. $600

C. $940

D. $1,000

GO DEEPER 1 — Choosing renters insurance coverage

Question 4 of 5 · Learn and Apply

LEARN

Liability coverage helps pay if you are legally responsible for injuring someone or damaging their property.

A guest slips in Jen's apartment and is hurt. Which part of renters insurance may help?

A. Personal property coverage

B. Loss-of-use coverage

C. Nothing; insurance never covers injuries

D. Liability coverage

GO DEEPER 1 — Choosing renters insurance coverage

Question 5 of 5 · Learn and Apply

LEARN

Loss-of-use coverage pays extra living costs when a covered event makes your home unlivable.

After a covered fire, Jen must stay in a hotel for 2 weeks. Which coverage may help pay?

A. Liability coverage for injuries to guests

B. The landlord's security deposit

C. Loss of use (additional living expenses)

D. Health insurance

GO DEEPER 2 — Tenant rights and when to get help

Question 1 of 5 · Learn and Apply

LEARN

In most states, including New Jersey, landlords must go through the court eviction process; lockouts and utility shutoffs to force tenants out are generally illegal.

Can a landlord in most states change the locks to force a tenant out without a court order?

A. Yes, any time the rent is even one day past due

B. No; self-help evictions are generally illegal

C. Yes, with one day's notice

D. Yes, if the lease allows it

GO DEEPER 2 — Tenant rights and when to get help

Question 2 of 5 · Learn and Apply

LEARN

Leases and state or local laws usually require reasonable notice before non-emergency entry.

A landlord wants to enter Jen's apartment for a non-emergency repair. What is generally expected?

A. No notice at any time

B. A full month's written notice before every visit, even emergencies

C. Reasonable advance notice, as set by law or the lease

D. Permission from the city

GO DEEPER 2 — Tenant rights and when to get help

Question 3 of 5 · Learn and Apply · Practical how-to

LEARN

New Jersey publishes a "Truth in Renting" guide explaining tenant and landlord rights; landlords of most rental units must give tenants a copy.

Where can a New Jersey tenant learn about rights and responsibilities?

A. A national rental website's general tips page online

B. The landlord's own rules sheet

C. A national renters insurance ad

D. New Jersey's official "Truth in Renting" guide

GO DEEPER 2 — Tenant rights and when to get help

Question 4 of 5 · Learn and Apply · Practical how-to

LEARN

Eviction cases have deadlines. Legal aid organizations offer free or low-cost help.

Jen receives an eviction notice she believes is wrong. Which step is MOST important?

A. Respond by the deadline and seek legal aid

B. Ignore it

C. Move out immediately without responding to it

D. Stop paying rent

GO DEEPER 2 — Tenant rights and when to get help

Question 5 of 5 · Learn and Apply

LEARN

Some landlords and rent-reporting services report on-time rent payments to credit bureaus.

Paying rent on time is reported to credit bureaus by some landlords or services. Why can that help Jen?

A. It erases older late payments

B. It lowers next year's rent

C. It guarantees approval for a mortgage when she buys a home

D. It can add positive payment history to her credit file

SET 75 · Mortgages and Homeownership

Renting versus owning, and what a mortgage is

MAIN skill: Compare renting and owning and explain the parts of a mortgage

Outcome FL.HOME.75 · National topic: Managing Credit · NJSLS 9.1.12: CDM, PB

Learning target: Compare renting and buying a home and explain how a mortgage works

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Principal, interest, and collateral in home loans (5 questions)
  Why: Mortgage questions build on knowing principal, interest, and collateral from earlier loan sets.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Down payments are percents of the price.
- B3 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Loan amounts and equity are differences.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Down payments and their effects (5 questions)
- Go Deeper 2: The true cost of renting versus owning (5 questions)

Practical skills beyond the standards: Rent-versus-buy comparison

Content status: stable

Source: CFPB (Buying a House) — Mortgage payments often include principal, interest, property taxes, and homeowners insurance (PITI); private mortgage insurance is usually required with less than 20% down on a conventional loan. https://www.consumerfinance.gov/owning-a-home/

MAIN — Compare renting and owning and explain the parts of a mortgage

Question 1 of 5 · Learn and Apply

LEARN

A mortgage is a loan used to buy a home. The home is collateral: if the borrower does not repay, the lender can foreclose (take and sell the home). Mortgages usually last 15 or 30 years and are repaid with monthly payments of principal and interest.

What is a mortgage?

A. A monthly rent payment to a landlord

B. Insurance that protects a home and its contents from fire

C. A loan to buy a home, with the home as collateral

D. A savings account for a down payment

MAIN — Compare renting and owning and explain the parts of a mortgage

Question 2 of 5 · Learn and Apply

LEARN

The down payment is the part of the price paid up front in cash. The rest is borrowed: loan (principal) = price − down payment.

The Lees buy a $300,000 home with a 20% down payment. How much do they borrow?

A. $60,000

B. $240,000

C. $300,000

D. $360,000

MAIN — Compare renting and owning and explain the parts of a mortgage

Question 3 of 5 · Learn and Apply

LEARN

Owning can build equity, the part of the home you own (value − mortgage balance), and gives stability and control. Renting offers flexibility and fewer responsibilities: landlords handle major repairs and you can move more easily.

Which is an advantage of OWNING compared with renting?

A. No repair or maintenance costs

B. Payments can build equity (ownership) over time

C. No property taxes

D. It is easier to move on short notice when owning

MAIN — Compare renting and owning and explain the parts of a mortgage

Question 4 of 5 · Learn and Apply

LEARN

Equity = home value − mortgage balance.

A home is worth $320,000, and the mortgage balance is $230,000. What is the owner's equity?

A. $90,000

B. $230,000

C. $320,000

D. $550,000

MAIN — Compare renting and owning and explain the parts of a mortgage

Question 5 of 5 · Knowledge Check

Which situation favors RENTING over buying?

A. Expecting to move for a new job within two years

B. Planning to stay in one town for 15 years

C. Having saved a large down payment and emergency fund

D. Wanting to renovate freely

BACKWARD B1 · concept review — Principal, interest, and collateral in home loans

Question 1 of 5 · Learn and Apply

LEARN

Principal is the amount borrowed. Interest is the cost of borrowing. Collateral is property the lender can take if the loan is not repaid.

The Lees buy a $300,000 home with a $60,000 down payment and borrow the rest. What is the principal of their mortgage?

A. $60,000

B. $240,000

C. $300,000

D. $360,000

BACKWARD B1 · concept review — Principal, interest, and collateral in home loans

Question 2 of 5 · Knowledge Check

What is the collateral for a mortgage?

A. The home being bought

B. The buyer's car

C. The buyer's savings account

D. The buyer's future salary

BACKWARD B1 · concept review — Principal, interest, and collateral in home loans

Question 3 of 5 · Learn and Apply

LEARN

Foreclosure is the legal process by which a lender takes a home after the borrower stops paying.

What can a lender do if a mortgage is not repaid?

A. Forgive the loan automatically

B. Take the borrower's retirement account

C. Raise the interest rate on a fixed loan

D. Foreclose and sell the home

BACKWARD B1 · concept review — Principal, interest, and collateral in home loans

Question 4 of 5 · Knowledge Check

20% of $250,000 is...

A. $5,000

B. $50,000

C. $200,000

D. $500,000

BACKWARD B1 · concept review — Principal, interest, and collateral in home loans

Question 5 of 5 · Knowledge Check

Which word means the part of a home you truly own?

A. Escrow

B. Premium

C. Equity

D. Lien

GO DEEPER 1 — Down payments and their effects

Question 1 of 5 · Learn and Apply

LEARN

A smaller down payment means a larger loan, usually higher payments and more interest, and often mortgage insurance.

With 10% down on a $300,000 home, how much is borrowed?

A. $30,000

B. $240,000

C. $270,000

D. $330,000

GO DEEPER 1 — Down payments and their effects

Question 2 of 5 · Learn and Apply

LEARN

The extra monthly cost of borrowing more = larger payment − smaller payment.

At 6.5% for 30 years, a $240,000 loan has a $1,516.96 payment and a $270,000 loan has a $1,706.58 payment. How much more per month does the smaller down payment cost?

A. $170.66

B. $189.62

C. $1,706.58

D. $30,000

GO DEEPER 1 — Down payments and their effects

Question 3 of 5 · Learn and Apply

LEARN

Low-down-payment programs make buying possible sooner but raise costs.

Some loan programs allow down payments as low as 3–3.5%. What is a trade-off?

A. A smaller loan, because the bank covers the missing down payment

B. A larger loan, higher payments, and usually mortgage insurance

C. No closing costs are charged

D. Property taxes disappear

GO DEEPER 1 — Down payments and their effects

Question 4 of 5 · Learn and Apply

LEARN

Months to save = goal ÷ monthly saving.

The Lees want 20% down on a $300,000 home and save $1,000 a month. Starting from $0, how many months to save the down payment?

A. 20 months

B. 300 months

C. 60 months

D. 6 months

GO DEEPER 1 — Down payments and their effects

Question 5 of 5 · Learn and Apply

LEARN

Buyers usually need cash for closing costs and should keep an emergency reserve.

Besides the down payment, what other cash do buyers usually need at closing?

A. Closing costs and reserves

B. The full purchase price in cash

C. Nothing else

D. A year of property taxes only

GO DEEPER 2 — The true cost of renting versus owning

Question 1 of 5 · Learn and Apply

LEARN

Part of a mortgage payment (principal) builds equity, which is like saving. Comparing renting and owning fairly separates costs that are spent from money that builds ownership.

Rent is $1,800 a month. An owner's total monthly cost is $2,400 (mortgage, tax, insurance, upkeep), of which $500 is principal that builds equity. What is the owner's monthly cost NOT counting principal?

A. $500

B. $1,800

C. $1,900

D. $2,400

GO DEEPER 2 — The true cost of renting versus owning

Question 2 of 5 · Learn and Apply

LEARN

Selling a home involves costs such as agent commissions, which have often been around 5–6% but are negotiable.

Selling a $300,000 home with 6% agent commissions costs how much in commissions?

A. $1,800

B. $6,000

C. $18,000

D. $180,000

GO DEEPER 2 — The true cost of renting versus owning

Question 3 of 5 · Learn and Apply

LEARN

Transaction costs at purchase and sale are large compared with the equity built in a short time.

Why can buying be costly for someone who sells after only two years?

A. Homes always lose value during their first two years

B. Buying and selling costs may exceed equity gained

C. Mortgages cannot be paid off early

D. Owners pay no interest early in the loan

GO DEEPER 2 — The true cost of renting versus owning

Question 4 of 5 · Learn and Apply

LEARN

Renting vs owning depends on many factors; neither is always better.

A renter invests the $600 a month an owner would spend extra. What matters for which option builds more wealth?

A. Only the rent amount

B. Only the mortgage rate

C. Neither renting nor owning can ever build any wealth

D. Investment returns, home price changes, and costs

GO DEEPER 2 — The true cost of renting versus owning

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

Rent-vs-buy calculators combine prices, rates, taxes, and time.

Which tool helps compare renting and buying for a specific situation?

A. A mortgage payment calculator alone

B. A rent-versus-buy calculator with local costs

C. A tax refund estimator from a tax-filing website

D. A home value estimate for one house

SET 76 · Mortgages and Homeownership

Mortgage payments and loan terms

MAIN skill: Compare monthly payments and total interest for different mortgage terms and rates

Outcome FL.HOME.76 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Compare mortgage terms, rates, and total costs

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Payments times months (5 questions)
  - Why: Mortgage totals are payment × number of payments; students must count months correctly.
- B2 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  - Why: Totals multiply a decimal payment by the number of payments.
- B3 · Math link → G7-S25-M (Grade 7 7.NS.A.3): Solve real-world problems with the four operations on rational numbers
  - Why: Comparing loans subtracts and multiplies money amounts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Using the mortgage payment formula (5 questions)
- Go Deeper 2: Shopping for a mortgage rate (5 questions)

Practical skills beyond the standards: Comparing 15- and 30-year mortgages; Evaluating discount points

Content status: stable

MAIN — Compare monthly payments and total interest for different mortgage terms and rates

Question 1 of 5 · Learn and Apply

LEARN

Total paid on a mortgage = monthly payment × number of payments. Total interest = total paid − amount borrowed. On long loans, interest can exceed the original loan.

A $240,000 mortgage at 6.5% for 30 years has a principal-and-interest payment of $1,516.96. What is the total of all 360 payments?

A. $18,203.52

B. $240,000.00

C. $255,600.00

D. $546,105.60

MAIN — Compare monthly payments and total interest for different mortgage terms and rates

Question 2 of 5 · Knowledge Check

A $240,000 loan's 360 monthly payments total $546,105.60. How much interest is paid over 30 years?

A. $15,600.00

B. $240,000.00

C. $306,105.60

D. $546,105.60

MAIN — Compare monthly payments and total interest for different mortgage terms and rates

Question 3 of 5 · Learn and Apply

LEARN

Shorter terms have higher monthly payments but much less total interest, and often lower rates.

A $240,000 loan at 6.0% for 15 years has a $2,025.26 payment, totaling $364,546.80. Compared with the 30-year loan ($306,105.60 of interest), how much interest does the 15-year loan save?

A. $508.30

B. $124,546.80

C. $181,558.80

D. $306,105.60

MAIN — Compare monthly payments and total interest for different mortgage terms and rates

Question 4 of 5 · Knowledge Check

Why might a buyer choose the 30-year loan despite its higher total interest?

A. It always has a lower interest rate than a 15-year loan

B. It is paid off sooner

C. Its lower monthly payment is easier to afford

D. It has lower total interest because payments are smaller

MAIN — Compare monthly payments and total interest for different mortgage terms and rates

Question 5 of 5 · Learn and Apply

LEARN

Small rate differences change monthly payments and, over many years, total interest a lot.

A $200,000, 30-year loan costs $1,330.60 a month at 7% and $1,199.10 at 6%. How much does the 1-point lower rate save per month?

A. $13.15

B. $131.50

C. $1,199.10

D. $2,000.00

BACKWARD B1 · concept review — Payments times months

Question 1 of 5 · Learn and Apply

LEARN

Monthly payments = 12 × years.

How many monthly payments are in a 30-year mortgage?

A. 30

B. 300

C. 360

D. 3,600

BACKWARD B1 · concept review — Payments times months

Question 2 of 5 · Knowledge Check

How many monthly payments are in a 15-year mortgage?

A. 15

B. 150

C. 180

D. 360

BACKWARD B1 · concept review — Payments times months

Question 3 of 5 · Learn and Apply

LEARN

Total paid = payment × number of payments.

A payment of $1,000 for 180 months totals...

A. $1,180

B. $18,000

C. $180,000

D. $1,800,000

BACKWARD B1 · concept review — Payments times months

Question 4 of 5 · Learn and Apply

LEARN

Interest = total paid − amount borrowed.

Borrowed $150,000; total paid $250,000. What was the interest?

A. $100,000

B. $150,000

C. $250,000

D. $400,000

BACKWARD B1 · concept review — Payments times months

Question 5 of 5 · Learn and Apply

LEARN

Repaying the same amount in fewer months means larger payments.

Which usually has the HIGHER monthly payment for the same loan amount and rate?

A. A 15-year loan

B. A 30-year loan

C. They are equal

D. It depends only on the down payment

GO DEEPER 1 — Using the mortgage payment formula

Question 1 of 5 · Learn and Apply

LEARN

Monthly mortgage payments use the same formula as other installment loans, with the monthly rate r = APR ÷ 12 and n = number of monthly payments.

The payment formula is M = P · r ÷ (1 − (1 + r)^(−n)). For a 30-year loan at 6.5% APR, what are r and n?

A. r = 0.065; n = 30

B. r = 6.5; n = 360

C. r = 0.005417; n = 30

D. r = 0.065 ÷ 12 ≈ 0.005417; n = 360

GO DEEPER 1 — Using the mortgage payment formula

Question 2 of 5 · Learn and Apply

LEARN

Evaluate the formula with a calculator: find r = APR ÷ 12 and n = 360, compute (1 + r)^(−n), then the payment.

Using the formula, what is the monthly payment on $240,000 at 5.5% for 30 years (nearest cent)?

A. $666.67

B. $1,100.00

C. $1,362.69

D. $1,516.96

GO DEEPER 1 — Using the mortgage payment formula

Question 3 of 5 · Learn and Apply

LEARN

Comparing terms at the same rate shows the monthly cost of paying off faster.

A 15-year loan of $240,000 at 6.5% has a payment of $2,090.66. How much more is this per month than the 30-year payment of $1,516.96?

A. $573.70

B. $1,516.96

C. $2,090.66

D. $3,607.62

GO DEEPER 1 — Using the mortgage payment formula

Question 4 of 5 · Learn and Apply

LEARN

Interest saved = difference in total paid (the principal is the same).

At the same 6.5% rate, the 15-year loan totals $376,318.80 and the 30-year loan $546,105.60. How much interest does the 15-year loan save?

A. $573.70

B. $136,318.80

C. $169,786.80

D. $240,000.00

GO DEEPER 1 — Using the mortgage payment formula

Question 5 of 5 · Learn and Apply

LEARN

With any positive interest rate, each payment must cover interest as well as principal.

Which check confirms a calculated payment is reasonable?

A. It is less than the loan ÷ number of months

B. It is more than the loan ÷ number of months

C. It equals the yearly interest

D. It is the same at every rate

GO DEEPER 2 — Shopping for a mortgage rate

Question 1 of 5 · Learn and Apply

LEARN

Shopping several lenders can lower the rate. Small differences add up over a long loan.

Lender A offers 6.5%; Lender B offers 6.25% on the same $240,000, 30-year loan. Payments are $1,516.96 and $1,477.72. About how much does Lender B save over 30 years?

A. $39.24

B. $470.88

C. $600.00

D. $14,126.40

GO DEEPER 2 — Shopping for a mortgage rate

Question 2 of 5 · Learn and Apply

LEARN

Discount points are prepaid interest: you pay more at closing to get a lower rate.

Paying "points" means paying a fee up front to lower the rate. One point equals 1% of the loan. On $240,000, what is one point?

A. $1

B. $240

C. $2,400

D. $24,000

GO DEEPER 2 — Shopping for a mortgage rate

Question 3 of 5 · Learn and Apply

LEARN

Break-even months = up-front cost ÷ monthly savings.

One point ($2,400) lowers the payment by $39.24 a month. About how many months until the savings repay the point?

A. About 6 months

B. About 24 months

C. About 360 months

D. About 61 months

GO DEEPER 2 — Shopping for a mortgage rate

Question 4 of 5 · Knowledge Check

When is paying points usually a poor choice?

A. When you will keep the loan 30 years

B. When rates are fixed

C. When you expect to sell or refinance before the break-even point

D. When you want a lower rate and will keep the home for many decades

GO DEEPER 2 — Shopping for a mortgage rate

Question 5 of 5 · Learn and Apply · Practical how-to

LEARN

Mortgage rates change frequently. Comparing standardized Loan Estimates gathered at the same time gives a fair comparison.

Why compare Loan Estimates from several lenders on the same day?

A. Rates change daily, so same-day quotes compare fairly

B. Lenders must match each other's rates by law each day

C. It locks the rate with every lender at once

D. Each extra quote lowers your score a lot

SET 77 · Mortgages and Homeownership

Property taxes, insurance, PMI, and escrow

MAIN skill: Calculate a full monthly housing payment including taxes, insurance, and mortgage insurance

Outcome FL.HOME.77 · National topic: Managing Risk · NJSLS 9.1.12: RM, CDM

Learning target: Calculate the full cost of homeownership including taxes, insurance, and mortgage insurance

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Yearly costs as monthly payments (5 questions)
  Why: Housing budgets convert yearly bills (taxes, insurance) into monthly amounts.
- B2 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  Why: Yearly taxes and insurance are divided into monthly amounts.
- B3 · Math link → G6-S16-M (Grade 6 6.NS.B.3): Add multi-digit decimals
  Why: PITI adds several monthly costs.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Property tax in practice (5 questions)
- Go Deeper 2: Removing PMI and insurance choices (5 questions)

Practical skills beyond the standards: Escrow accounts; Removing PMI

Content status: time-sensitive

Source: CFPB (Buying a House) — Mortgage payments often include principal, interest, property taxes, and homeowners insurance (PITI); private mortgage insurance is usually required with less than 20% down on a conventional loan. https://www.consumerfinance.gov/owning-a-home/

MAIN — Calculate a full monthly housing payment including taxes, insurance, and mortgage insurance

Question 1 of 5 · Learn and Apply

LEARN

Monthly housing costs for owners usually include PITI: Principal, Interest, property Taxes, and homeowners Insurance. Taxes and insurance are often billed yearly but budgeted (and often paid) monthly.

A home's property tax is $6,000 a year. How much is that per month?

A. $50

B. $500

C. $600

D. $6,000

MAIN — Calculate a full monthly housing payment including taxes, insurance, and mortgage insurance

Question 2 of 5 · Learn and Apply

LEARN

PITI = principal and interest + monthly property taxes + monthly homeowners insurance.

Principal and interest: $1,516.96. Property tax: $500 a month. Homeowners insurance: $150 a month. What is the monthly PITI?

A. $650.00

B. $1,516.96

C. $2,016.96

D. $2,166.96

MAIN — Calculate a full monthly housing payment including taxes, insurance, and mortgage insurance

Question 3 of 5 · Learn and Apply

LEARN

PMI is insurance that protects the LENDER (not you) if you stop paying. It is usually required on conventional loans with less than 20% down and can typically be removed once you reach enough equity.

Lenders usually require private mortgage insurance (PMI) on a conventional loan when the down payment is under 20%. What does PMI protect?

A. The borrower's belongings

B. The borrower's health

C. The house against damage from a fire

D. The lender, if the borrower defaults